



Empowering Small Businesses

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MUDRA Mission

To create an inclusive, sustainable and value based entrepreneurial culture, in collaboration with our partner institutions in achieving economic success and financial security.

MUDRA Vision

To be an integrated financial and support services provider par excellence, benchmarked with global best practices and standards, for the bottom of the pyramid universe for their comprehensive economic and social development.



MUDRA Purpose

Our basic purpose is to attain development in an inclusive and sustainable manner by supporting and promoting partner institutions and creating an ecosystem of growth for micro enterprises sector.

CHAIRMAN'S MESSAGE

The Indian economy grew at 8.2% in FY 2024 notwithstanding global headwinds backed by large scale domestic demand and supportive fiscal and monetary policies. With this third consecutive year of 7% plus growth, the country continues its momentum towards becoming a USD 5 trillion economy.

Pradhan Mantri Mudra Yojana (PMMY) and Micro Units Development & Refinance Agency Limited (MUDRA) had an integral role to play in this by catering to the credit demand at the bottom of the pyramid, thereby strengthening the process of nation building and wealth creation. In the last 9 years since the launch of PMMY, MUDRA loan has emerged as the go-to option for the unorganised and unfunded segment to generate livelihood and growth. During the last 9 years, we have seen MUDRA loans slowly transforming the semi-urban, rural and hinterlands of our country. MUDRA, while establishing and strengthening the formal credit channels for nurturing the green shoots at the grass root level, has emerged as a brand synonymous with empowerment and hope.

THE YEAR GONE BY

The journey, so far, of MUDRA has had a positive impact at the ground level and made a difference at the last mile. In the year gone by i.e. FY 2024, MUDRA has further consolidated its growth and development by clocking the highest ever portfolio and profit, thus marching ahead towards self-sustainability.



FY 2024 was a continuation of recovery phase aided with growth for most of the intermediaries post the pandemic, especially the smaller ones who were affected the most. It also saw hardening of the interest rates globally. The reverses suffered by the intermediaries, especially NBFCs and MFIs on account of higher interest rates were addressed by the concessional refinance dispensed by MUDRA out of the Priority Sector Shortfall (PSS) fund. The concessional refinance helped Banks, NBFCs and MFIs in their effort to continue to cater to the small borrowers in the unorganised segment.

During FY 2024, under PMMY, total amount of ₹ 5.41 lakh crore was sanctioned (disbursement of ₹ 5.32 lakh crore) in 6.68 crore loan accounts, which helped in extending the much-needed financial support to the needy entrepreneurs, who were mostly from the underserved sections of the society, viz. SC/ ST/ OBC/ women, in large numbers.



During FY 2024, MUDRA sanctioned loans of ₹19,560.11 crore and disbursed ₹19,511.74 crore, reporting growth of 59.70% and 55.93% over the sanctions and disbursements of the previous year, respectively. While public sector banks continued to be the main partners in channelling MUDRA loans, the focus was also on entering into new partnerships with Private Banks, Regional Rural Banks (RRBs) and MFIs/ NBFCs, to reach out to the target segments.

There is an increase of about 34% in outstanding as on March 31, 2024, vis-a-vis the previous year. The number of Banks, NBFCs and MFIs assisted by MUDRA during the year stood at 44 (entities disbursed), taking the total number of outstanding borrowers to 76 as on March 31, 2024.

The year gone by has also seen MUDRA achieving a few financial milestones in terms of portfolio, balance sheet size, income and profit, surpassing all previous figures. During the year, the total revenue of MUDRA went up to ₹2,307.07 crore from ₹1,537.20 crore in FY 2023 recording an increase of 50%. The Net Profit recorded a commensurate increase from ₹577.45 crore in FY 2023 to ₹813.92 crore in FY 2024.

LOOKING AHEAD

The Indian economy is poised to continue on its growth trajectory in FY 2025, backed by improvement in domestic consumption, continued capex support by the government and strong corporate and bank balance sheets. With necessary formal credit support from institutions, the growth can be inclusive with a significant participation of the bottom most segments. Identifying MSMEs as one of the four focus areas, the Government in Union Budget 2024-25 has announced a host of measures for the sector. One of the key measures is doubling of loan limit under the Tarun category of MUDRA loans from ₹10 lakh to ₹20 lakh for those who have availed and successfully repaid Tarun Loans in the past. This can help micro enterprises move higher up in the chain of the MSME segment. Average size of Tarun loans has been increasing for the past four

years, suggesting rising demand for higher ticket loans. Disbursement of Tarun loans recorded a strong 18.2% growth in FY 2024. The expansion in credit limit will provide further fillip to the growth of this segment.

MUDRA has strived and worked to create entrepreneurs at the grass root level in the last 9 years of its existence. This needs to be taken to a higher level with all the stakeholders, including the private sector. MUDRA would continue to address this huge underserved market for small loans ensuring the progressive growth of the economy.

Micro Units Development & Refinancing Agency (MUDRA) will be completing ten years of its operations in the next year. The refinance assistance extended by MUDRA has also assisted in reshaping the fundamental landscape of entrepreneurship in the Country. The support extended enabled entrepreneurs to turn their business ideas into reality and played a pivotal role in empowering micro enterprises which is likely to gain strength to strength in the years to come with concerted efforts by all the stakeholders. To aid the same, MUDRA would soon be raising the resources from the market through appropriate instruments to meet the growing demand for refinance from the member lending Institutions. MUDRA would also be taking various initiatives to celebrate the momentous occasion on completion of a decade to demonstrate its achievements and to further encourage and promote entrepreneurship.

I would like to thank all the stakeholders, including Small Industries Development Bank of India, Ministry of Finance, Government of India, Reserve Bank of India and partner MLIs for their continuous support and feedback in our journey and to "Team MUDRA" for an excellent performance and successfully meeting the challenges with their committed and dedicated work.

(Manoj Mittal)

Chairman

Board of Directors

(As on September 30, 2024)



Shri Manoj Mittal

Chairman



Shri Sudatta Mandal

SIDBI Nominee Director



Shri Prakash Kumar

SIDBI Nominee Director



Shri Sushil Kumar Singh

Director, DFS,
Govt. Nominee Director



Smt Mala Sinha

Independent Director



Shri S V Sastry

Independent Director



Shri Y Venugopal Rao

MD & CEO



Nine Years of Pradhan Mantri Mudra Yojana



Cumulative Outreach to **47.84 crore** MSE Borrower Accounts with Credit Support of **₹ 28.22 lakh crore**



Empowering Women with **67.93%** Loan Accounts belonging to Women Beneficiaries.



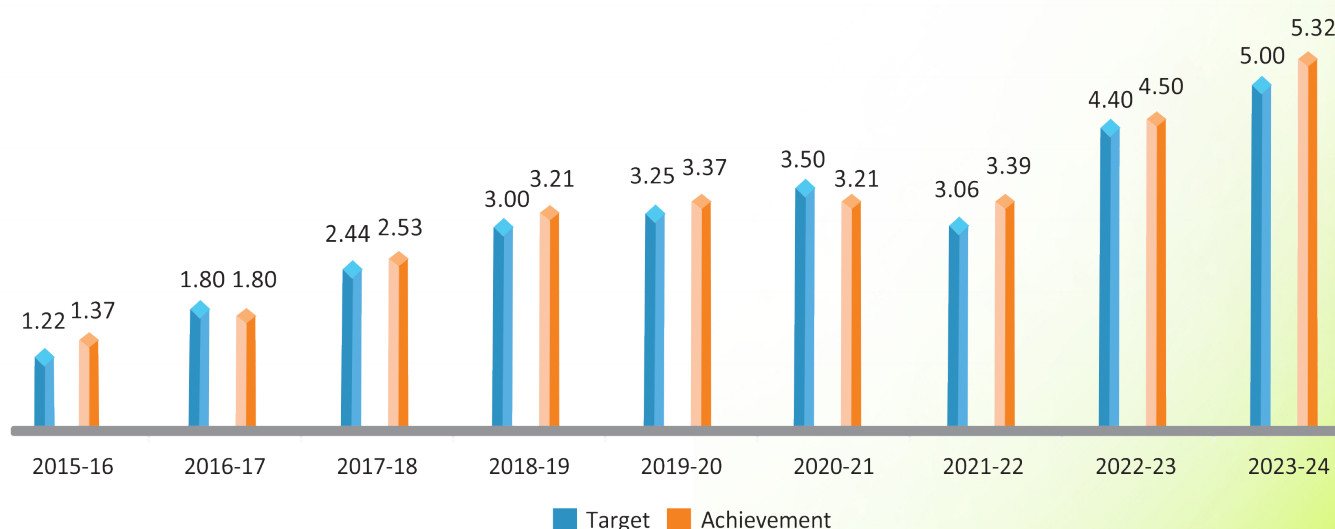
Addressing the Credit Needs of Weaker Sections with **50.26%** of the Loan Accounts belonging to SC/ST/OBC

Pradhan Mantri Mudra Yojana (PMMY), the Flagship Programme of the Prime Minister aimed at Funding the Unfunded micro enterprises and small businesses, completed 9 years of its operations, extending a cumulative amount of ₹ 28.22 lakh crore under the programme to 47.84 crore loan accounts, primarily benefitting the borrowers of weaker sections of the society.

The Lending Institutions, which include all the Public Sector Banks, Private Sector Banks, Regional Rural Banks, Small Finance Banks, Micro-Finance Institutions (MFIs) and Non-Banking Financial Companies (NBFCs), together have exceeded the annual targets set out by the Government of India under PMMY, every year.

PMMY: Target vs Achievement

(Amt. in ₹ lakh crore)



Note: The data indicates targets & achievements pertaining to sanction figures for FY 2015-16 to FY 2021-22, whereas the data for FY 2022-23 & FY 2023-24 is pertaining to disbursement figures.

During these nine years, Micro Units Development & Refinancing Agency Ltd. (MUDRA), as a support institution, has played a dual role by extending refinance support to various lending institutions and monitoring the progress of implementation of PMMY closely through a dedicated portal which captures various aggregated data pertaining to the scheme PMMY as per the requirements of the Govt. of India.

PMMY during FY 2023-24

Agency wise Achievement

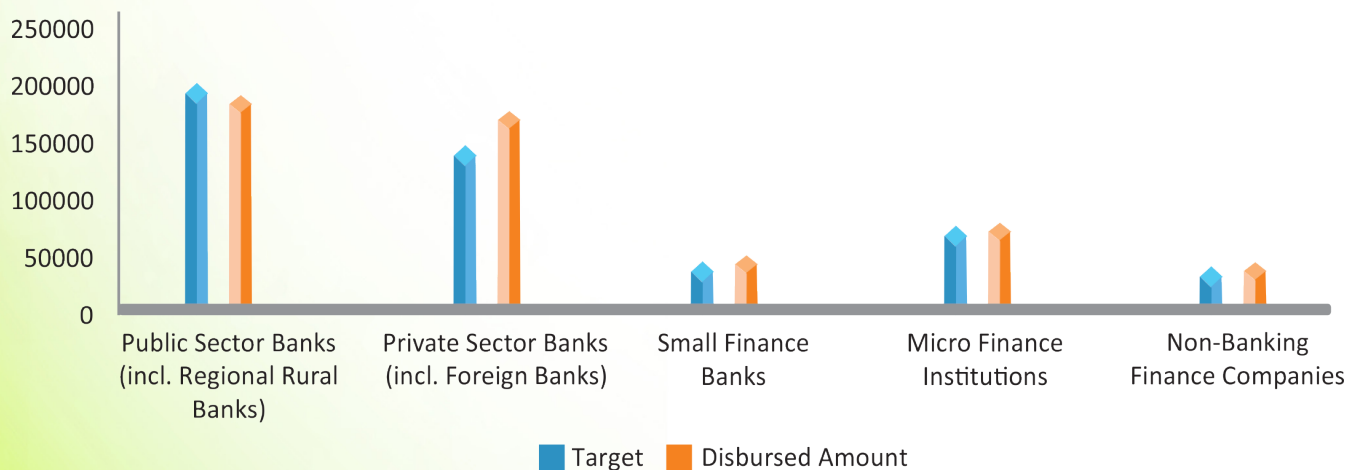
The target set by the Government of India for disbursements under PMMY for the year FY 2023-24 was ₹ 5.00 lakh crore which was distributed across various lending institutions viz. banks, MFIs and NBFCs based on their outreach and presence in various parts of the country. The category-wise performance against their overall targets for the year FY 2023-24 is as follows:

Table 1: Institution wise performance

(₹ crore)

Category	Target	Disbursed Amount FY 2023-24	Disbursed Amount FY 2022-23	Growth
Public Sector Banks (incl. Regional Rural Banks)	2,02,000.00	1,96,737.68	1,71,118.78	15%
Percentages of achievement for FY 2023-24		97%		
Private Sector Banks (incl. Foreign Banks)	1,45,000.00	1,74,911.45	1,41,116.00	24%
Percentages of achievement for FY 2023-24		121%		
Small Finance Banks	42,000.00	45,190.01	38,297.00	18%
Percentages of achievement for FY 2023-24		108%		
Micro Finance Institutions	74,000.00	76,605.33	66,830.62	15%
Percentages of achievement for FY 2023-24		104%		
Non-Banking Finance Companies	37,000.00	38,913.72	33,061.27	18%
Percentages of achievement for FY 2023-24		105%		
State Co-operative Banks	0	0.12	0	NA
Percentages of achievement for FY 2023-24		NA		
Total	5,00,000.00	5,32,358.35	4,50,423.62	18%

(₹ crore)



The achievement data indicates 18% increase over the previous year in the overall performance of the programme implemented by all the lending institutions. This is mainly due to the increased volume of disbursements done in FY 2023-24 by the NBFCs, NBFC-MFIs, SFBs & Private Sector Banks.



Among the Public Sector Banks, State Bank of India (SBI), with disbursement of ₹ 43714.32 crore to 17.99 lakh loan accounts topped the table. SBI was followed by Canara Bank and Union Bank of India with a disbursement figure of ₹ 21985.33 crore and ₹ 21976.84 crore respectively.

The Private Sector Banks recorded improvement in performance with a disbursement of ₹ 1,74,911.45 crore during the year, registering 24% growth over the previous year. The major contributors in the private sector banks category were IndusInd Bank and Bandhan Bank with ₹ 55,352.23 crore and ₹ 47,221.25 crore of disbursement respectively.

MFIs disbursed a total loan amount of ₹ 76,605.33 crore to 159.96 lakh loan accounts. IIFL Samasta Finance Limited was the leading MFI with a disbursed amount of ₹ 11,545.68 crore in more than 25.34 lakh loan accounts.

NBFCs have also emerged contributor to the PMMY with a total disbursement of ₹ 38,913.72 crore. In this category, L&T Finance Limited has been the highest contributor with a total disbursement amount of ₹ 19,339.42 crore.

Small Finance Banks achieved 108 % of their target. During the year, 9 SFBs disbursed a total amount of ₹ 45,190.01 crore to 76.94 lakh

loan accounts. Ujjivan Small Finance Bank was on top of the table among SFBs, with a disbursed amount of ₹ 14,111.5 crore to 21.97 lakh loan accounts.

State wise Performance

While the Institution wise targets were assigned by the Govt. of India, the same were further sub-allocated state-wise by the respective lending institutions based on their network and potential to lend. The state level performance is being monitored by the respective SLBCs of the states. Of all the states, Uttar Pradesh topped with Disbursement of ₹ 58,535.05 crore, followed by Tamil Nadu with ₹ 57,370.41 crore and Bihar stood at third position with ₹ 56,841.09 crore.

Table 2: Performance of top 10 states

(₹ crore)			
Sr. No	State Name	Disbursement Amt. (2023-24)	Disbursement Amt. (2022-23)
1	Uttar Pradesh	58535.05	47427.26
2	Tamil Nadu	57370.41	43730.39
3	Bihar	56841.09	45448.59
4	Karnataka	49510.51	40746.09
5	West Bengal	46712.27	38353.85
6	Maharashtra	42773.74	36104.52
7	Rajasthan	26755.28	24492.62
8	Madhya Pradesh	25272.18	24632.59
9	Odisha	23355.99	21505.13
10	Gujarat	19640.31	17507.49

District wise performance: -

District wise performance under the scheme was also captured on the PMMY Portal. Except a few lending institutions, almost all have reported their data of district-wise performance.

A few agencies which could not provide-district wise break up have entered their data in the "Other" districts under the respective states. The top 10 districts under PMMY performance are given in the table 3:

Table 3: District wise performance

Sr. No	District Name	FY 2023-24		
		No of A/Cs	Disbursement Amt (₹ crore)	Share in the Total amount disbursed
1	Bangalore urban	596841	6200.22	1.16%
2	Murshidabad	733014	4839.12	0.91%
3	North 24 Parganas	644962	4525.58	0.85%
4	Tiruchirappalli	322486	4312.42	0.81%
5	Pune	361558	3782.30	0.71%
6	Ahmedabad	252990	3780.19	0.71%
7	Jaipur	200161	3652.20	0.69%
8	Patna	472616	3649.42	0.69%
9	Belgaum	517935	3507.54	0.66%
10	Gautam Buddha Nagar	28545	3312.35	0.62%
Total		4131108	41561.34	7.81%

*Total disbursement amount – ₹ 5,32,358.35 Cr.

These 10 districts formed 7.81% share in the total disbursements during FY 2023-24. Better performance of these districts was due to them being mostly urban centres with large potential of small business activities and presence of large number of financial outlets to serve them.

Regional Analysis

The region wise achievements divided into five regions based on their geography and the distribution of PMMY loans disbursed during the year has been analysed and given below:

FY	2023-24		2022-23		Growth in Disbursement Amt. (%)
	No of A/Cs	Disbursement Amt. (₹ crore)	No of A/Cs	Disbursement Amt. (₹ crore)	
North	1,38,08,409	1,27,636.44	1,35,57,609	1,11,573.17	14%
	20.7%	24.0%	21.76%	24.77%	
East	2,27,39,462	1,48,233.29	2,10,09,744	1,24,667.22	19%
	34.1%	27.8%	33.72%	27.68%	
North East	11,84,785	11,525.26	10,84,117	10,486.13	10%
	1.8%	2.2%	1.74%	2.33%	
South	1,83,10,948	1,56,416.84	1,58,71,449	1,24,650.13	25%
	27.4%	29.4%	25.47%	27.67%	
West	1,07,33,409	88,546.49	1,07,87,679	79,047.00	12%
	16.1%	16.6%	17.31%	17.55%	
Total	6,67,77,013	5,32,358.35	6,23,10,598	4,50,423.65	18%

**North:**

- Chandigarh
- Delhi
- Haryana
- Himachal Pradesh
- Jammu & Kashmir
- Ladakh
- Punjab
- Rajasthan
- Uttar Pradesh
- Uttarakhand

East :

- Bihar
- Chhattisgarh
- Jharkhand
- Odisha
- West Bengal

North East:

- Arunachal Pradesh
- Assam
- Manipur
- Meghalaya
- Mizoram
- Nagaland
- Sikkim
- Tripura

South:

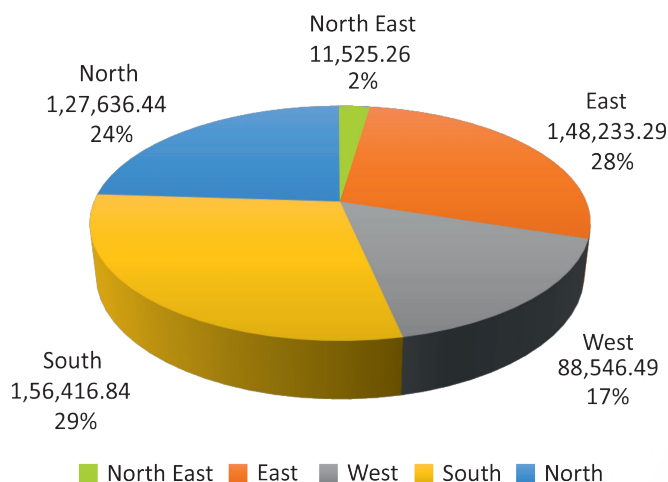
- Andaman & Nicobar
- Andhra Pradesh
- Karnataka
- Kerala
- Lakshadweep
- Puducherry
- Tamil Nadu
- Telangana

West:

- Dadra & Nagar Haveli
- Daman & Diu
- Gujarat
- Goa
- Madhya Pradesh
- Maharashtra

Region-wise Disbursement under PMMY

(₹ crore)

**Loan Category Analysis**

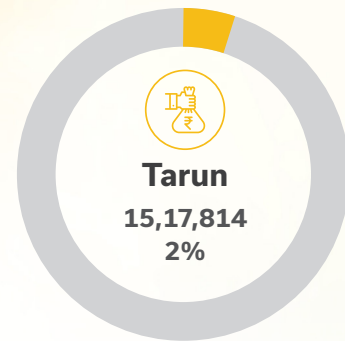
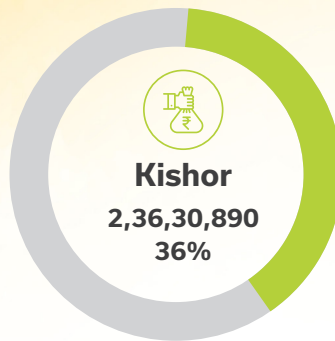
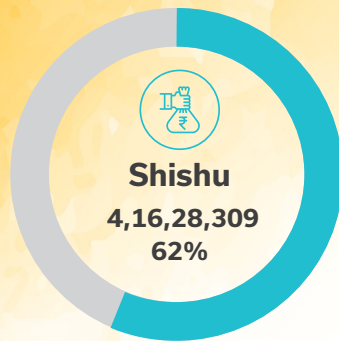
Mudra loans are extended in three categories based on the size of the loans. They are Shishu (upto ₹ 50,000), Kishore (above ₹ 50,000 and upto ₹ 5 lakh) Tarun (above ₹ 5 lakh and upto ₹ 10 lakh). The share of the three categories of PMMY has been analysed and is given below in the table:

Table 4: Category wise analysis of PMMY scheme

(₹ crore)

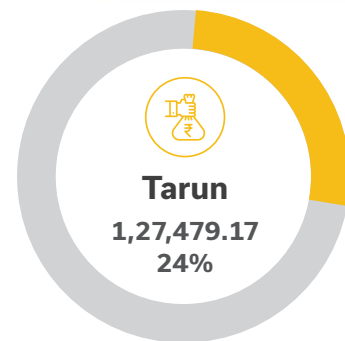
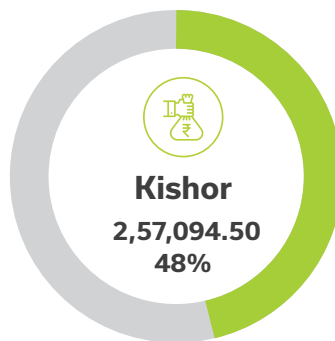
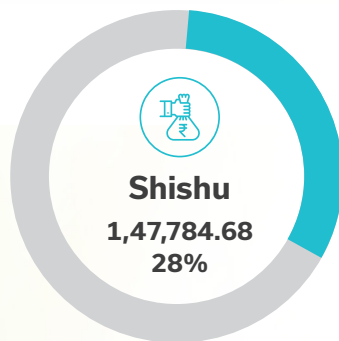
Category	FY 2023-24		FY 2022-23		% change Disbursement Amt.
	No. of loan accounts	Disbursement Amt.	No. of loan accounts	Disbursement Amt.	
Shishu	4,16,28,309	1,47,784.68	4,30,77,851	1,41,609.85	4.36%
	62.34%	27.76%	69.13%	31.44%	
Kishor	2,36,30,890	2,57,094.50	1,79,15,912	2,00,936.63	27.95%
	35.39%	48.29%	28.75%	44.61%	
Tarun	15,17,814	1,27,479.17	13,16,835	1,07,877.18	18.17%
	2.27%	23.95%	2.11%	23.95%	
TOTAL	6,67,77,013	5,32,358.35	6,23,10,598	4,50,423.66	

Among the three categories, Shishu loans had the largest share of 62.34% in terms of number of accounts followed by Kishor loans with a share of 35.39%.



Among the three categories, Kishor loans had the largest share of 48% followed by Shishu loans at 28% in terms of disbursement amount.

(₹ crore)



Assistance to less privileged sections

PMMY, since its implementation, has focussed on providing incremental funding support to the weaker sections of the society. The share of sub-categories of borrowers like SC, ST, OBC, Women and Minorities under different categories of PMMY loans is analysed and details of the same are given below:

Table 5: Sub - categories of borrowers: Disbursement (FY 2023-24)

(₹ in crore)

Sr No	Category	Shishu (Loans up to ₹ 50,000)		Kishore (Loans from ₹ 50,001 to ₹ 5.00 Lakh)		Tarun (Loans from ₹ 5.00 to ₹ 10.00 Lakh)		Total	
		No of A/Cs	Disbursement Amt.	No of A/Cs	Disbursement Amt.	No of A/Cs	Disbursement Amt.	No of A/Cs	Disbursement Amt
1	General	19952565	70517.96	14268234	167451.14	1208990	105301.62	35429789	343270.72
								(53.06%)	(64.48%)
2	SC	7408708	26676.66	2906782	25717.65	74055	5038.45	10389545	57432.76
								(15.56%)	(10.79%)
3	ST	2369630	8277.3	957967	9037.41	35879	2581.03	3363476	19895.73
								(5.04%)	(3.74%)
4	OBC	11897406	42312.77	5497907	54888.31	198890	14558.07	17594203	111759.14
								(26.35%)	(20.99%)
5	Total	41628309	147784.68	23630890	257094.5	1517814	127479.17	66777013	532358.35
	Out of Above								
6	Women								
	Entrepreneurs	30193055	108472.51	12104591	100370.49	194635	13454.27	42492281	222297.27
								(63.63%)	(41.76%)
7	New Entrepreneurs / Accounts	8849101	28839.75	3406239	60407.02	757456	68861.13	13012796	158107.9
								(19.49%)	(29.70%)
8	Minority	4698527	15759.66	1807462	20766.3	115450	8562.27	6621439	45088.23
								(9.92%)	(8.47%)

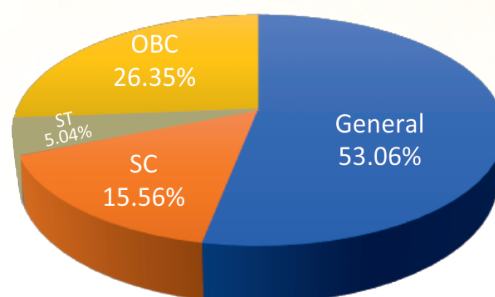
Note: Figure in parenthesis indicate the share in percentage.



Out of the total amount disbursed, 41.76% went to the women borrowers with 63.63% of the total accounts belonged to women. The reason for high share of women is lending of micro-loans by the MFIs primarily to women.

The share of the weaker section (SC/ST/OBCs) borrowers of the society in the PMMY programme was 46.94% in terms of loan accounts, and 35.52% in terms of loan amount disbursed. The shares of SC, ST and OBC category borrowers were 10.79 %, 3.74 % and 20.99 %, respectively, in terms of the loan amount disbursed.

Percentage Share of Total Number of Accounts in General, SC, ST and OBC



■ General ■ SC ■ ST ■ OBC

The borrowers from Minorities category accounted for 9.92% in terms of number of accounts and 8.47% in terms of amount disbursed in FY 2023-24 under PMMY.

Average loan size

The average size of loans extended under PMMY in different categories of loan is analysed and given below:

FY	Amount Disbursed (₹ in crore)		No. of loan accounts		Average loan size (₹ in rupees)	
	2022-23	2023-24	2022-23	2023-24	2022-23	2023-24
TOTAL	4,50,423.66	5,32,358.35	6,23,10,598	6,67,77,013	72,286.85	79,721.80

The average loan size under PMMY during FY 2023-24 increased to ₹ 79,721.80 as against ₹ 72,286.85 in the previous year.

This shows the increasing share of Kishore and the Tarun Borrowers in PMMY.

Mudra Card

To enable the MSE borrowers to effectively avail the working capital funds at reasonable and affordable cost, a debit card on RuPay platform named Mudra Card has been issued to PMMY borrowers by various lending institutions. During FY 2023-24, 3.16 lakh Mudra cards have been issued for an amount of ₹ 3,564.49 crore.

Since the cards issued during one year are usable in the next years also, the number of cards reported relate to only the new cards issued during the FY 2023-24. However, the cumulative number of Mudra Cards including the existing cards in use are more than 23.28 lakh.



Conclusion

Pradhan Mantri Mudra Yojana (PMMY) continues to serve millions of unfunded micro-borrowers in the country with loans much needed for their business activities resulting in upliftment of their lives.

The PMMY programme, during the last nine years, has benefitted 47.84 crore loan accounts with a disbursement of ₹ 28.22 lakh crore. Thus, enabling the grass-root economy of the country to contribute in a bigger way to the overall economic growth of the Nation.



**Dear Members,**

Your Directors take pleasure in presenting the 9th Annual Report on the business and operations of Micro Units Development & Refinance Agency Ltd (MUDRA) for the Financial Year (FY) ended 31st March 2024. The Audited Financial Statements, the Auditors' Report and the Report of the Comptroller & Auditor General of India on the Accounts for FY 2023-24 are also attached.

FINANCIAL RESULTS

Your Company's revenue from operations increased from ₹ 752.40 crore in FY 2022-23 to ₹ 1,313.50 crore in FY 2023-24. Total income increased from ₹ 1,537.20 crore to ₹ 2,307.07 crore, while profit after tax increased from ₹ 577.45 crore in FY 2022-23 to ₹ 813.92 crore in FY 2023-24 respectively. The highlights of the financial results are presented in Table 1.

Table 1: Financial Results Highlights FY 2023–2024

(₹ crore)

Particulars	FY 2023-24	FY 2022-23
Revenue from operations	1,313.50	752.40
Other income	993.57	784.80
(A) Total income	2,307.07	1,537.20
Employee benefit expenses	7.56	9.63
Finance costs	1,018.71	750.83
Depreciation expense	0.60	0.42
Provisions & write-off	172.52	(60.65)
Net Loss on de-recognition of financial instruments under amortized cost category	--	51.33
Other expenses	16.79	11.70
(B) Total expenses	1,216.17	763.25
Profit before tax (A-B)	1,090.90	773.95
(C) Total tax expenses	276.98	196.50
Profit for the year	813.92	577.45
Opening Surplus	20.89	18.37
Dividend @	33.52	33.52
Amount transferred to general reserves	600.00	415.00
Amount transferred to statutory reserves	162.78	115.49
Amount transferred to Impairment Reserve	--	10.92
Surplus	38.51	20.89
Earnings per share (₹)	4.86	3.45

@ Subject to approval of Members at the Annual General Meeting (AGM)

APPROPRIATIONS

Transfer to Statutory Reserves

Your Company is registered as a systemically important non-deposit taking, non-banking financial institution (NDSI-NBFC) under the provisions of Section 45-IA of the Reserve Bank of India Act, 1934. An amount of ₹162.78 crore (20% of the net profit), has been transferred to Statutory Reserves as stipulated under Section 45-IC of the Act.

Transfer to General Reserves

An amount of ₹600 crore has been transferred to General Reserves as proposed by the Board of Directors at its meeting held on May 27, 2024, in accordance with requirement under Section 123 (1) of the Companies Act, 2013.

Dividend

Your Directors have recommended first and final dividend of ₹0.20 per equity share (of ₹10 face value) (same as declared in FY 2022-23) on a pro rata basis for FY 2023-24. The proposal is subject to the approval of shareholders at the ensuing ninth Annual General Meeting of your Company. The dividend shall be paid to members whose names appear in the Register of Members of your Company, as on 31st March 2024.

SHARE CAPITAL

Your Company's paid-up equity share capital stood at ₹1,675.93 crore as on 31st March 2024, comprising 167.59 crore equity shares of ₹10 each, fully subscribed by SIDBI.

Financial Highlights

The Progress so far:

Amt. (₹) in Crore

As on March 31	2024	2023
Total Assets	39,432	38,453
Outstanding Portfolio	28,716	21,547
Capital-Authorised	5,000	5,000
Paid-up	1,676	1,676
Net-worth	4,093	3,313

CAPITAL ADEQUACY

Your Company's capital adequacy ratio was 81.47% as on 31st March 2024, which is significantly higher than the

minimum threshold limit of 15% prescribed by the RBI for large-sized, non-deposit taking, systemically important non-banking financial companies (NDSI-NBFCs).

DEPOSITS

Your Company has not accepted any deposits from the public during FY 2023-24 and shall not do so without prior approval of the RBI.

PARTICULARS OF LOANS, GUARANTEES OR INVESTMENTS

Pursuant to section 186 (4) of The Companies Act, 2013 every Company shall disclose to the members in the financial statement the full particulars of the loans given, investment made, or guarantee given, or security provided and the purpose for which the loan or guarantee or security is proposed to be utilised by the recipient of the loan or guarantee or security. However, pursuant to Section 186(11) of the Companies Act, 2013, read with Rule 11(2) of the Companies (Meetings of Board and its Powers) Rules, 2014, the loans made, guarantees given, or securities provided in the ordinary course of business by an NBFC registered with the RBI is exempt from the applicability of provisions of Section 186 of the Act. As such, particulars of refinance provided by your Company have not been disclosed in this report.

The details of your Company's investments are furnished under Note 7 forming part of financial statements for FY 2023-24.

RELATED-PARTY TRANSACTIONS

Related-party transactions as disclosed in Note 41 of the audited financial statements, entered during FY 2023-24, were conducted on an arm's-length basis and in the ordinary course of business. The approval of the Board of Directors was obtained wherever required.

Further, there are no materially significant related-party transactions made by your Company. Accordingly, the particulars of the transactions as prescribed in Form AOC - 2 of the rules prescribed under Chapter IX relating to Accounts of Companies under the Companies Act, 2013, are not required to be disclosed as they are not applicable.

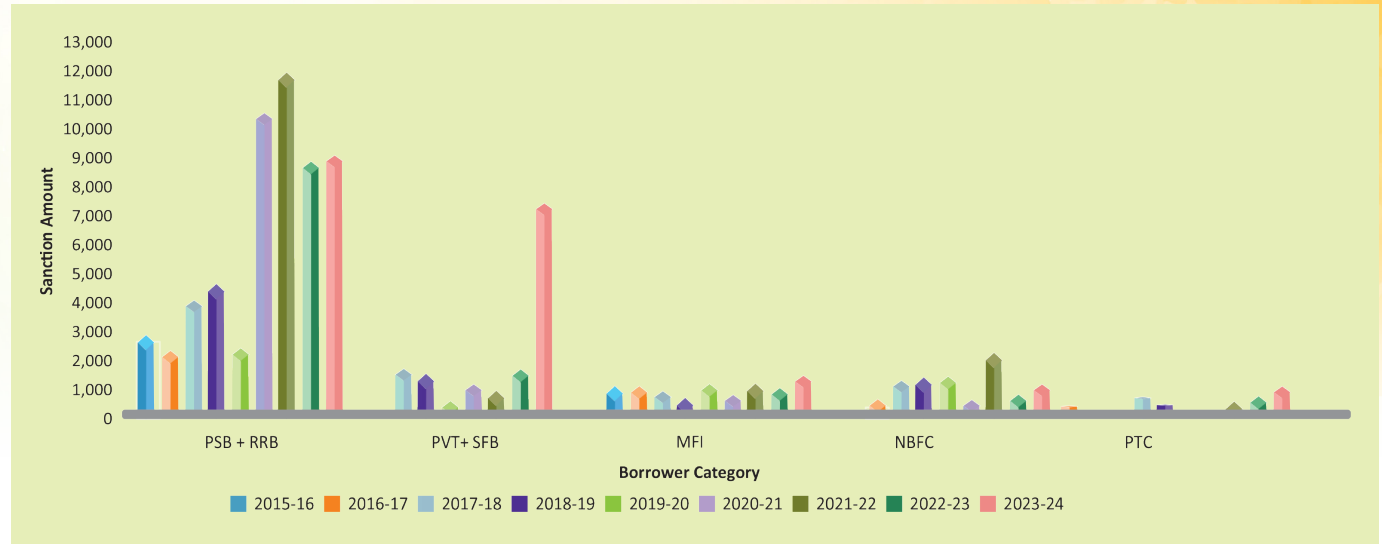
OPERATIONS

During FY 2023-24, your Company sanctioned ₹19,560.11 crore to 21 Banks, 8 MFIs, 5 NBFCs and through 10 PTCs & ₹19,511.74 crore was disbursed.



Sanction & Disbursements (₹ in crore)

Trends in Refinance Sanction

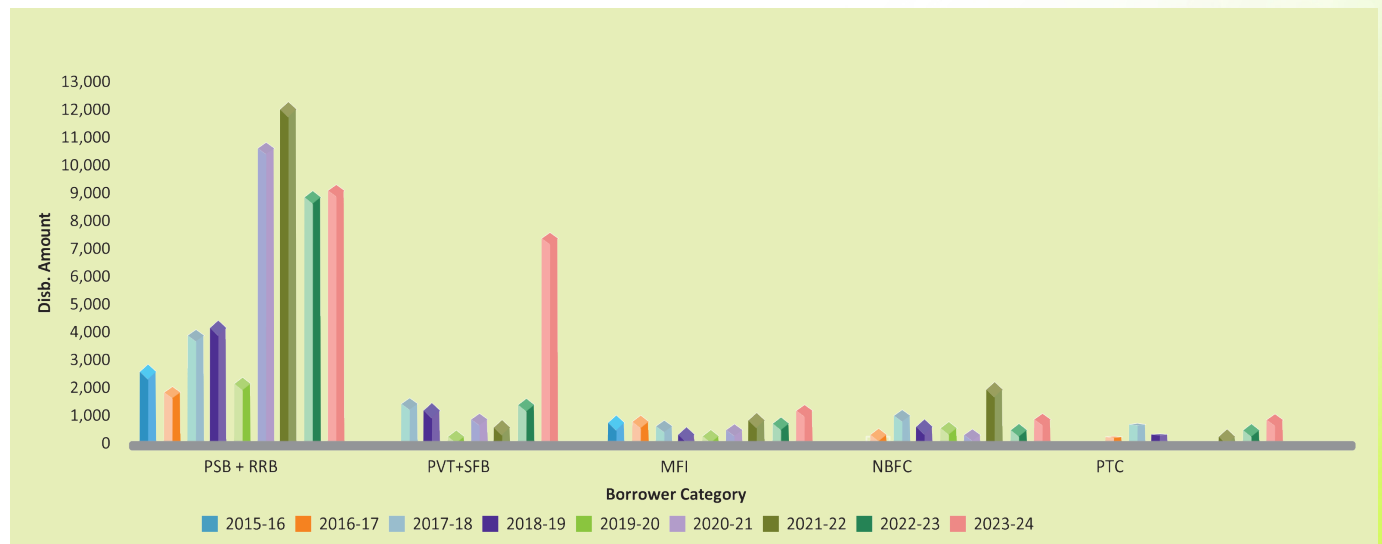


FY wise sanctions:

(₹ in crore)

Borrower Category	2015-16	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22	2022-23	2023-24
PSB + RRB	2,671.25	2,068.52	4,072.48	4,529.00	2,158.00	10,479.65	11,807.87	8,683.00	9,013.71
PVT+ SFB	0.00	0.00	1,600.00	1,270.00	264.00	1,077.00	633.28	1,490.00	7,290.00
MFI	812.00	820.00	446.50	236.00	1,080.00	356.00	1,025.00	973.00	1,387.50
NBFC	0.00	399.00	1,137.00	1,200.00	1,309.00	400.00	2,090.00	675.00	975.00
PTC	49.95	271.42	721.92	323.10	0.00	0.00	66.66	427.00	893.90
Total	3533.20	3558.94	7977.90	7558.10	4811.00	12312.65	15622.81	12248.00	19560.11

Trend in Refinance Disbursements



FY wise Disbursement:

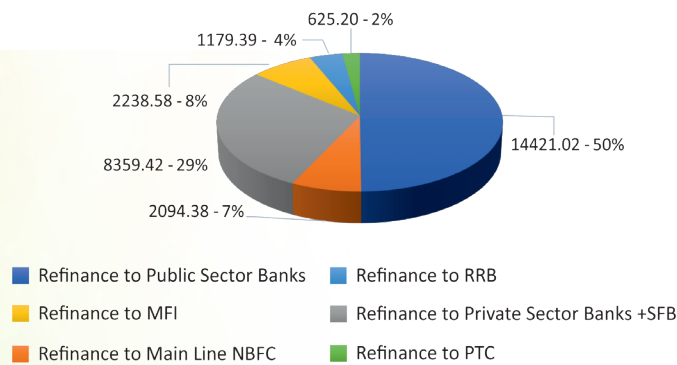
(₹ in crore)

Borrower Category	2015-16	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22	2022-23	2023-24
PSB + RRB	2,671.25	2,068.52	4,072.48	4,329.00	2,244.00	10,479.65	11,807.87	8,683.00	9,013.71
PVT+ SFB	0.00	0.00	1,350.00	1,470.00	265.00	947.00	708.28	1,490.00	7,290.00
MFI	616.00	787.00	369.50	314.00	932.00	508.50	705.00	1,118.00	1,387.50
NBFC	0.00	399.00	1,005.00	708.00	559.00	367.50	1,965.00	795.00	995.00
PTC	49.95	271.42	704.07	309.46	0.00	0.00	66.66	427.00	825.53
Total	3,337.20	3,525.94	7,501.05	7,130.46	4,000.00	12,302.65	15,252.81	12,513.00	19,511.74

MUDRA Overall Operations - Outstanding Year-wise

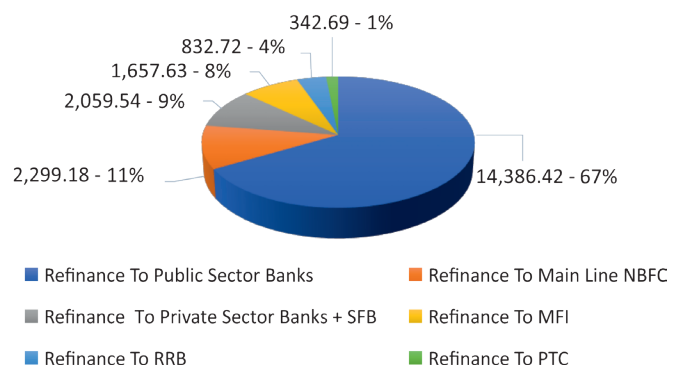
(₹ Crore)

Category-wise Breakup of Refinance Outstanding as on March 31, 2024



Total Refinance o/s: ₹28,917.98 Cr.

Category-wise Breakup of Refinance Outstanding as on March 31, 2023



Total Refinance o/s: ₹21,578.17 Cr.

PRADHAN MANTRI MUDRA YOJANA (PMMY)

The Pradhan Mantri Mudra Yojana (PMMY) envisages providing MUDRA loans up to ₹ 10 lakh by Banks, NBFCs, and MFIs for income-generating micro/small enterprises engaged in the manufacturing, trading, and services sectors.

An overdraft amount of ₹10,000 sanctioned under Pradhan Mantri Jan Dhan Yojana (PMJDY) is also classified as a MUDRA loan under PMMY.

MUDRA loans are classified into three categories:

- Shishu for loan up to ₹ 50,000
- Kishor for the loan above ₹ 50,000 up to ₹ 5 lakh, and
- Tarun for the loan above ₹ 5 lakh up to ₹ 10 lakh

The names signify the stage of growth/development of the micro-enterprises and their funding needs.

Monitoring of PMMY

MUDRA has developed a MUDRA PMMY portal to capture data on lending by various agencies and submitting its report to the GoI with granular information such as type of loan, type of borrowers, and their details agency-wise, state-wise, and district-wise etc. The Department of Financial Services (DFS), GoI, and MUDRA reviews progress of PMMY regularly.

Pradhan Mantri Mudra Yojana (PMMY) during FY 2023-24

More than ₹6.67 crore MSME Loan accounts were benefitted through PMMY during the year. A snapshot of various categories of beneficiaries is presented in Table 2.

**Table 2: Categories of MUDRA loans and beneficiaries FY 2023-24 and cumulative for 9 years under Pradhan Mantri Mudra Yojana**

Category	2023-24			Cumulative for 9 years since inception		
	No. of Accounts	Amount sanctioned (₹crore)	Amount disbursed (₹crore)	No. of Accounts	Amount sanctioned (₹crore)	Amount disbursed (₹crore)
	Share			Share		
Shishu	4,16,28,309	1,48,937	1,47,785	38,41,64,513	10,86,275	10,74,583
	62.34%	27.53%	27.76%	80.30%	37.60%	38.08%
Kishore	2,36,30,890	2,62,285	2,57,094	8,45,85,887	11,19,748	10,85,288
	35.39%	48.48%	48.29%	17.68%	38.76%	38.46%
Tarun	15,17,814	1,29,791	1,27,479	96,88,646	6,83,241	6,62,267
	2.27%	23.99%	23.95%	2.03%	23.65%	23.47%
TOTAL	6,67,77,013	5,41,013	5,32,358	47,84,39,046	28,89,264	28,22,138
Out of the above						
Women	4,24,92,281	2,25,887	2,22,297	32,49,81,265	12,84,510	12,43,754
	63.63%	41.75%	41.76%	67.93%	44.46%	44.07%
New entrepreneur Accounts	1,30,12,796	1,62,030	1,58,108	9,76,81,668	8,88,100	8,54,395
	19.49%	29.95%	29.70%	20.42%	30.74%	30.27%
SC/ST/OBC	3,13,47,224	1,92,142	1,89,088	24,04,82,573	10,08,856	9,89,144
	46.94%	35.52%	35.52%	50.26%	34.92%	35.05%

(Figures in percentage indicate their share in the total)

The high percentage of women in terms of the number of accounts is mainly due to the high share of Micro Finance Institutions in Shishu loans, where women borrowers mostly make up the clientele.

The share of special categories of borrowers – SC, ST, OBC, women and minority – under different schemes of PMMY continues to be significant in FY 2023-24.

The share of women borrowers stands at 63.63% by the number of accounts and 41.76% by disbursement amount in FY 2023-24.

The participation of the under-privileged sections (SC, ST & OBCs) of the society in the PMMY program was 46.94% in terms of the number of loan accounts, and 35.52% in terms of the loan amount disbursed. The share of SC, ST, and OBC categories were 15.56%, 5.04%, and 26.35%

respectively, in terms of the number of loan accounts disbursed in FY 2023-24.

The Minority category of borrowers accounted for 9.92% in terms of the number of accounts and 8.47% in terms of total amount disbursed in FY 2023-24.

New entrepreneur accounts stood at 19.49% of total loan accounts in FY 2023-24, and 29.70% of the total disbursed amount. Nearly 1.30 crore new entrepreneur accounts were disbursed loan under PMMY during the year, compared with 1 crore in FY 2022-23, registering a growth of 30%.

The MUDRA Yojana has thus continued helping fulfil the aspirations of many MSE entrepreneurs who were otherwise outside the ambit of the formal banking system and is addressing the issue of 'funding the unfunded' to a large extent.

CORPORATE GOVERNANCE

MEETINGS OF THE BOARD OF DIRECTORS

During FY 2023-24, the Board of MUDRA met 5 times on various dates in accordance with Section 173 of Companies Act, 2013. Details of these meetings are given in **Annexure I**.

The provisions of Companies Act, 2013, and rules made thereunder, and the Secretarial Standards were adhered to while considering the time gap between meetings and holding the meetings according to prescribed procedures.

POLICY ON DIRECTORS' APPOINTMENT & REMUNERATION

REMUNERATION TO EXECUTIVE DIRECTORS

Your Company has one full-time executive director, who is on deputation from SIDBI. His remuneration is paid by your Company.

NRC CHARTER

The Nomination and Remuneration Charter of the Company can be accessed on the Company's website at www.mudra.org.in

REMUNERATION TO NON-EXECUTIVE DIRECTORS

Non-executive Directors and Independent Directors (other than Nominee Directors and Directors from the GoI) are paid remuneration by way of sitting fees for each meeting of the Board and Committee of Directors attended by them.

DECLARATION BY INDEPENDENT DIRECTORS

The Board of Directors of MUDRA has received a declaration from all Independent Directors as per Section 149(7) of the Companies Act, 2013, and the Board is satisfied that all of them meet the criteria of independence stipulated under Section 149(6) of the Companies Act, 2013.

BOARD EVALUATION

The evaluation of Directors, Committees, Chairman of the Board, and the Board was conducted based on the criteria and framework adopted by the Board. The outcome of the evaluation for FY 2023-24 was discussed by the Nomination & Remuneration Committee and the Board.

PARTICULARS OF EMPLOYEES

Your Company has not employed any individual whose remuneration falls within the purview of the limits

prescribed under Section 197 of the Companies Act, 2013, read with Rule 5 (2) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014.

TRAINING & CAREER DEVELOPMENT

During FY 2023-24, your company nominated its Chief Executive Officer and an Independent Director to a training program on "familiarisation program for Independent Directors", organized under the aegis of Indian Institute of Corporate Affairs, Ministry of Corporate Affairs, Government of India.

Further, your Company also nominated its supervisory officers to a training program on "Supervisory Sensitization Programme for CCOs of NBFCs", conducted by Reserve Bank of India, Mumbai. The Chief Finance Officer, Company Secretary and Head Internal Audit attended the same.

All the staff members had been imparted training in an online training program on Prevention of Sexual Harassment at workplace.

Empowerment & Accountability



DIRECTORS AND KEY MANAGERIAL PERSONNEL

INDUCTIONS

The following appointments were made during the year:

- Shri Umesh Patil as Company Secretary and Compliance officer of MUDRA, effective June 02, 2023.
- Smt Mala Sinha as Non-Executive Independent Director of MUDRA, effective June 05, 2023.
- Shri Prakash Kumar as Nominee Director of Small Industrial Development Bank of India (SIDBI), effective November 23, 2023.



- Shri Parshant Kumar Goyal as Nominee Director of Department of Financial Services, Ministry of Finance, Government of India, effective December 04, 2023.
- Shri Sushil Kumar Singh as Nominee Director of Department of Financial Services, Ministry of Finance, Government of India, effective April 05, 2024.
- Shri Manoj Mittal, CMD, SIDBI as Nominee Director and Chairman of MUDRA, effective July 27, 2024.
- Shri Sivasubramanian Ramann, SIDBI Nominee Director & Chairman of MUDRA, ceased to be Nominee Director on account of withdrawal of his nomination by SIDBI, effective April 18, 2024. The Board of Directors placed on record their appreciation for the valuable contributions made by him during his tenure as a Nominee Director and Chairman of the Company.

REAPPOINTMENTS

- As per the provisions of the Companies Act, 2013 and relevant rules made thereunder Shri Sudatta Mandal, Nominee Director, SIDBI and Shri Vinay Hedao, Managing Director retire by rotation at the ensuing AGM and, and being eligible offered themselves for re-appointment. The Board has recommended their re-appointment.

RETIREMENTS & RESIGNATIONS

- Shri Vishnu Sah, Company Secretary and Compliance officer ceased to be Company Secretary and Compliance officer of MUDRA, effective from June 01, 2023. The Board of Directors placed on record their appreciation for the valuable contributions made by him during his tenure as Company Secretary and Compliance officer of the Company.
- Shri Vasantha Rao Satya Venkat Rao, SIDBI Nominee Director ceased to be Nominee Director on account of withdrawal of his nomination by SIDBI, effective June 02, 2023. The Board of Directors placed on record their appreciation for the valuable contributions made by him during his tenure as a Nominee Director of the Company.
- Smt Smita Affinwalla, Independent Director ceased to be Independent Director on account of completion of her tenure, effective June 04, 2023. The Board of Directors placed on record their appreciation for the valuable contributions made by her during her tenure as an Independent Director of the Company.
- Shri Mukesh Kumar Bansal, GoI Nominee Director ceased to be Nominee Director on account of withdrawal of his nomination by DFS, effective December 04, 2023. The Board of Directors placed on record their appreciation for the valuable contributions made by him during his tenure as a Nominee Director of the Company.
- Shri Parshant Kumar Goyal, GoI Nominee Director ceased to be Nominee Director on account of withdrawal of his nomination by DFS, effective April 05, 2024. The Board of Directors placed on record their appreciation for the valuable contributions made by him during his tenure as a Nominee Director of the Company.

CHANGE IN DIRECTORSHIP

The details of the Board of Directors of your Company, and changes in directorship during FY 2023-24 are given in **Annexure I**.

COMMITTEES OF THE BOARD

As on March 31, 2024, the Board had Six Board Level Committees – Audit Committee, Nomination & Remuneration Committee, Risk Management Committee, Corporate Social Responsibility Committee, Executive Committee, and IT Strategy Committee in compliance with the applicable provisions of the Companies Act, 2013, and the RBI regulations. The composition of the Board and the Board Committees is provided in the **Annexure I**.

BOARD AND BOARD COMMITTEE MEETINGS CONDUCTED DURING THE PERIOD UNDER REVIEW

During the FY 2023-24, 5 (Five) meetings of the Board of Directors, 6 (Six) meetings of the Audit Committee, 2 (Two) meetings of the Nomination and Remuneration Committee, 3 (Three) meetings of the Corporate Social Responsibility Committee, 5 (five) meetings of the Risk Management Committee, 4 (four) meetings of the IT Strategy Committee and 4 (four) meetings of the Executive Committee were held.

INTERNAL FINANCIAL CONTROL & ITS ADEQUACY

Your Company has adopted policies and procedures for ensuring orderly and efficient conduct of business and has put in place standard operating procedures (SOPs) and internal financial control for various schemes and processes. Such internal financial controls were confirmed by the Statutory Auditors after testing, as adequate and operating effectively.

MATERIAL CHANGES AND COMMITMENTS

MUDRA has adopted Accelerated Provision Policy due to change in repayment terms of refinance and increase in perceived risk for NBFC/ MFI Sector. Other than that, there have been no material changes and commitments affecting the financial position of your Company after signing of the financial statements in this report.

SIGNIFICANT AND MATERIAL ORDERS PASSED BY REGULATORS, COURTS, OR TRIBUNALS

There are no significant and material orders passed by the regulators, courts, or tribunals impacting the going-concern status and the Company's operations in future.

ANNUAL RETURN

As per the provisions of section 92(3) and 134(3)(a) read with Rule 11 of the Companies (Management and Administration) Rules, 2014 as amended, every company shall place a copy of the annual return on the website of the company, if any, and the web-link of such annual return shall be disclosed in the Board's report. Hence, it is no longer required to attach the extract of the Annual Return i.e. Form MGT-9 in the Board's report.

In compliance with section 134(3)(a), the annual return referred to in sub-section (3) of Section 92 has been placed on the website of the Company at www.mudra.org.in

SECRETARIAL STANDARDS

The Company complied with all applicable Secretarial Standards.

DIRECTORS RESPONSIBILITY: STATEMENTS

Pursuant to Section 134(3)(c) of the Companies Act, 2013, the directors confirm that, to the best of their knowledge and belief,

- Applicable accounting standards had been followed in the preparation of the annual accounts, along with proper explanation relating to material departures;
- They have selected such accounting policies, applied them consistently, and made such reasonable and prudent judgments and estimates, to give a true and fair view of the state of affairs of the Company at the end of FY 2023-24 and of the profit and loss of the Company for that period;
- They have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- They have prepared the annual accounts on an ongoing-concern basis;
- They have laid down internal financial controls to be followed by the Company, and these internal financial controls were adequate and operating effectively;
- They have devised proper systems to ensure compliance with the provisions of all applicable laws, and that these systems were adequate and operating effectively.

DISCLOSURES REGARDING SEXUAL HARASSMENT AT WORKPLACE

The Company has zero tolerance for sexual harassment at workplace and has adopted a Policy on prevention, prohibition, and redressal of sexual harassment at workplace in line with the provisions of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 and the Rules thereunder ("the Act") for prevention, prohibition, and redressal of complaints of sexual harassment at workplace. The Anti Sexual Harassment Policy of the Company is available on MUDRA's internal communication channels.

The Company has also constituted an Internal Complaints Committee (ICC) in compliance with Section 4 of the Act. The details of the ICC are provided on the notice board.

The Company has not received any complaint on sexual harassment during the Financial Year 2023-24.

AUDIT REPORTS AND AUDITORS

AUDIT REPORTS

- The Auditors' Report for FY 2023-24 does not contain any qualification, reservation, or adverse remark. Further, there had been no instance of fraud committed against your Company by any officer or employee that was required to be reported to the central government by the auditors. The Auditors' Report is enclosed with the Financial Statements in this Annual Report.
- The Secretarial Audit Report for FY 2023-24 does not contain any qualifications or adverse remarks, which require any clarification/ explanation. The Secretarial Audit Report is enclosed as **Annexure II** to the Board's Report.

AUDITORS

STATUTORY AUDITORS

Your Company is owned or controlled by SIDBI, which was set up under an Act of Parliament. Accordingly, as per Section 139(5) of the Companies Act, 2013, M/s D. Kothary & Co. (chartered accountancy firm bearing registration number 105335W), was appointed by the Comptroller and Auditor General (CAG) of India as the Statutory Auditors of MUDRA, to conduct the audit of the FY 2023-24.

SECRETARIAL AUDITORS

As required under Section 204 of the Companies Act, 2013, the Board has appointed Shri Deependra Omprakash Shukla, Practising Company Secretary



to undertake secretarial audit of your Company for FY 2023-24.

SUPPLEMENTARY AUDIT BY CAG

Supplementary audit of your Company was undertaken by the Indian Audit and Accounts Department (IAAD), Office of the Principal Director of Commercial Audit, from June 18, 2024, to June 28, 2024. The information sought by IAAD, along with Audited financial statements for FY 2023-24, was duly furnished to their office.

Based on the audit, the Office of the Principal Director of Commercial Audit, vide letter dated August 02, 2024 has issued an Audit Certificate with NIL observations. A copy of the letter is enclosed with the Audited Financial Statements.

INTERNAL / CONCURRENT AUDITORS

In terms of requirements under Section 138 of the Companies Act, 2013, M/s Khandelwal Jain & Co, Chartered Accounts was appointed as Risk Based internal auditors till December 2023 and then w.e.f. January 01, 2024, M/s. Kochar & Associates, Chartered Accounts was appointed as Risk Based internal auditors of your Company for FY 2023-24.

Besides, w.e.f. January 01, 2024, M/s R.B. Jain Chartered Accountants has been re-appointed as Concurrent Auditors of your company.

They submitted monthly audit reports, which have been duly taken into account, and corrective actions have been carried out and reported to the Audit Committee.

MAINTENANCE OF COST RECORDS & COST AUDITOR

The Company is not required to maintain cost accounts and records as required under Section 148(1) of the Companies Act, 2013 read with rules made thereunder and hence appointment of Cost Auditor is also not applicable to your Company.

RISK MANAGEMENT POLICY

Your Company has developed a Risk Management Policy which inter-alia includes therein identification of elements of risk which in the opinion of the Board may threaten the existence of the Company.

The risk management policy sets out the objectives and includes identification of key risks and their mitigation plans.

The Board reviews the Risk Management framework including significant risks, if any, and steps taken to

mitigate the same. There are no risks that may threaten the existence of the Company.

CORPORATE SOCIAL RESPONSIBILITY (CSR)

According to the audited financial position, the net worth, turnover and paid-up share capital of your Company has, in FY 2023-24, crossed the threshold that requires the constitution of a Corporate Social Responsibility (CSR) Committee as laid down under Section 135(1) of the Companies Act, 2013.

Your Company has contributed ₹24,45,025/- (Rupees Twenty-Four Lakh Forty-Five Thousand Twenty-Five only) to Bisnoli Sarvodaya Gramodyog Sewa Sansthan (BSGSS) for undertaking a Sustainable Livelihood Programme for women in Dist. Nuh, Haryana and contributed ₹9,40,04,975/- (Rupees Nine Crore Forty Lakh Four Thousand Nine Hundred Seventy Five only) to Prime Minister's National Relief Fund (PMNRF) during FY 2023-24.

The details of the CSR Policy are available on the website at www.mudra.org.in

Annual Report on CSR as required under the Companies Act, 2013 is given in **Annexure III**.

VIGIL MECHANISM

In view of compliance with Section 177(9) & (10) of the Companies Act, 2013, read with Rule 7 of Companies (Meetings of Board and its Powers) Rules 2014, your Company follows SIDBI's and Central Vigilance Commission's guidelines under the overall supervision of the Chief Vigilance Officer (CVO) of SIDBI. MUDRA follows the Vigil Mechanism/ Whistle Blower Policy approved by the Board.

The Vigilance Officer in-charge submits monthly report to the CVO, SIDBI.

RBI GUIDELINES

As a Systemically Important, Non-Deposit taking, Non-Banking Finance Institution (NDSI), your Company always aims to operate in compliance with applicable RBI laws and regulations and employs its best efforts towards achieving the same.

RIGHT TO INFORMATION ACT, 2005

During the year under review, your Company has received 42 Right to Information (RTI) applications through DFS, RBI, SIDBI, State Government/ planning department and directly under the RTI Act, 2005, inquiring about PMMY and the MUDRA. All applications were disposed off by your Company within the prescribed timeframe.

Transparency/Disclosures

42 RTI applications recieved.

All such applications were disposed off within the stipulated time.

CONSERVATION OF ENERGY; FOREIGN EXCHANGE EARNINGS AND OUTGO

The particulars required under Section 134(3) (m) of the Companies Act, 2013, in respect of conservation of energy do not apply to your Company and hence are not included in this report, considering the nature of activities undertaken during the year under review.

Your company only consumes electricity during operational and administrative activities.

There had been no earnings and outgo of foreign exchange, during the year.

TECHNOLOGY ABSORPTION

MUDRA is working in a computerised environment. It has acquired software for general ledger accounts and loan management for meeting its comprehensive needs and major components of both have already been implemented.

A portal is in place for collecting and collating data from all banks/MFIs/ NBFCs pertaining to loans being given by them under PMMY. The portal is quite robust and captures a variety of data and generates various kind of reports.

The portal is being used by the Gol for strategizing, follow-up, and monitoring of PMMY performance.

ACKNOWLEDGEMENTS

The Board takes this opportunity to express its sincere appreciation for the excellent patronage received from all its stakeholders, especially the Department of Financial Services, Ministry of Finance, Government of India; the Reserve Bank of India; the Ministry of Corporate Affairs; and Small Industries Development Bank of India and thank them for their continued support.

The Board also expresses its gratitude for the continued confidence and faith reposed in it by the shareholders. The Board also acknowledges the zeal, commitment and dedication of the executives and employees of the Company at all levels.

Your Board is also thankful to the Auditors of the Company and CAG India for their advice and guidance.

For and on behalf of the Board of
Micro Units Development & Refinance Agency Ltd

Manoj Mittal

Chairman

DIN: 01400076

Date: September 26, 2024

Place: Mumbai





Annexures to the Directors' Report

Annexure I

Board of Directors as on March 31, 2024

S. No.	Name (Smt./Shri/Ms.)		Date of appointment
Government and SIDBI Nominee			
1	*Sivasubramanian Ramann, IA&AS	Chairman and SIDBI Nominee Director	April 28, 2021
2	*Parshant Kumar Goyal, IAS	DFS, Gol, Gol Nominee Director	December 04, 2023
3	Sudatta Mandal	DMD, SIDBI, SIDBI Nominee Director	May 28, 2021
4	Prakash Kumar	DMD, SIDBI, SIDBI Nominee Director	November 23, 2023
5	Vinay Hedao	MD & CEO, MUDRA	August 02, 2021
Independent Directors			
6	Sadhu Venkataramana Sastry		February 15, 2023
7	Mala Sinha		June 05, 2023

*Shri Sivasubramanian Ramann ceased to be Nominee Director and Chairman of MUDRA w.e.f. April 18, 2024 and Shri Parshant Kumar Goyal, IAS ceased to be Nominee Director w.e.f. April 05, 2024.

Appointment and Cessation during the FY 2023-24

Sr. No	Name (Smt./Shri/Ms.)	Designation	Date of appointment	Date of cessation
1.	Vasantha Rao Satya Venkat Rao	DMD, SIDBI, SIDBI Nominee Director	--	June 02, 2023
2.	Smita Affinwalla	Independent Director	--	June 04, 2023
3.	Mala Sinha	Independent Director	June 05, 2023	--
4.	Mukesh Kumar Bansal, IAS	Joint Secretary, DFS, Gol, Gol Nominee	--	December 04, 2023
5.	Prakash Kumar	DMD, SIDBI, SIDBI Nominee Director	November 23, 2023	--
6.	Parshant Kumar Goyal, IAS	Joint Secretary, DFS, Gol, Gol Nominee	December 04, 2023,	--

Appointment and Cessation after FY 2023-24

Sr. No	Name (Smt./Shri/Ms.)	Designation	Date of appointment	Date of cessation
1.	Sushil Kumar Singh	Director, DFS, Gol, Gol Nominee Director	April 05, 2024	--
2.	Parshant Kumar Goyal, IAS	Joint Secretary, DFS, Gol, Gol Nominee Director	--	April 05, 2024
3.	Sivasubramanian Ramann	Chairman and MD, SIDBI, SIDBI Nominee Director and Chairman, MUDRA	--	April 18, 2024
4	Manoj Mittal	Chairman and MD, SIDBI, SIDBI Nominee Director and Chairman, MUDRA	July 27, 2024	--
5	Vinay Hedao	MD & CEO, MUDRA	--	September 26, 2024
6	Y Venugopal Rao	MD & CEO, MUDRA	September 26, 2024	--

Board Meetings held during the year

S. No.	Date of meeting	Board strength	No. of Directors present
1	April 24, 2023	7	7
2	June 01, 2023	7	7
3	September 27, 2023	6	6
4	November 20, 2023	6	4
5	February 09, 2024	7	7

Audit Committee Meetings held during the year

S. No.	Date of meeting	Board strength	No. of Directors present
1	April 24, 2023	3	3
2	May 29, 2023	3	3
3	September 11, 2023	3	3
4	September 27, 2023	3	3
5	November 17, 2023	3	3
6	February 08, 2024	3	3

Nomination and Remuneration Committee Meetings held during the year

S No.	Date of meeting	Board strength	No. of Directors present
1	May 29, 2023	3	3
2	September 11, 2023	3	3

Risk Management Committee Meetings held during the year

S No.	Date of meeting	Board strength	No. of Directors present
1	April 24, 2023	4	4
2	May 29, 2023	4	4
3	September 11, 2023	3	3
4	November 17, 2023	3	3
5	February 08, 2024	4	4

Corporate Social Responsibility Committee Meetings held during the year

S No.	Date of meeting	Board strength	No. of Directors present
1	August 02, 2023	3	3
2	November 17, 2023	3	3
3	February 08, 2024	3	3

IT Strategy Committee Meetings held during the year

S No.	Date of meeting	Board strength	No. of Directors present
1	April 21, 2023	4	4
2	August 28, 2023	4	4
3	November 17, 2023	4	4
4	February 07, 2024	4	4

Executive Committee Meetings held during the year

S No.	Date of meeting	Board strength	No. of Directors present
1	July 26, 2023	4	4
2	February 13, 2024	4	4
3	February 26, 2024	4	4
4	March 26, 2024	4	4

**Constitution of Committees of MUDRA under Companies Act, 2013****Audit Committee**

Name	Position
Smt Mala Sinha*	Chairperson
Shri Sudatta Mandal	Member
Shri Sadhu Venkataramana Sastry*	Member

*Smt Mala Sinha was designated as Chairperson of ACB and Shri Sadhu Venkataramana Sastry was designated as Member of ACB w.e.f. June 24, 2023.

Nomination & Remuneration Committee

Name	Position
Shri Sudatta Mandal*	Chairman
Shri Sadhu Venkataramana Sastry	Member
Smt Mala Sinha#	Member

* Shri Sudatta Mandal was designated as a Chairman of NRC w.e.f. June 24, 2023.

#Smt Mala Sinha was designated as Member of NRC w.e.f. June 24, 2023.

Corporate Social Responsibility Committee

Name	Position
Shri Vinay Hedao	Chairman
Shri Prakash Kumar#	Member
Smt Mala Sinha	Member

#Shri Prakash Kumar was designated as a Member of CSRC in place of Shri Sudatta Mandal w.e.f. December 19, 2023.

Risk Management Committee

Name	Position
Shri Sudatta Mandal	Chairman
Shri Prakash Kumar#	Member
Shri Sadhu Venkataramana Sastry	Member
Shri Vinay Hedao	Member

#Shri Prakash Kumar was designated as a Member of RiMC w.e.f. December 19, 2023

IT Strategy Committee

Name	Position
Shri Sadhu Venkataramana Sastry	Chairman
Shri Prakash Kumar	Member
Smt Mala Sinha	Member
Shri Vinay Hedao	Member

Note: In view of RBI's Master Direction on Information Technology Governance, Risk, Controls and Assurance Practices dated November 7, 2023, effective from April 1, 2024, MUDRA reconstituted IT Strategy Committee w.e.f. March 01, 2024. (The Committee should have a minimum of three directors as members and the Chairperson of the Committee shall be an independent director.)

Annexure-II
Form No. MR-3
SECRETARIAL AUDIT REPORT
For the financial year ended March 31, 2024

[Pursuant to section 204(1) of the Companies Act, 2013 and Rule No. 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To

The Members

**Micro Units Development & Refinance Agency Ltd
[MUDRA Ltd.]**

Swavalamban Bhavan, Plot No. C-11, G Block,
Bandra Kurla Complex, Bandra (East),
Mumbai: 400 051, Maharashtra, India.

I have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **Micro Units Development & Refinance Agency Limited** (hereinafter called 'the Company'). Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts/ statutory compliances and expressing our opinion thereon.

Based on our verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the Company in soft copy version, duly authenticated, and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, we hereby report that in our opinion, the Company has, during the audit period covering the financial year ended on 31st March 2024 ('Audit Period') complied with the statutory provisions listed hereunder, subject to specified observation mentioned below, however, the Company has proper adequate Board-process and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on 31st March 2024 according to the provisions of:

- (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
- (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder; *(Not Applicable to the Company)*
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder; *(Not Applicable to the Company)*

- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings; *(Not Applicable to the Company)*

The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act'): —

- (a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011; *(Not Applicable to the Company)*
- (b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 1992; *(Not Applicable to the Company)*
- (c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009 *(Not Applicable to the Company)*;
- (d) The Securities and Exchange Board of India (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines, 1999 *(Not Applicable to the Company)*;
- (e) The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008 *(Not Applicable to the Company)*;
- (f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client; *(Not Applicable to the Company)*
- (g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2009; *(Not Applicable to the Company)*; and
- (h) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 1998; *(Not Applicable to the Company)*;
- (v) Other laws applicable specifically to the Company, namely:
 - (a) Systemically Important Non-Banking Financial (Non-Deposit Accepting or Holding) Companies Prudential Norms (Reserve Bank) Directions,



2015 read with Master Circular as issued by Reserve Bank of India with respect to Returns to be submitted by NBFCs, as may be applicable.

I have also examined compliance with the applicable clauses of the following:

- (a) Secretarial Standards issued by The Institute of Company Secretaries of India
- (b) The Listing Agreements entered into by the Company with the Stock Exchanges. (Not Applicable to the Company)

I further report that:

- The Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act.
- Adequate notice is given to all Directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

- All the resolutions were passed with consent of majority Directors and minutes were prepared accordingly.

I further report that:

- there are adequate systems and processes in the Company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

I further report that during the audit period there were no specific events/actions having a major bearing on the Company's affairs in pursuance of the above referred laws, rules, guidelines and standards.

For: M/s. Deep Shukla & Associates
Company Secretaries
(Peer Review Certificate No: 2093/2022)

Sd/-
Deep Shukla
(Proprietor)

FCS: 5652

CP No: 5364

Place: Mumbai

Date: 21/08/2024

UDIN: F005652F001009776

ANNEXURE TO THE SECRETARIAL AUDIT REPORT

To

The Members

**Micro Units Development & Refinance Agency Ltd
[MUDRA Ltd.]**

I further state that my said report of the even date has to be read along with this letter.

1. Maintenance of Secretarial/ Statutory Records is the responsibility of the Management of the Company. My responsibility is to express an opinion on these records based on the audit.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial Records.
3. I have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company.
4. Wherever required I have obtained the Management representation about the compliance of laws, rules and regulations and happenings of events etc.

5. The compliance of the provisions of corporate and other applicable laws, rules, regulations, standard is the responsibility of management. My examination is limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

For: M/s. Deep Shukla & Associates
Company Secretaries
(Peer Review Certificate No: 2093/2022)

Sd/-
Deep Shukla
(Proprietor)

FCS: 5652

CP No: 5364

Place: Mumbai

Date: 21/08/2024

UDIN: F005652F001009776

Annexure-III

Annual Report on CSR Activities

1. Brief outline of the CSR Policy of the Company

To realise MUDRA's vision, MUDRA recognizes the importance of contributing to sustainable social transformation through funding and development interventions. As a responsible corporate entity, MUDRA also believes in contributing to the causes of society by extending support to under privileged sections of the society through funding and promotional assistance. MUDRA's Corporate Social Responsibility (CSR) policy thus consists of both business and developmental initiatives, aimed at sustainable growth with social orientation. The efforts would be to cover frontiers which are beyond the basic regulatory and stakeholder requirements. The CSR Policy of MUDRA has been framed in accordance with Section 135 of Companies Act, 2013 and the Rules framed there under to achieve this objective.

2. Composition of CSR Committee:

Sl. No.	Name of Director	Designation / Nature of Directorship	Number of meetings of CSR Committee held during the year	Number of meetings of CSR Committee attended during the year
1	Shri Vinay Hedao	Chairman/ MD & CEO	3	3
2	*Shri Sudatta Mandal	Member/ SIDBI Nominee Director	3	2
3	*Shri Prakash Kumar	Member/ SIDBI Nominee Director	3	1
4	Smt Mala Sinha	Member/ Independent Director	3	3

*Shri Prakash Kumar was designated as a Member of CSRC in place of Shri Sudatta Mandal w.e.f. December 19, 2023.

3. Provide the web-link where Composition of CSR committee, CSR Policy and CSR projects approved by the board are disclosed on the website of the company:

The CSR Policy and other details are available on MUDRA's website at www.mudra.org.in

4. Provide the executive summary along with web-link(s) of Impact Assessment of CSR Projects carried out in pursuance of sub-rule (3) of rule 8, if applicable:

Not Applicable

5. (a) Average net profit of the company as per section 135(5): ₹ **4,82,23,09,785.04**
- (b) Two percent of average net profit of the company as per section 135(5): ₹ **9,64,46,196/-**
- (c) Surplus arising out of the CSR projects or programmes or activities of the previous financial years: **0 (Zero)**
- (d) Amount required to be set off for the financial year, if any: **0 (Zero)**
- (e) Total CSR obligation for the financial year [(b+c-d)]: ₹ **9,64,46,196/-**
6. (a) Amount spent on CSR Projects (both Ongoing Project and other than Ongoing Project): ₹ **9,64,50,000/-**
- (b) Amount spent in Administrative Overheads: **0 (Zero)**
- (c) Amount spent on Impact Assessment, if applicable: **0 (Zero)**
- (d) Total amount spent for Financial Year [(a)+(b) +(c)]: ₹ **9,64,50,000/-**
- (e) CSR amount spent or unspent for the Financial Year:



Total Amount Spent for the Financial Year. (In ₹)	Amount Unspent (in ₹)				
	Total Amount transferred to Unspent CSR Account as per section 135(6).		Amount transferred to any fund specified under Schedule VII as per second proviso to section 135(5).		
	Amount.	Date of transfer	Name of the Fund	Amount.	Date of transfer
9,64,50,000/-	--	-	--	--	--

Your Company spent ₹ 24,45,025/- for undertaking a Sustainable Livelihood Programme for women in Dist. Nuh, Haryana through Bishnouli Sarvodaya Gramodyog Sewa Sansthan (BSGSS) and contributed ₹ 9,40,04,975/- towards Prime Minister's National Relief Fund (PMNRF).

(f) Excess amount for set off, if any: NIL

Sl. No.	Particular	Amount (in ₹)
(i)	Two percent of average net profit of the company as per section 135(5)	--
(ii)	Total amount spent for the Financial Year	--
(iii)	Excess amount spent for the financial year [(ii)-(i)]	--
(iv)	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	--
(v)	Amount available for set off in succeeding financial years [(iii)-(iv)]	--

7 (a) Details of Unspent Corporate Social Responsibility amount for the preceding three financial years: Not Applicable

Sl. No.	Preceding Financial Year(s)	Amount transferred to Unspent CSR Account under sub section 135 (6) (in ₹)	Balance Amount in Unspent CSR Account under sub section 135 (6) (in ₹)	Amount spent in the Financial Year (in ₹)	Amount transferred to a fund as specified under Schedule VII as per second proviso to sub section (5) of 135, if any.		Amount remaining to be spent in succeeding financial Years (In ₹)	Deficiency, if any
					Name of the Fund	Date of transfer		
					Amount (in ₹)			

Not Applicable

8. Whether any capital assets have been created or acquired through Corporate Social Responsibility amount spent in the Financial Year: NIL

If Yes, enter the number of Capital assets created/ acquired:

Furnish the details relating to such asset(s) so created or acquired through Corporate Social Responsibility amount spent in the Financial Year:

Sl. No.	Short particulars of the property or asset(s) [including complete address and location of the property]	Pin code of the property or asset(s)	Date of creation	Amount of CSR amount spent	Details of entity/ Authority/ beneficiary of the registered owner		
					CSR Registration Number, if applicable	Name Registered	Registered address

Not Applicable

9. Specify the reason(s) if the company has failed to spend two per cent of the average net profit as per section 135(5).

The Company has spent the required amount on CSR activities as per section 135(5) and hence reporting under this clause does not arise.

Date: September 26, 2024

Place: Mumbai

Vinay Hedao

Managing Director & Chairman of CSR Committee

DIN: 07916221





INDEPENDENT AUDITOR'S REPORT

To the Members of Micro Units Development and Refinance Agency Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Micro Units Development and Refinance Agency Limited ("the Company"), which comprise the Balance Sheet as at March 31, 2024, and the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information (herein after referred to as "financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with Companies (Indian Accounting Standards) Rules, 2015, as amended, (Ind AS) and with other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2024, the profit, total comprehensive income, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Act. Our responsibilities under those Standards are further

described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("the ICAI") together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements for the year ended March 31, 2024. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context. We have determined the matters described below to be the key audit matters to be communicated in our report. We have fulfilled the responsibilities described in the Auditors' responsibilities for the audit of the financial statements section of our report, including in relation to these matters.

Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements.

Sr No	Key Audit Matter	Auditor's Response
1	Impairment of financial assets as at balance sheet date (expected credit losses): Ind AS 109 requires the Company to provide for impairment of its loans and advances (designated at amortized cost and fair value through other comprehensive income) using the expected credit loss (ECL) approach. ECL involves an estimation of probability-weighted loss on financial instruments over their life, considering reasonable and supportable information about past events, current conditions, and forecasts of future economic conditions which could impact the credit quality of the Company's loans and advances.	How the Key Audit Matter was addressed in our audit We understood and assessed the Company's accounting policies for impairment of financial assets and their compliance with Ind AS 109 and the governance framework approved by the Board of Directors pursuant to Reserve Bank of India guidelines.

Sr No	Key Audit Matter	Auditor's Response
	In the process, significant degree of judgement has been applied by the management are : • Grouping of borrowers based on their registration status with RBI like Commercial Banks, NBFC, etc; • Staging of Loans • Determination of Probability Default (PD) In view of requirement of several data inputs and High management judgements in estimation of ECL, it is a key audit matter.	• We have discussed with the management and evaluated the reasonableness of the management estimates by understanding the process of ECL estimation and related assumptions including factors that affect the PD tested the controls around data extraction and validation. • Reconciled the total loans considered for ECL assessment with the books of accounts to ensure the completeness. • Tested categorization of loan portfolio into different segments. • Tested the arithmetical accuracy of computation of ECL provision. • Assessed disclosures included in the financial statements in respect of expected credit losses.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Board's Report, including Annexures to Board's Report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information, and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance, changes in equity and cash flows of the Company in accordance with the accounting

principles generally accepted in India, including the Indian Accounting Standards prescribed under section 133 of the Act, read with relevant rules issued thereunder.

This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Board of Directors is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from



material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion.

Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the

disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the financial statements that, individually or in aggregate, makes it probable that the economic decisions of the users of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements for the year ended March 31, 2024 and are therefore, the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in "Annexure A" a statement on the matters specified in paragraph 3 and 4 of the Order, to the extent applicable.
2. As required by Section 143(3) of the Act, we report that:
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.

- (c) The Balance Sheet, the Statement of Profit and Loss, the Statement of Changes in Equity and the Statement of Cash Flows dealt with by this Report are in agreement with the books of account.
- (d) In our opinion, the aforesaid financial statements comply with the Ind AS specified under Section 133 of the Act.
- (e) On the basis of the written representations received from the directors of the Company as on March 31, 2024 taken on record by the Board of Directors, none of the directors of the Company is disqualified as on March 31, 2024 from being appointed as a director in terms of Section 164(2) of the Act.
- (f) With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls with reference to the financial statements.
- (g) With respect to other matters to be included in the Auditor's Report in accordance with the requirements of section 197 (16) of the Act, as amended, in our opinion and to the best of our information and according to the explanations given to us, the remuneration paid by the Company to its director during the year is in accordance with the provisions of section 197 of the Act.
- (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company does not have any pending litigations on its financial position in its financial statements.
 - ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
 - iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
 - iv. a) The Management has represented that, to the best of its knowledge and belief, other than as disclosed in the note to the financial statements; no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s)/ entity(ies), including foreign entities ("Intermediaries"), with the

understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

- b) The Management has represented that, to best of its knowledge and belief, other than as disclosed in note to the financial statements, no funds have been received by the company from any person(s)/entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the company shall directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
- c) Based on audit procedures that have been considered reasonable and appropriate in the circumstances performed by us, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.
- v. The Company has declared and paid Final dividend for FY 2022-23 during the year in compliance with Companies Act.
- vi. Based on our examination, which included test checks, the Company has used accounting software for maintaining its books of account and Loan management system for maintaining loan portfolio for the financial year ended March 31, 2024 which has a feature of recording audit trail facility and the same has operated throughout the year for all relevant transactions recorded in the software's. Further, during the course of our audit we did not come across any instance of the audit trail feature being tampered with.

For **D. Kothary & Co.**

Chartered Accountants

Firm Registration No. 105335W

Sd/-

Mehul N. Patel

Partner

Place: Mumbai

Date: 27.05.2024

Membership No. 132650

UDIN: 24132650BKBIHG9227



Annexure A to the Independent Auditor's Report

Referred to in Para 1 under 'Report on Other Legal and Regulatory Requirements' of our Report to the members of the Company on the financial statements for the year ended March 31, 2024:

Statement on Matters Specified in paragraphs 3 and 4 of the Companies (Auditors Report) Order, 2020

- i. (a) (A) The Company is maintaining proper records showing full particulars, including quantitative details and situation of Property, Plant, and Equipment.
(B) The Company is maintaining proper records showing full particulars of intangible assets.
- (b) The Property, Plant, and Equipment, including Right of Use assets have been physically verified by management at reasonable intervals. No material discrepancies were noticed on such verification.
- (c) The Company does not have any immovable properties (other than properties where the company is the lessee and the lease agreements are duly executed in favor of the lessee) as at the balance sheet date and therefore the provisions of paragraph 3 (i) (c) of the Order are not applicable.
- (d) The Company has not revalued any of its Property, Plant, and Equipment (including Right of Use assets) or intangible assets or both during the year, and therefore the provisions of paragraph 3 (i) (d) of the Order are not applicable.
- (e) According to the information and explanation given to us and based on the examination of the records of the Company we report that no proceedings have been initiated during the year or are pending against the Company as of 31 March 2024 for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 and rules made thereunder.
- ii. (a) The Company is in the business of providing loans and does not have any inventories and hence reporting under paragraph 3(ii)(a) of the Order is not applicable.
- (b) According to the information and explanations given to us and based on the audit procedures performed by us, the Company has not been sanctioned working capital limits in excess of five crore rupees, in aggregate, at any point of time during the year, from banks or financial institutions on the basis of security of current assets and hence reporting under clause (ii)(b) of the paragraph 3 of the order not applicable.
- iii. (a) The company being a Non-Banking Finance Company, the provision of paragraph 3(iii) (a) does not apply to the company.
- (b) According to the information and explanations given to us and based on the audit procedures performed by us, we are of the opinion that, the investments made, guarantees provided, security given and the terms and conditions of the grant of all loans and advances in the nature of loans and guarantees provided, if any, during the year are, prima facie not prejudicial to the Company's interest.
- (c) In respect of loans granted by the Company, the schedule of repayment of principal and payment of interest has been duly stipulated and the repayments of principal amounts and receipts of interest have been regular as per repayment schedules except for 4 borrowers having loan outstanding balance at year end aggregating to ₹ 2,168.29 Lakhs wherein the repayments of principal and interest are not regular.
- (d) The total amount overdue for more than 90 days is ₹ 2,168.29 Lakhs with respect to four borrowers as per Note No. 43 of the financial statement. Based on the information and explanations given to us and in our opinion reasonable steps have been taken by the company for recovery of principal and interest.
- (e) The Company's principal business is to give loans. Accordingly, paragraph 3(iii)(e) of the Order is not applicable to the Company.
- (f) According to the information and explanations given to us and based on the audit procedures performed by us, the Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment during the year.
- iv. According to the information and explanations given to us and based on the audit procedures performed by us, the Company has not provided any loans, investment, guarantees, or security as covered under

Section 185 and 186 of the Companies Act, 2013 and therefore, the provisions of paragraph 3(iv) of the Order are not applicable.

- v. According to the information and explanations given to us and based on the audit procedures performed by us, the Company has not accepted any deposits from the public within the meaning of the directives issued by the Reserve Bank of India and the provisions of sections 73 to 76 or any other applicable provisions of the Act and the rules framed there under and therefore the provisions of paragraph 3 clause (v) of the Order are not applicable.
- vi. The maintenance of cost records is not applicable to the Company pursuant to the provision of section 148(1) of the Companies Act, 2013 and therefore the provisions of paragraph 3(vi) of the Order are not applicable to the Company.
- vii. (a) The Company is regular in depositing undisputed statutory dues, including Goods and Services Tax, provident fund, employees' state insurance, income tax, and any other statutory dues applicable to it with the appropriate authorities. There were no undisputed amounts payable in respect of Goods and Services Tax, provident fund, employees' state insurance, income tax, and any other statutory dues in arrears as of 31st March 2024 for a period of more than six months from the date they became payable.
- (b) According to the information and explanation given to us, there are no statutory dues of goods and services tax, provident fund, employees' state insurance, income-tax, and any other statutory dues applicable to it which have not been deposited on account of any disputes.
- viii. According to the information and explanations given to us, and based on the audit procedures performed by us, we have not come across any transactions not recorded in the books of account that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961.
- ix. (a) According to the information and explanations given to us and based on the audit procedures performed by us, the Company has not defaulted in repayment of any loans or other borrowing or the payment of interest thereon to any lender. Hence reporting under clause (ix)(a) of paragraph 3 of the order is not applicable.
- (b) According to the information and explanations given to us and on the basis of our audit procedures, we report that the Company has not been declared as a wilful defaulter by any bank or financial institution or other lender.
- (c) According to the information and explanations given to us, and based on the audit procedures performed by us, the Company has not taken any term loans hence, reporting under clause (ix)(c) of paragraph 3 of order is not applicable.
- (d) According to the information and explanations given to us, and based on the audit procedures performed by us, and on an overall examination of the financial statements of the Company, we report that no funds raised on a short-term basis have been used for long-term purposes by the Company.
- (e) The Company does not have any subsidiaries, associates or joint ventures and therefore the provisions of paragraph 3 (ix) (e) of the Order are not applicable.
- (f) The Company does not have any subsidiaries, associates or joint ventures and therefore the provisions of paragraph 3 (ix) (f) of the Order are not applicable.
- x. (a) During the year, the Company has not raised any money by way of initial public offer or further public offer (including debt instruments), and therefore the provisions of paragraph 3(x) (a) of the Order are not applicable.
- (b) According to the information and explanations given to us and based on the audit procedures performed by us, the Company has not made any preferential allotment or private placement of shares or convertible debenture (fully, partially, or optionally convertible) during the year, and therefore the provisions of paragraph 3(x) (b) of the Order are not applicable.
- xi. (a) During the course of our examination of the books and records of the company carried out in accordance with generally accepted auditing practices in India and according to the information and explanations given to us, no fraud by and on the company has been noticed or reported during the year. We have not been informed of any such case by the management.
- (b) No report under sub-section (12) of section 143 of the Companies Act has been filed by the auditors in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government.
- (c) According to the information and explanations given to us and as represented to us by the management, there are no whistle-blower complaints received by the Company during the year.



- xii. The Company is not a Nidhi Company and therefore provisions of paragraph 3(xii) (a) to (c) of the Order are not applicable.
- xiii. According to the information and explanations given to us and based on our examination of the records of the Company, all transactions with the related parties are in compliance with Section 188 of the Act, where applicable and the details of such related party transactions have been disclosed in the financial statements as required by the applicable Ind AS. The provision of section 177 are not applicable to the company.
- xiv. (a) In our opinion the Company has an adequate internal audit system commensurate with the size and nature of business.
- (b) Reports issued by the Internal auditors for the period under audit which has been provided by the management have been considered by us.
- xv. According to the information and explanations given to us, and based on the audit procedures performed by us, the Company has not entered into any non-cash transactions with Directors or persons connected with him, and therefore the provisions of paragraph 3(xv) of the Order are not applicable.
- xvi. (a) The Company has a valid Certificate of Registration under Section 45-IA of the Reserve Bank of India Act, 1934, and therefore the provisions of paragraph 3(xvi) (a) of the Order are applicable.
- (b) According to the information and explanation given to us, we report that the company is conducting Non Banking Finance activities had a valid certificate of Registration (CoR) issued by the Reserve Bank of India.
- (c) According to the information and explanation given to us, the company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India, and therefore the provisions of paragraph 3(xvi) (c) of the Order are not applicable.
- (d) According to the information and explanation given to us, the Company does not have Core Investment Company (CIC) in the Group therefore provisions of paragraph 3(xvi) (d) of the Order are not applicable to the Company.
- xvii. The Company has not incurred any cash losses in the current financial year as well as the immediately preceding financial year.
- xviii. There is no resignation of the statutory auditor of the Company during the year and therefore the provisions of paragraph 3(xviii) of the Order are not applicable.
- xix. According to the information and explanations given to us and on the basis of the financial ratios, aging and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, and our knowledge of the Board of Directors and Management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report indicating that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.
- xx. The Company does not have any unspent amount toward Corporate Social Responsibility (CSR) during the period under audit as per provision of Section 135 of the said Act, therefore, the provisions of paragraph 3(xx) (a) and (b) of the Order are duly complied.
- xxi. The Company is not required to prepare consolidated financial statements and therefore the provisions of paragraph 3 (xxi) of the Order are not applicable.

For **D. Kothary & Co.**

Chartered Accountants

Firm Registration No. 105335W

Sd/-

Mehul N. Patel

Partner

Place: Mumbai

Date: 27.05.2024

Membership No. 132650

UDIN: 24132650BKBIHG9227

Annexure B to the Independent Auditor's Report

The Annexure referred to in Para 2(f) under 'Report on Other Legal and Regulatory Requirements' of our Independent Auditor's Report to the members of the Company on the financial statements for the year ended March 31, 2024:

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls with reference to financial statements of **Micro Units Development and Refinance Agency Limited** ("the Company") as at March 31, 2024 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's Management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") issued by the ICAI and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of internal financial controls.

Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial controls over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.



Inherent Limitations of Internal Financial Controls over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls with reference to financial statements and such internal

financial controls with reference to financial statements were operating effectively as at March 31, 2024, based on the criteria for internal financial control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note issued by the ICAI.

For **D. Kothary & Co.**

Chartered Accountants

Firm Registration No. 105335W

Sd/-

Mehul N. Patel

Partner

Place: Mumbai

Date: 27.05.2024

Membership No. 132650

UDIN: 24132650BKBIHG9227



Annexure C to the Independent Auditor's Report

Independent Auditor's Report under section 143 (5) of the Act on Directions and Sub Directions issued by Comptroller and Auditor General of India

To the Members of

Micro Units Development and Refinance Agency Ltd (MUDRA)

Referred to in our report of even date on the financial statements for the year ended March 31st 2024;

Sr. No.	Directions u/s 143(5) of Companies Act, 2013	Auditor's reply	Impact on financial statements
1	Whether the company has system in place to process all the accounting transactions through IT system? If yes, the implications of processing of accounting transactions outside IT system on the integrity of the accounts along with the financial implications, if any, may be stated.	According to the information & explanation given to us and based on our examination, the company maintains its books of accounts digitally in accounting software.	NIL
2	Whether there is any restructuring of an existing loan or cases of waiver/write off of debts/loans/ interest etc. made by a lender to the company due to the company's inability to repay the loan? If yes, the financial impact may be stated. Whether such cases are properly accounted for? (In case, lender is a Government company, then this direction is also applicable for statutory auditor of lender company).	According to the information & explanation given to us and based on our examination of records, there is no restructuring of any loan or cases of waiver/write off of debts/loans/interest etc. made by a lender to the company.	NIL
3	Whether funds (grants/subsidy etc.) received/ receivable for specific schemes from Central/State Government or its agencies were properly accounted for/utilized as per its term and conditions? List the cases of deviation.	According to the information & explanation given to us and based on our examination of records, the company has not received any funds for any specific schemes from central/ state Government.	NIL
4	RBI provided a window (vide circular dated 6 August 2020) under the prudential framework to implement a resolution plan to borrowers having stress on account of Covid 19, as per which existing loans can be restructured without downgrading the asset classification. Are there any cases of restructuring involving the new provision and if so, are they in compliance with RBI circular?	According to the information & explanation given to us and based on our examination of records, there were no loans which were restructured during the year in the window provided during COVID 19 by RBI in terms of above mentioned circular.	NIL

For **D. Kothary & Co.**

Chartered Accountants

Firm Registration No. 105335W

Sd/-

Mehul N. Patel

Partner

Membership No. 132650

UDIN: 24132650BKBIHG9227

Place: Mumbai

Date: 27.05.2024



Balance Sheet as at March 31, 2024

(₹ in lakh)

Particulars	Note No.	As at March 31, 2024	As at March 31, 2023
ASSETS			
Financial Assets			
(a) Cash and cash equivalents	4	1,67,798.47	47,658.73
(b) Bank balances other than cash and cash equivalents	5	8,94,718.20	16,40,662.87
(c) Loans	6	28,71,573.42	21,54,666.16
(d) Investments	7	-	-
(e) Other Financials Assets	8	-	4.98
Non Financial Assets			
(a) Current Tax Assets (Net)	9	3,059.41	842.73
(b) Deferred Tax Assets (Net)	10	5,948.24	1,335.66
(c) Property, Plant and Equipment	11	9.00	17.20
(d) Other Intangible assets	12	41.79	92.26
(e) Other non-financial assets	13	43.98	22.54
Total Assets		39,43,192.50	38,45,303.14
LIABILITIES AND EQUITY			
LIABILITIES			
Financial Liabilities			
(a) Payables	14		
I) Trade payables		-	-
II) Other payables		51.89	292.33
(b) Deposits	15	35,33,609.86	35,13,655.66
(c) Other financial liabilities	16	7.75	7.93
Non-Financial Liabilities			
(a) Provisions	17	79.89	47.61
(b) Other non-financial liabilities	18	149.76	46.15
Total Liabilities		35,33,899.15	35,14,049.68
EQUITY			
(a) Equity Share capital	19	1,67,592.59	1,67,592.59
(b) Other Equity	20	2,41,700.76	1,63,660.87
Total Equity		4,09,293.35	3,31,253.47
Total Liabilities and Equity		39,43,192.50	38,45,303.14
See accompanying Notes forming part of the Financial Statements 1 to 75			

In terms of our report attached of even date

For **D.Kothary & Co.**
Chartered Accountants
Firm No.:105335W

Sd/-
Mehul N.Patel
Partner
Membership No.:132650

Place : Mumbai
Date: May 27, 2024

For and on behalf of the Board of Directors

Sd/-
Vinay Hedao
MD & CEO
DIN : 07916221

Sd/-
Rajesh D.Kale
Chief Financial Officer

Sd/-
Sudatta Mandal
Director
DIN :00942070

Sd/-
Umesh Patil
Company Secretary

Statement of Profit and Loss for the year ended March 31, 2024

(₹ in lakh)

	Particulars	Note No.	For the year ended March 31, 2024	For the year ended March 31, 2023
I.	Revenue from operations			
	Interest Income	21	2,28,981.80	1,52,616.92
	Fees and commission Income	22	1,043.22	697.23
	Total Revenue from operations		2,30,025.02	1,53,314.15
II.	Other Income			
	Net gain on fair value changes	23	675.45	147.49
	Other Income	24	6.50	258.39
III.	Total Income(I+II)		2,30,706.97	1,53,720.03
IV.	Expenses			
	Amortised Finance costs	25	1,01,870.98	75,082.86
	Impairment on financial instruments	26	17,251.51	(6,064.96)
	Net Loss on de-recognition of financial instruments under amortized cost category	27	-	5,132.86
	Employee Benefits Expenses	28	755.90	962.76
	Depreciation, amortization and impairment	29	59.60	41.65
	Others expenses	30	1,679.20	1,169.55
	Total Expenses(IV)		1,21,617.19	76,324.71
V.	Profit / (loss) before exceptional items and tax (III-IV)		1,09,089.78	77,395.32
	Exceptional Items		-	-
VI.	Profit/(loss) before tax		1,09,089.78	77,395.32
VII.	Tax expense:	31		
	Current tax		32,310.62	18,235.73
	Deferred tax		(4,612.58)	1,414.62
VIII.	Profit/(loss) for the year (VI-VII)		81,391.74	57,744.98
	Other Comprehensive Income			
A.	Items that will not be reclassified to profit or loss		-	-
B.	Items that will reclassified to profit or loss		-	-
	Other comprehensive income (A+B)		-	-
	Total comprehensive income		81,391.74	57,744.98
IX	Earnings per equity share	32		
	Basic (₹)		4.86	3.45
	Diluted (₹)		4.86	3.45

In terms of our report attached of even date

For **D.Kothary & Co.**
Chartered Accountants
Firm No.:105335W

Sd/-
Mehul N.Patel
Partner
Membership No.:132650

Place : Mumbai
Date: May 27, 2024

For and on behalf of the Board of Directors

Sd/-
Vinay Hedao
MD & CEO
DIN : 07916221

Sd/-
Rajesh D.Kale
Chief Financial Officer

Sd/-
Sudatta Mandal
Director
DIN :00942070

Sd/-
Umesh Patil
Company Secretary



Statement of Cash Flows for the year ended March 31, 2024

(₹ in lakh)

	Particulars	Year ended March 31, 2024	Year ended March 31, 2023
A.	CASH FLOW FROM OPERATING ACTIVITIES:		
	Profit before tax	1,09,089.78	77,395.32
	Net Profit Before Taxes		
	Adjustment for:		
	Interest Income from Fixed Deposits & CDs	(98,674.20)	(78,074.37)
	Profit on sale Mutual Funds	(675.45)	(147.49)
	Depreciation and amortisation	59.60	41.65
	Impairment on financial instruments	17,251.51	(6,064.96)
	Net Loss on de-recognition of financial instruments under amortized cost category	-	5,132.86
	Amotisation of upfront fees	1,056.28	445.48
	Corporate Social Responsibility (CSR) Expenses	964.50	673.50
	Operating (loss)/ profit before working capital changes	29,072.02	(598.01)
	Movement in working capital		
	(Increase)/Decrease in Loans	(7,35,515.33)	(1,59,867.56)
	(Increase)/Decrease in other financial assets	4.98	143.64
	(Increase)/Decrease in other assets	(21.43)	6.14
	Increase/(Decrease) in Other payables	(240.44)	239.45
	Increase/(Decrease) in Short Term Provisions	32.28	(28.93)
	Increase/(Decrease) in Other financial liabilities	(0.18)	(1.00)
	Increase/(Decrease) in Other liabilities	103.61	(31,316.25)
	Cash generated from Operations	(7,06,564.49)	(1,91,422.52)
	Income taxes paid	(34,527.31)	(15,603.67)
	Paid for Corporate Social Responsibility (CSR)	(964.50)	(673.50)
	Net cash from/(utilised in) operating activities	(7,42,056.30)	(2,07,699.69)
B.	CASH FLOW FROM INVESTING ACTIVITIES:		
	Purchase of fixed assets and intangible assets	(0.92)	(76.49)
	(Increase)/Decrease in Fixed Deposits (with a maturity of more than 3 months)	7,46,237.91	(5,21,716.83)
	Interest Income from Fixed Deposits & CDs	98,674.20	78,074.37
	Gain on sale of Mutual Fund	675.45	147.49
	Net cash from/(utilised in) investing activities	8,45,586.64	(4,43,571.46)
C.	CASH FLOW FROM FINANCING ACTIVITIES:		
	Increase/(Decrease) in Deposits	19,954.21	5,16,380.98
	Dividend paid	(3,351.85)	(2,513.89)
	Net Cash from financing activities	16,602.36	5,13,867.09
	NET (DECREASE)/ INCREASE IN CASH AND CASHEQUIVALENTS	1,20,132.70	(1,37,404.06)
	Cash and cash equivalents at the beginning of the financial year	47,682.55	1,85,086.61
	Cash and cash equivalents at end of the year	1,67,815.25	47,682.55

Reconciliation of cash and cash equivalents as per the cash flow statement

Cash and cash equivalents as per above comprise of the following

(₹ in lakh)

Particulars	Year ended March 31, 2024	Year ended March 31, 2023
Balances with banks in Current accounts	0.38	0.29
Cash on hand	0.06	0.05
Bank deposits with maturity of less than 3 months	1,67,814.81	47,682.21
Total	1,67,815.25	47,682.55

Significant accounting policies on **Note No. 1 to 3**

The accompanying notes form an integral part of these Financial Statements.

In terms of our report attached of even date

For **D.Kothary & Co.**
Chartered Accountants
Firm No.:105335W

Sd/-
Mehul N.Patel
Partner
Membership No.:132650

Place : Mumbai
Date: May 27, 2024

For and on behalf of the Board of Directors

Sd/-
Vinay Hedao
MD & CEO
DIN : 07916221

Sd/-
Rajesh D.Kale
Chief Financial Officer

Sd/-
Sudatta Mandal
Director
DIN :00942070

Sd/-
Umesh Patil
Company Secretary



Statement of Changes in Equity

A. Equity share capital

1) For the Period Ending March 31, 2024

(₹ in lakh)

Balance at the beginning of the current reporting period	Changes in Equity Share Capital period errors	Restated balance at the beginning of current reporting period	Changes in Equity Share Capital during the current year	Balance at the end of the current Reporting Period
1,67,592.59	-	1,67,592.59	-	1,67,592.59

2) For the period ending March 31, 2023

(₹ in lakh)

Balance at the beginning of the previous reporting period	Changes in Equity Share Capital period errors	Restated balance at the beginning of previous reporting period	Changes in Equity Share Capital during the previous year	Balance at the end of the previous Reporting Period
1,67,592.59	-	1,67,592.59	-	1,67,592.59

B. Other Equity

(₹ in lakh)

Particulars	Reserve and Surplus								Other comprehensive income	Total
	Capital Reserve	Securities Premium	Development Fund	General Reserve	Retained Earnings	Corporate Social Responsibility Fund (CSR)	Statutory reserve created u/s 45-IC of Reserve Bank of India Act, 1934	Impairment Reserve		
Balance at April 01, 2023	-	7,407.41	200.00	1,09,500.00	5,440.75	-	33,311.45	7,801.26	-	1,63,660.86
Changes in accounting policy/ Prior period errors	-	-	-	-	-	-	-	-	-	-
Restated balance at the beginning of current reporting period	-	7,407.41	200.00	1,09,500.00	5,440.75	-	33,311.45	7,801.26	-	1,63,660.86
Total Comprehensive income of the current year	-	-	-	-	81,391.74	-	-	-	-	81,391.74
Dividends	-	-	-	-	(3,351.85)	-	-	-	-	(3,351.85)
Transfer to statutory reserve created u/s 45-IC of Reserve Bank of India Act, 1934	-	-	-	-	(16,278.35)	-	16,278.35	-	-	-
Transfer to Impairment Reserve	-	-	-	-	-	-	-	-	-	-
Transfer to general reserve	-	-	-	60,000.00	(60,000.00)	-	-	-	-	-
At March 31, 2024	-	7,407.41	200.00	1,69,500.00	7,202.28	-	49,589.79	7,801.26	-	2,41,700.74

Particulars	Reserve and Surplus								Other comprehensive income	Total
	Capital Reserve	Securities Premium	Development Fund	General Reserve	Retained Earnings	Corporate Social Responsibility Fund (CSR)	Statutory reserve created u/s 45-IC of Reserve Bank of India Act, 1934	Impairment Reserve		
Balance at April 01, 2022	-	7,407.41	200.00	68,000.00	4,350.87	-	21,762.45	6,709.04	-	1,08,429.77
Changes in accounting policy/ Prior period errors	-	-	-	-	-	-	-	-	-	-
Restated balance at the beginning of reporting period	-	7,407.41	200.00	68,000.00	4,350.87	-	21,762.45	6,709.04	-	1,08,429.77
Total Comprehensive income of the year	-	-	-	-	57,744.98	-	-	-	-	57,744.98
Dividends	-	-	-	-	(2,513.89)	-	-	-	-	(2,513.89)
Transfer to statutory reserve created u/s 45-IC of Reserve Bank of India Act, 1934	-	-	-	-	(11,549.00)	-	11,549.00	-	-	-
Transfer to Impairment Reserve	-	-	-	-	(1,092.22)	-	-	1,092.22	-	-
Transfer to general reserve	-	-	-	41,500.00	(41,500.00)	-	-	-	-	-
At March 31, 2023	-	7,407.41	200.00	1,09,500.00	5,440.75	-	33,311.45	7,801.26	-	1,63,660.86

In terms of our report attached of even date

For **D.Kothary & Co.**
Chartered Accountants
Firm No.:105335W

Sd/-
Mehul N.Patel
Partner
Membership No.:132650

Place : Mumbai
Date: May 27, 2024

For and on behalf of the Board of Directors

Sd/-
Vinay Hedao
MD & CEO
DIN : 07916221

Sd/-
Rajesh D.Kale
Chief Financial Officer

Sd/-
Sudatta Mandal
Director
DIN :00942070

Sd/-
Umesh Patil
Company Secretary



Material Accounting Policies – Standalone Financial Statements

1. Corporate Information

Micro Units Development & Refinance Agency Limited (MUDRA), is a public limited company domiciled in India and incorporated under the provisions of The Companies Act 2013 and registered as Non-Banking Financial Institutions (NBFI) with RBI U/s 45-IA of RBI Act 1934 with the registered office located in Swavalamban Bhavan, C 11, G Block, Bandra Kurla Complex, Bandra East, Mumbai, Maharashtra 400051.

The MUDRA provides refinance to Banks (including Regional Rural Banks and Small Finance Banks), Non-Banking Financial Companies (NBFCs) and Micro Finance Institutions (MFIs) and also subscribe to Pass Through Certificate of securitised pool of PMMY Loans.

2. Basis of Preparation

These financial statements comply in all material aspects with the Indian Accounting Standards (Ind AS) notified under section 133 of the Companies Act, 2013 ('Act') read with the Companies (Indian Accounting Standards) Rules, 2015 as amended and other relevant provisions of the Act.

MUDRA is registered as a Non-Banking Financial Institution (NBFI) and has to adhere to the regulatory and disclosure standards as applicable to NBFC-ND-SIs.

The financial statements up to year ended March 31, 2018 were prepared in accordance with the accounting standards notified under Companies (Accounting Standard) Rules, 2006 (as amended) and other relevant provisions of the Act.

These financial statements for the year ended March 31, 2019 onwards, the financial statements, which have been prepared in accordance with the Ind AS notified under the Companies (Indian Accounting Standards) Rules, 2015 including Ind AS 101 First time Adoption of Ind AS.

The financial statements have been prepared on a historical cost basis, except for the following assets and liabilities:

- i) Certain financial assets and liabilities that are measured at fair value
- ii) Defined benefit plans-plan assets measured at fair value

The financial statements are presented in Indian Rupees ('INR') which is Company's functional and presentation currency and all values are rounded to nearest lakhs, except when otherwise indicated.

Presentation of Financial Statements

The Company presents its financial statements to comply with Division III of Schedule III to the Companies Act, 2013 (which provides general instructions for the preparation of financial statements of a non-banking financial company (NBFC to comply with Ind AS). An analysis regarding recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in note no. 36

Standards issued but not yet effective upto the date of issuance of the financial statements :

Ministry of Corporate affairs have made changes on March 31, 2023, in the following Indian Accounting Standards (Ind AS) amended namely Ind AS 101, Ind AS 102, Ind AS 103, Ind AS 107, Ind AS 109, Ind AS 115, Ind AS 1, Ind AS 8, Ind AS 12 and Ind AS 34. These amendments shall be applicable from annual reporting periods beginning on or after April 01, 2023.

3. Material Accounting Policies

3.1 Revenue Recognition

Recognition & Measurement:

Revenue is recognised when the amount of revenue can be measured reliably and it is probable that the economic benefits associated with the transaction will flow to the entity. Revenue shall be measured at the fair value of the consideration received or receivable.

3.1.1 Interest Income:

Interest income for all financial instruments except for those measured or designated as at FVTPL are recognised in the profit or loss account using the effective interest method (EIR). Interest on financial instruments measured as at FVTPL is included within the fair value movement during the period.

The interest income is calculated by applying the EIR to the gross carrying amount of non-credit impaired

financial assets (i.e. at the amortised cost of the financial asset before adjusting for any expected credit loss allowance). For credit-impaired financial assets the interest income is calculated by applying the EIR to the amortised cost of the credit-impaired financial assets (i.e. the gross carrying amount less the allowance for expected credit losses (ECLs)).

EIR is the rate that exactly discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the gross carrying amount of the financial asset or to the amortised cost of a financial liability. When calculating the effective interest rate, the expected cash flows are estimated by considering all the contractual terms of the financial instrument (for example, prepayment, extension, call and similar options) but does not consider the expected credit losses.

Administrative fee income on Interest Subvention Scheme is accounted for on accrual basis as percentage of work completed. Administrative fee income on IMEF is recognised as per the contract.

3.2 Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the end of the reporting period. Taxable profit differs from 'profit before tax' as reported in the statement of profit and loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible.

Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from the initial recognition (other than in a business combination) of assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to

the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the entity expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset if such items relate to taxes on income levied by the same governing tax laws and the entity has a legally enforceable right for such setoff.

MAT Credits are in the form of unused tax credits that are carried forward by the entity for a specified period of time; hence it is grouped with Deferred Tax Asset.

Current and deferred tax for the year

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively.

3.3 Employee Benefits:

Recognition & Measurement:

The liabilities for compensated absences are measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. The benefits are discounted using the market yields at the end of the reporting period that have terms approximating to the terms of the related obligation. Re-measurements as a result of experience adjustments and changes in actuarial assumptions are recognised in the statement of profit and loss.

Post-employment obligations:

The Company operates the following post-employment schemes:

- (a) Defined benefit plans such as gratuity and pension obligations
- (b) Defined contribution plans such as superannuation scheme, provident fund.

**Gratuity:**

The liability or asset recognised in the balance sheet in respect of defined benefit gratuity plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by actuaries using the projected unit credit method.

The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows by reference to market yields at the end of the reporting period on government bonds that have terms approximating to the terms of the related obligation.

The net interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation and the fair value of plan assets. This cost is included in employee benefit expense in the Statement of Profit and Loss.

Re-measurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised in the period in which they occur, directly in other comprehensive income.

Defined Contribution plans

Defined Contribution Plans such as superannuation scheme, provident fund are charged to the statement of profit and loss as an expense, when an employee renders the related services. If the contribution payable to scheme for service received before the balance sheet date exceeds the contribution already paid, the deficit payable to the scheme is recognised as liability after deducting the contribution already paid. If the contribution already paid exceeds the contribution due for services received before the balance sheet date, then excess is recognised as an asset.

Currently, there are no employee which are on payroll of the Company except five employees which are on contract basis for which post-employment benefits are not applicable.

3.4 Property, Plant and Equipment**Recognition and Measurement:**

Property, plant and equipment shall be recognised as an asset if it is probable that future economic benefits flow to the entity and cost can be reliably measured. Freehold land is carried at historical cost. All other items of property, plant and equipment are measured at historical cost less depreciation and impairment loss. Historical cost includes expenditure directly attributable to the acquisition of the items. Cost includes its purchase price including non-refundable taxes and duties

after deducting trade discounts/rebates, directly attributable costs of bringing the asset to its present location and condition and initial estimate of costs of dismantling and removing the item and restoring the site on which it is located.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably.

The carrying amount of any component accounted for as a separate asset is derecognised when replaced. All other repairs and maintenance are charged to the Statement of Profit and Loss during the reporting period in which they are incurred.

Depreciation methods, estimated useful life and residual value

Depreciation on property, plant & equipment has been provided on straight line method based on the useful life specified in Schedule II of the Companies Act, 2013 except where management estimate of useful life is different. Depreciation commences when the assets are ready for their intended use.

Assets costing ₹5,000/- or less have been depreciated over period of one year.

Useful life considered for calculation of depreciation for various classes of assets are as follows-

Asset Class	Useful Life
Office Equipment	5 years
Computer-hardware#	3 years
Electrical Installations	10 years

Useful life of Servers and networks are taken at 3 years as per Management estimates.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposals are determined by comparing proceeds with carrying amount. These are included in profit or loss within other income or other expenses, as applicable.

3.5 Intangible Assets

Intangible assets that are acquired by the Company, which have finite useful lives, are measured at cost less accumulated amortisation and accumulated impairment losses. Cost includes expenditures that are directly attributable to the acquisition of the intangible asset.

Amortisation:

Intangible assets are amortised on straight line basis over the estimated useful life. The method of amortisation and useful life is reviewed at the end of each accounting year with the effect of any changes in the estimate being accounted for on a prospective basis.

Useful life considered for amortisation of intangible assets for various classes of assets are as follows-

Asset Class	Useful Life
Computer software	3 years
Computer license	1 – 3 years as per tenure of license

Gains or losses arising from the retirement or disposal of an intangible asset are determined as the difference between the net disposal proceeds and the carrying amount of the asset and recognised as income or expense in the Statement of Profit and Loss.

3.6 Borrowing costs

General and specific borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use. Qualifying assets are assets that necessarily take a substantial period of time to get ready for their intended use. Other borrowing costs are expensed in the period in which they are incurred. Transaction costs relating to borrowings are considered under effective interest rate method.

3.7 Impairment of non-financial assets:

The Entity need to assess at the end of each reporting period whether there is any impairment indication for all the assets. If the asset is impaired then the entity need to estimate the recoverable amount of the asset. Impairment loss is recognised when the recoverable amount of an asset is less than its carrying amount. The difference between the recoverable amount and the carrying amount is recognised as impairment loss in Statement of Profit & Loss A/c.

If there is indication of impairment then recoverable amount shall be estimated for each individual asset and if it is not possible to estimate the recoverable amount for each individual asset an entity shall determine the recoverable amount of the cash-generating unit to which the asset belongs.

3.8 Provisions and Contingencies

Provisions

A provision is recognised when the Company has a present obligation (legal or constructive) as a result of past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. These estimates are reviewed at each reporting date and adjusted to reflect the current best estimates.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

A provision for onerous contracts is recognized when the expected benefits to be derived by the Company from a contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the Company recognizes any impairment loss on the assets associated with that contract.

Contingent Liabilities & Contingent Assets

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognised because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases, where there is a liability that cannot be recognised because it cannot be measured reliably. The Company does not recognize a contingent liability but discloses its existence in the financial statements unless the probability of outflow of resources is remote.

Contingent assets are not recognized in the financial statements. If the inflow of economic benefits is probable, then it is disclosed in the financial statements.

Provisions, Contingent liabilities, contingent assets and commitments are reviewed at each balance sheet date.



3.9 Cash & cash equivalents

For the purpose of presentation in the statement of cash flows, cash and cash equivalents includes cash on hand, demand deposits with entities, corporate deposits and other short-term highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

3.10 Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

3.10.1 Financial assets

- (i) Classification, recognition and measurement:

Financial assets are recognized when the entity becomes a party to the contractual provisions of the instrument.

The entity classifies its financial assets in the following measurement categories:

- a) those to be measured subsequently at fair value (either through other comprehensive income, or through profit or loss), and

- b) those to be measured at amortised cost.

The classification depends on the entity's business model for managing the financial assets and whether the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

For assets measured at fair value, gains and losses will either be recorded in profit or loss or other comprehensive income. For investments in debt instruments, this will depend on the business model in which the investment is held. For investments in equity instruments, this will depend on whether the entity has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income.

Initial Recognition:

All financial assets are recognised initially at fair value and for those instruments that are not subsequently measured at FVTPL, plus/minus transaction costs that are attributable to the acquisition of the financial assets.

Subsequent measurement:

Type of Instruments	Classification	Rationale for Classification	Subsequent measurement
Debt instruments	Amortized cost	Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest on principal amount outstanding are measured at amortised cost.	Amortized cost is calculated using Effective Interest Rate (EIR) method, taking into account interest income, transaction cost and discount or premium on acquisition. EIR amortization is included in finance Income. Any gain and loss on derecognition of the financial instrument measured at amortised cost recognised in profit and loss account.
	Fair value through other comprehensive income (FVOCI)	Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest on principal amount outstanding, are measured at FVOCI.	Changes in carrying value of such instruments are recorded in OCI except for impairment losses, interest income (including transaction cost and discounts or premium on amortization) and foreign exchange gain/loss which is recognized in income statement. Interest income, transaction cost and discount or premium on acquisition are recognized in to income statement (finance income) using effective interest rate method.

Type of Instruments	Classification	Rationale for Classification	Subsequent measurement
			On derecognition of the financial assets measured at FVOCI, the cumulative gain or loss previously recognized in OCI is classified from Equity to Profit and Loss account in other gain and loss head.
	Fair value through profit or loss (FVTPL)	Assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. A gain and loss on a debt instrument that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognized in profit or loss in the period in which arise.	Change in fair value of such assets are recorded in income statement as other gains/ (losses) in the period in which it arises. Interest income from these financial assets is included in the finance income.
Equity instruments	FVOCI	The Entity's management has made an irrevocable election at the time of initial recognition to account for the equity investment (On an instrument by instrument basis) at fair value through other comprehensive income. This election is not permitted if the equity investment is held for trading. The classification is made on initial recognition and is irrevocable.	Change in fair value of such instrument are recorded in OCI. On disposal of such instruments, no amount is reclassified to income statement. Impairment losses (and reversal of impairment losses) on equity investments measured at FVOCI are not reported separately from other changes in fair value. Dividend income from such instruments are however recorded in income statement.
	FVTPL	When no such election is made, the equity instruments are measured at FVTPL	Change in fair value of such assets are recorded in income statement.

(ii) De-recognition of financial assets:

A financial asset is derecognised only when

- the Entity has transferred the rights to receive cash flows from the financial asset or
- retains the contractual rights to receive the cash flows of the financial asset, but assumes a contractual obligation to pay the cash flows to one or more recipients.

Where the Entity has transferred an asset, the Entity evaluates whether it has transferred substantially all risks and rewards of ownership of the financial asset. In such cases, the financial asset is derecognised. Where the Entity has not transferred substantially all risks and rewards of ownership of the financial asset, the financial asset is not derecognised.

Where the Entity has neither transferred a financial asset nor retains substantially all risks and rewards of ownership of the financial asset, the financial

asset is derecognised if the Entity has not retained control of the financial asset. Where the Entity retains control of the financial asset, the asset is continued to be recognised to the extent of continuing involvement in the financial asset.

(iii) Foreign exchange gain or losses:

The fair value of financial assets denominated in a foreign currency is determined in that foreign currency and translated at the spot rate at the end of each reporting period.

For foreign currency denominated financial assets measured at amortised cost and FVTPL, the exchange difference are recognised in profit or loss except for those which are designated as hedging instruments in the hedging relationship.

Changes in the carrying amount of investments in equity instruments at FVOCI relating to changes in foreign currency rates are recognised in other comprehensive income.



For the purpose of recognising foreign exchange gain and losses, FVTOCI debt instruments are treated as financial assets measured at amortised cost. Thus, the exchange differences on the amortised cost are recognised in profit or loss and other changes in the fair value of FVTOCI financial assets are recognised in other comprehensive income.

3.10.2 Financial liabilities and equity instruments:

Debt and equity instruments issued by an entity are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Classification, recognition and measurement:

(a) Equity Instruments:

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Entity are recognised at the proceeds received, net of direct issue costs.

(b) Financial liabilities:

Initial recognition and measurement:

Financial liabilities are initially recognised at fair value plus any transaction that are attributable to the acquisition of the financial liabilities except financial liabilities at FVTPL which are initially measured at fair value.

Subsequent measurement:

The financial liabilities are classified for subsequent measurement into following categories:

- at amortised cost
- at fair value through profit or loss (FVTPL)

(i) Financial liabilities at amortised cost:

Amortised cost for financial liabilities represents amount at which financial liability is measured at initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount.

(ii) Financial liabilities at fair value through profit or loss:

Financial liabilities held for trading are measured at FVTPL.

Financial liabilities at FVTPL are stated at fair value with any gains or losses arising on remeasurement, recognised in profit or loss. The net gain or loss recognised in profit or loss incorporates any interest paid on the financial liability.

Derecognition:

A financial liability is removed from the balance sheet when the obligation is discharged, or is cancelled, or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the Statement of Profit and Loss.

(c) Financial guarantee contracts :

Financial guarantee contracts issued by the Entity are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value, adjusted for transaction costs that are directly attributable to the issuance of the guarantee. Subsequently, the liability is measured at the higher of the amount of loss allowance determined as per impairment requirements of Ind AS 109 and the amount recognised less cumulative amortisation.

3.10.3 Impairment of financial assets:

In accordance with Ind AS 109, Entity applies expected credit loss (ECL) model for measurement and recognition of impairment loss on the following financial assets and credit risk exposure:

- Financial assets carried at amortised cost e.g., advances, debt securities, deposits and entity balance
- Financial assets that are debt instruments and are measured as at FVTOCI
- Loan commitments which are not measured as at FVTPL, financial guarantee contracts which are not measured as at FVTPL

ECL is the difference between all contractual cash flows that are due to the entity in accordance with the contract and all the cash flows that the

entity expects to receive (i.e., all cash shortfalls), discounted at the original effective interest rate. When estimating the cash flows, an entity is required to consider:

- All contractual terms of the financial instrument (including prepayment, extension, call and similar options) over the expected life of the financial instrument. However, in rare cases when the expected life of the financial instrument cannot be estimated reliably, then the entity is required to use the remaining contractual term of the financial instrument
- Cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms

The impairment methodology applied depends on whether there has been a significant increase in credit risk. In general, it is presumed that credit risk has significantly increased since initial recognition if the payments are more than 30 days past due. Entity considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period. To assess whether there is a significant increase in credit risk, the entity compares the risk of a default occurring on the asset as at the reporting date with the risk of default as at the date of initial recognition. It considers available reasonable and supportive forwarding-looking information. Especially the following indicators are incorporated:

- Internal credit rating
- External credit rating (as far as available)
- Actual or expected significant adverse changes in business, financial or economic conditions that are expected to cause a significant change to the borrower's ability to meet its obligations
- Actual or expected significant changes in the operating results of the borrower
- Significant increase in credit risk on other financial instruments of the same borrower
- Significant changes in the value of the collateral supporting the obligation or in the quality of third party guarantees or credit enhancements
- Significant changes in the expected performance and behaviour of the borrower, including changes in the payment status of borrowers in the group and changes in the operating results of the borrower.

A loss allowance at an amount equal to 12-month expected credit losses is recognised, if the credit risk at the reporting date has not increased significantly since initial recognition (Stage 1). This amount represents the expected credit losses resulting from default events that are possible within the next 12 months. The interest revenue is calculated on the gross carrying amount for financial assets in Stage 1.

Credit losses over the remaining life of the financial assets ('lifetime expected losses') are recognised which are considered to have experienced a significant increase in credit risk (Stage 2) and for financial assets that are credit impaired at the reporting date (Stage 3). The lifetime expected credit losses represent all possible default events over the expected life of a financial instrument. Financial assets will be transferred to Stage 2 if 30 days past due. The interest revenue is calculated on the gross carrying amount for financial assets in Stage 2.

As the primary definition for credit impaired financial assets moving to Stage 3, the entity considers the following definition of default.

- the borrower is past due more than 90 days on any material credit obligation to the entity
 - the borrower is unlikely to pay its credit obligations to the Group in full.
- A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.
- significant financial difficulty of the borrower or issuer
 - a breach of contract such as a default or past due event
 - the lender of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower a concession that the lender would not otherwise consider
 - the disappearance of an active market for a security because of financial difficulties
 - the purchase of a financial asset at a deep discount that reflects the incurred credit losses.

Credit impaired assets will include defaulted assets as well as other non-defaulted assets given the definition of credit impaired is broader than the definition of default.

Interest revenues are calculated on the net carrying amount for credit-impaired financial assets only.



Forward-looking information, including macro-economic factors must be taken into account to measure the expected credit losses.

Macroeconomic information (such as regulatory changes, market interest rate or growth rates) is incorporated as part of the internal rating model.

Key concepts and management judgements:

- Determining a significant increase in credit risk since initial recognition
- Forward-looking information
- Definition of default and credit impaired assets
- Expected life
- Modelling techniques

Purchased or originated credit-impaired (POCI) financial assets

POCI financial assets are credit-impaired since initial recognition. For such assets, the entity recognises a loss allowance equal to lifetime ECL since initial recognition with any changes recognised in profit or loss. A favourable change for such assets creates an impairment gain.

3.11 Fair value measurement:

The Entity measures financial instruments, such as, certain investments at fair value at each balance sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Entity.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy,

described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

3.12 Derivative financial instruments

Derivative financial instruments such as forward contracts are taken by the Company to hedge its foreign currency risks, are initially recognised at fair value on the date a derivative contract is entered into and are subsequently re-measured at their fair value with changes in fair value recognised in the Statement of Profit and Loss in the period when they arise (other than in case of hedge accounting).

3.13 Offsetting financial instruments:

Financial assets and liabilities are offset and the net amount is reported in the balance sheet where there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Entity or the counterparty.

3.14 Segment Reporting:

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The chief operational decision maker monitors the operating results of its business Segments separately for the purpose of making decision about the resources allocation and performance assessment. Segment performance is evaluated based on the profit or loss and is measured consistently with profit or loss in the financial statements. The operating segments have been identified on the basis of the nature of products/ services.

3.15 Dividend

Final dividend is recognised in the Statement of Profit & Loss A/c on approval of shareholders. Interim dividend is recorded as a liability on the date of declaration of the Entity's Board of Directors.

3.16 Earnings per share:

Basic earnings per share

Basic earnings per share are calculated by dividing:

- *the profit attributable to owners of the Company*
- *by the weighted average number of equity shares outstanding during the financial year.*

Diluted earnings per share

Diluted earnings per share adjust the figures used in the determination of basic earnings per share to take into account:

- the after income tax effect of interest and other financing costs associated with dilutive potential equity shares, and
- the weighted average number of additional equity shares that would have been outstanding assuming the conversion of all dilutive potential equity shares.

3.17 Material accounting estimates, judgements and assumptions:

The preparation of the Entity's financial statements in conformity with Ind AS requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances existing when the financial statements were prepared. The estimates and underlying assumptions are reviewed on an ongoing basis. Revision to accounting estimates is recognised in the year in which the estimates are revised and in any future year affected.

In the process of applying the Entity's accounting policies, management has made the following judgements which have significant effect on the amounts recognised in the financial statements:

- a. **Useful lives of property, plant and equipment:** Determination of the estimated useful life of tangible assets and the assessment as to which components of the cost may be capitalised. Useful life of tangible assets is based on the life specified in Schedule II of the Companies Act, 2013

and also as per management estimate for certain category of assets. Assumption also needs to be made, when Entity assesses, whether as asset may be capitalised and which components of the cost of the assets may be capitalised.

- b. **Defined benefit plan:** The cost of the defined benefit gratuity obligation is determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases and mortality rates. Due to the complexities involved in the valuation and its long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.
- c. **Allowances for uncollected accounts receivable and advances:** Impairment is made on the expected credit loss model, which are the present value of the cash shortfall over the expected life of the financial assets. The impairment provisions for financial assets are based on assumption about the risk of default and expected loss rates. Judgement in making these assumptions and selecting the inputs to the impairment calculation are based on past history, existing market condition as well as forward looking estimates at the end of each reporting period.
- d. **Contingencies:** Management judgement is required for estimating the possible outflow of resources, if any, in respect of contingencies/ claim/ litigation against Entity as it is not possible to predict the outcome of pending matters with accuracy.

3.18 Prudential Norms:

The Company continues to be registered as a Non-Banking Financial Institution (NBFI) classified as a Loan Company and is therefore required to follow the Non-Banking Financial (Non-Deposit Accepting or Holding) Companies Prudential Norms (Reserve Bank) Directions, 2007 for its NBFC activities for Systemically Important Non-Deposit Taking Companies.

Non-performing assets are provided for as per management estimates, subject to the minimum provision as per Non-Banking Financial (Non-Deposit Accepting or Holding) Companies Prudential Norms (Reserve Bank) Directions, 2007.



Notes to Financial Statements for the Year Ended March 31, 2024

4. Cash and Cash Equivalents

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Cash on hand	0.06	0.05
Balance with Banks:		
-in Current account	0.38	0.29
-In Fixed Deposits with Bank having original maturity less than 3 months	1,67,814.81	47,682.21
Less: Impairment loss allowance	(16.78)	(23.82)
Total	1,67,798.47	47,658.73

5 Bank balances other than cash and cash equivalents

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Fixed Deposits with Banks- Maturity more than 3 months	8,94,831.98	16,41,069.90
Less: Impairment loss allowance	(113.79)	(407.03)
Total	8,94,718.20	16,40,662.87

Note: Fixed deposit earns interest at a fixed interest rate.

6. Loans

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Carried at amortised cost		
Term Loans		
(A) Banks-Secured against bookdebts held in trust, by the financing Banks*	24,04,077.09	17,27,945.37
(B) Micro Finance Institutions (MFIs)- Secured against hypothecation of bookdebts of MFIs	2,22,186.88	1,64,740.07
(C) Non-Banking Financial Company (NBFCs)- Secured against hypothecation of bookdebts of NBFCs	2,03,217.98	2,30,616.51
(D) Subscription to Pass Through Certificate (PTC)	62,640.25	34,361.19
Total Gross (A)	28,92,122.19	21,57,663.14
Less: Impairment loss allowance	(20,548.77)	(2,996.98)
Total Net (A)	28,71,573.42	21,54,666.16
(i) Secured by tangible assets	28,92,122.19	21,57,663.14
(ii) Secured by intangible assets	-	-
(iii) Covered by Bank/Government Guarantees	-	-
(iv) Unsecured	-	-
Total Gross (B)	28,92,122.19	21,57,663.14
Less: Impairment loss allowance	(20,548.77)	(2,996.98)
Total Net (B)	28,71,573.42	21,54,666.16
Loans in India		
(i) Public Sector	15,60,936.91	15,22,077.50

Notes to Financial Statements for the Year Ended March 31, 2024

Particulars	As at March 31, 2024	As at March 31, 2023
(ii) Others	13,31,185.29	6,35,585.64
Loans outside India	-	-
Total Gross (C)	28,92,122.19	21,57,663.14
Less: Impairment loss allowance	(20,548.77)	(2,996.98)
Total Net (C)	28,71,573.43	21,54,666.16

*The banks availing refinance have executed General Refinance Agreement with MUDRA, wherein they are obligated to hold securities in Trust for the refinance availed.

Provision increased due to introduction of Accelerated Provision Policy by the Management during the year.

7. Investments

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Carried at Amortised Cost		
Certificate of Deposits-SIDBI	-	-
Corporate Deposits	-	-
Total Gross (A)	-	-
Less: Impairment loss allowance	-	-
Total Net (A)	-	-
Carried at Fair Value through profit and loss (FVTPL)		
Mutual Funds (Liquid Schemes) -Unquoted (B)	-	-
Total (A+B)	-	-
(i) Investments in India	-	-
(ii) Investments outside India	-	-
Total Gross (C)	-	-
Less: Impairment loss allowance	-	-
Total Net (C)	-	-



Notes to Financial Statements for the Year Ended March 31, 2024

8 Other Financials Assets

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Interest Receivables on Fixed Deposits	-	-
Other loans and advances	-	-
Recoverable From Govt-Interest Subvention Scheme	-	-
Advance for Staff welfare	-	4.98
Total	-	4.98

9 Current Tax Assets (Net)

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Tax Assets		
Advance income tax	53,603.95	19,076.65
Tax Liabilities		
Provision for current tax	(50,544.54)	(18,233.92)
Total	3,059.41	842.73

10 Deferred tax assets/(liabilities) (net)

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Deferred tax asset on account of:		
Loan upfront fees recognition as per EIR model	741.44	475.59
Expected Credit Loss on Loans and advances	5,204.58	862.71
Impairment Allowance on Investments	-	-
Deferred tax liability on account of:		
Timing difference between tax depreciation and depreciation charged in the books	2.23	(2.64)
Fair Valuation of Mutual Fund	-	-
Net deferred tax assets	5,948.24	1,335.66

Notes to Financial Statements for the Year Ended March 31, 2024

Note 10(a): Summary of deferred tax assets/(liabilities)

(₹ in lakh)

Particulars	As at March 31, 2022	(Charged)/ Credited to P & L	As at March 31, 2023	(Charged)/ Credited to P & L	As at March 31, 2024
Timing difference between tax depreciation and depreciation charged in the books	(2.34)	(0.31)	(2.64)	4.87	2.23
Expected Credit Loss on Loans and advances	2,389.14	(1,526.43)	862.71	4,341.86	5,204.58
Impairment Allowance on Investments	-	-	-	-	-
Fair Valuation of Mutual Fund	-	-	-	-	-
Preliminary Expenses	-	-	-	-	-
Loan upfront fees recognition as per EIR model	363.47	112.12	475.59	265.84	741.44
Net deferred tax assets/(liability)	2,750.28	(1,414.62)	1,335.66	4,612.58	5,948.24

11 Property, Plant and Equipment

(₹ in lakh)

Particulars	Office Equipments	Computers	Electrical Installations and Equipment	Total
For the year ended March 31, 2024				
Gross Carrying Amount				
Cost as at April 01, 2023	1.72	48.72	0.52	50.97
Additions during the year	-	-	-	-
Disposals during the year	-	-8.41	-	-8.41
Gross carrying value as at March 31, 2024	1.72	40.32	0.52	42.56
Accumulated Depreciation and impairment				
Accumulated Depreciation and impairment as at April 01, 2023	1.15	32.26	0.36	33.76
Depreciation Expenses for the year	0.14	7.60	0.05	7.79
Disposals during the year	-	-7.99	-	-7.99
Accumulated depreciation and impairment as of March 31, 2024	1.29	31.86	0.41	33.56
Net carrying amount as at March 31, 2024	0.43	8.45	0.11	9.00
For the period ended March 31, 2023				
Gross Carrying Amount				
Cost as at April 01, 2022	1.72	45.85	0.52	48.09
Additions during the year	-	2.87	-	2.87



Notes to Financial Statements for the Year Ended March 31, 2024

Particulars	Office Equipments	Computers	Electrical Installations and Equipment	Total
Disposals during the year	-	-	-	-
Gross carrying value as at March 31, 2023	1.72	48.72	0.52	50.97
Accumulated Depreciation and impairment				
Accumulated Depreciation as at April 01, 2022	0.99	24.72	0.31	26.02
Depreciation Expenses for the year	0.16	7.54	0.05	7.74
Disposals during the year	-	-	-	-
Accumulated depreciation as of March 31, 2023	1.15	32.26	0.36	33.76
Net carrying amount as at March 31, 2023	0.58	16.47	0.16	17.20

12 Other Intangible assets

(₹ in lakh)

Particulars	Computer Software	Total
For the year ended March 31, 2024		
Gross Carrying Amount		
Cost as at April 01, 2023	152.81	152.81
Additions during the year	1.34	1.34
Disposals during the year	-	-
Gross carrying value as at March 31, 2024	154.15	154.15
Accumulated Amortization and impairment		
Accumulated Amortization and impairment as at April 01, 2023	60.55	60.55
Amortization for the year	51.81	51.81
Disposals during the year	-	-
Accumulated Amortization and impairment as of March 31, 2024	112.36	112.36
Net carrying amount as at March 31, 2024	41.79	41.79
For the period ended March 31, 2023		
Gross Carrying Amount		
Deemed cost as at April 01, 2022	79.19	79.19
Additions during the year	73.62	73.62
Disposals during the year	-	-
Gross carrying value as of March 31, 2023	152.81	152.81

Notes to Financial Statements for the Year Ended March 31, 2024

Particulars	Computer Software	Total
Accumulated Amortization and impairment		
Accumulated Amortization and impairment as at April 01, 2022	26.64	26.64
Depreciation Expenses for the year	33.91	33.91
Disposals during the year	-	-
Accumulated Amortization and impairment as at March 31, 2023	60.55	60.55
Net carrying value as at March 31, 2023	92.26	92.26

13 Other non-financial assets

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Balances with statutory/government authorities	32.13	22.54
Prepaid Expenses	11.85	-
Total	43.98	22.54

14 Payables

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Trade Payables		
Total outstanding dues of micro enterprises and small enterprises	-	-
Total outstanding dues of creditors other than micro enterprises and small enterprises	-	-
Total	-	-
Other Payables		
Total outstanding dues of micro enterprises and small enterprises	-	-
Total outstanding dues of creditors other than micro enterprises and small enterprises	51.89	292.33
Total	51.89	292.33

Note (a): There are no Micro, Small and Medium Enterprises, to whom the company owe amount which are outstanding for more than 45 days during the year. The information, as required to be disclosed under the Micro, Small and Medium Enterprises Development Act, 2006, has been determined to the extent such parties have been identified on the basis of information available with the company regarding the status of the supplier. Further, no interest is outstanding to be paid to any such parties.



Notes to Financial Statements for the Year Ended March 31, 2024

15 Deposits

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Carried at amortised cost,		
From Banks	35,33,609.86	35,13,655.66
Total	35,33,609.86	35,13,655.66

The company has not accepted any deposit from directors / key management personnel's. The company have not been guaranteed by directors or others. Also, the company has not defaulted in repayment of deposits and interest thereon.

16 Other financial liabilities

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Security Deposits	7.75	7.93
Total	7.75	7.93

17 Provisions

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Short Term Provisions	79.89	47.61
Total	79.89	47.61

18 Other non-financial liabilities

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Statutory dues payable	149.76	26.15
Revenue received in advance	-	20.00
Total	149.76	46.15

Notes to Financial Statements for the Year Ended March 31, 2024

19 Equity Share capital

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
a. Authorised Share Capital		
5,00,00,00,000 Equity Shares (March 31, 2023: 5,00,00,00,000) of ₹ 10 each	5,00,000.00	5,00,000.00
Total	5,00,000.00	5,00,000.00
b. Issued, Subscribed and Paid-up:		
1,67,59,25,926 Equity Shares (March 31, 2023: 1,67,59,25,926) of ₹ 10 each	1,67,592.59	1,67,592.59
Total	1,67,592.59	1,67,592.59

c. Reconciliation of number of shares outstanding at the beginning and at the end of the year :

Particulars	As at March 31, 2024		As at March 31, 2023	
	No. of shares	Amount	No. of shares	Amount
Balance at the beginning of the year	1,67,59,25,926	1,67,592.59	1,67,59,25,926	1,67,592.59
Add/(less) : Movement during the year	-	-	-	-
Balance at the end of the year	1,67,59,25,926	1,67,592.59	1,67,59,25,926	1,67,592.59

d. Equity Shares in the Company held by each shareholder holding more than 5 per cent shares and the number of equity shares held are as under

Particulars	As at March 31, 2024		As at March 31, 2023	
	No. of Shares	% of Total Paid-up Equity Share Capital	No. of Shares	% of Total Paid-up Equity Share Capital
Small Industries Development Bank of India (SIDBI)	1,67,59,25,920	99.9999996%	1,67,59,25,920	99.9999996%
Total	1,67,59,25,920	99.9999996%	1,67,59,25,920	99.9999996%

e. Details of shares held by holding company

Particulars	As at March 31, 2024	As at March 31, 2023
Small Industries Development Bank of India (SIDBI)	1,67,59,25,920	1,67,59,25,920
Total	1,67,59,25,920	1,67,59,25,920

f. Terms and rights attached to equity shares

The Company has only one class of equity shares having par value of ₹ 10 per share. Each holder of equity shares is entitled to one vote per share. The company declares and pays dividends in Indian rupees. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting (AGM).

In the event of liquidation of the company, the holders of equity shares will be entitled to receive remaining assets of the company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.



Notes to Financial Statements for the Year Ended March 31, 2024

g. Bonus Shares

There are no bonus shares issued since inception (Incorporation year 2015-2016).

h. Details of Shareholding of promoters

Shares held by promoters at the end of the year					% Change during the year
S. No	Promoter name	No. of Shares as on 31/03/2024	No. of Shares as on 31/03/2023	%of total shares	
1	SIDBI	1,67,59,25,920	1,67,59,25,920	99.9999996%	-
	Ravi Tyagi (Nominee Shareholder of SIDBI)	1	1	0.00000006%	-
3	Sanjay Goyal (Nominee Shareholder of SIDBI)	1	1	0.00000006%	-
4	Subhransu Sekhar Acharya (Nominee Shareholder of SIDBI)	1	1	0.00000006%	-
5	Sanjay Narayan Singh (Nominee Shareholder of SIDBI)	1	1	0.00000006%	-
6	Vinay Sudhakar Rao Hedao (Nominee Shareholder of SIDBI)	1	1	0.00000006%	-
7	Yalangi Munni Kumari (Nominee Shareholder of SIDBI)	1	1	0.00000006%	-
Total		1,67,59,25,926	1,67,59,25,926	100%	-

20 Other Equity

(₹ in lakh)

Particulars	Note	As at March 31, 2024	As at March 31, 2023
Securities Premium Reserve	(i)	7,407.41	7,407.41
General Reserve	(ii)	1,69,500.00	1,09,500.00
Retained Earnings	(iii)	7,202.29	5,440.75
Statutory reserve created u/s 45-IC of Reserve Bank of India Act, 1934	(iv)	49,589.80	33,311.45
Development Fund	(v)	200.00	200.00
Impairment Reserve	(vi)	7,801.27	7,801.27
Total		2,41,700.76	1,63,660.87

(i) Securities Premium Reserve

Securities premium reserve is used to record the premium on issue of shares. The reserve can be utilised in accordance with the provisions of the Companies Act, 2013.

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Opening Balance	7,407.41	7,407.41
Movement during the year	-	-
Closing Balance	7,407.41	7,407.41

Notes to Financial Statements for the Year Ended March 31, 2024

(ii) General Reserve

Under the erstwhile Companies Act 1956, general reserve was created through an annual transfer of net income at a specified percentage in accordance with applicable regulations. The purpose of these transfers was to ensure that if a dividend distribution in a given year is more than 10% of the paid-up capital of the Company for that year, then compulsory transfer to General reserve at a specified rate was obligatory. Consequent to introduction of Companies Act 2013, the requirement to mandatorily transfer a specified percentage of the net profit to general reserve has been withdrawn. However, the amount previously transferred to the general reserve can be utilised only in accordance with the specific requirements of Companies Act, 2013.

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Balance at the beginning of the year	1,09,500.00	68,000.00
Movement during the year	60,000.00	41,500.00
Balance at the end of the year	1,69,500.00	1,09,500.00

(iii) Retained Earnings

Retained earnings represents surplus/accumulated earnings of the Company and are available for distribution to shareholders

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Opening Balance	5,440.75	4,350.88
Profit for the year	81,391.74	57,744.98
Transfer to statutory reserve created u/s 45-IC of Reserve Bank of India Act, 1934	(16,278.35)	(11,549.00)
Transfer to Impairment Reserve	-	(1,092.22)
Transfer to General Reserve	(60,000.00)	(41,500.00)
Dividends paid	(3,351.85)	(2,513.89)
Closing Balance	7,202.29	5,440.75

(iv) Statutory reserve created u/s 45-IC of Reserve Bank of India Act, 1934

Statutory Reserve represents the reserve created pursuant to the Reserve Bank of India Act, 1934 (the "RBI Act"). In terms of Section 45-IC of the RBI Act, a Non-Banking Finance Company is required to transfer an amount not less than 20 per cent of its net profit to a Reserve Fund before declaring any dividend. Appropriation from this Reserve Fund is permitted only for the purposes specified by RBI.

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Opening Balance	33,311.45	21,762.45
Movement during the year	16,278.35	11,549.00
Closing Balance	49,589.80	33,311.45



Notes to Financial Statements for the Year Ended March 31, 2024

(v) Development Fund

The Company has created Development Fund for the developmental activities

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Opening Balance	200.00	200.00
Movement during the year	-	-
Closing Balance	200.00	200.00

(vi) Impairment Reserve

Reserve created in accordance with the Notification No. RBI/2019-20/170 DOR (NBFC).CC.PD. No.109/22.10.106/2019-20 issued by the Reserve Bank of India ("RBI") dated March 13, 2020

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Opening Balance	7,801.27	6,709.04
Movement during the year	-	1,092.22
Closing Balance	7,801.27	7,801.27

21 Interest Income

(₹ in lakh)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Interest on Loans		
(A) Interest on Refinance to Banks	1,02,684.67	54,162.05
(B) Interest on Refinance to MFIs /NBFC's	24,037.15	19,387.61
Interest Income on Pass Through Certificates	3,584.49	992.78
Interest on FDRs & CDs	98,674.20	78,074.37
Other interest Income	1.30	0.12
Total	2,28,981.80	1,52,616.92

22 Fees and commission Income

(₹ in lakh)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Fee income that are recognised over a period	1,043.22	697.23
Total	1,043.22	697.23

Notes to Financial Statements for the Year Ended March 31, 2024

23 Net gain on fair value changes

(₹ in lakh)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
(A) Others	-	-
Mutual Funds at FVTPL	675.45	147.49
Total Net gain on fair value changes	675.45	147.49
Fair Value changes:		
Realised	675.45	147.49
Unrealised	-	-
Total Net gain on fair value changes	675.45	147.49

24 Other Income

(₹ in lakh)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Others	6.50	258.39
Net gain/(loss) on derecognition of property, plant and equipment	-	-
Total	6.50	258.39

25 Amortised Finance costs

(₹ in lakh)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Interest on deposits	1,01,870.98	75,082.86
Total	1,01,870.98	75,082.86

26 Impairment on financial instruments

(₹ in lakh)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
On Loans Held at Amortised Cost	17,551.79	(6,053.58)
Investments	-	-
Fixed Deposits including Bank Balance	(300.28)	(11.38)
Total	17,251.51	(6,064.96)

The table below shows the ECL charges on financial instruments for the year recorded in the profit and loss based on evaluation stage:

Particulars	For the year ended March 31, 2024			
	Stage 1	Stage 2	Stage 3	Total
Debt instruments measured at Amortised Cost (Loans)	17,553.53	-	(1.74)	17,551.79
Debt instruments measured at Amortised Cost (Investment)	-	-	-	-
Debt instruments measured at Amortised Cost (Fixed Deposit including Bank Balances)	(300.28)	-	-	(300.28)
Total impairment loss	17,253.25	-	(1.74)	17,251.51



Notes to Financial Statements for the Year Ended March 31, 2024

Particulars	For the year ended March 31, 2023			
	Stage 1	Stage 2	Stage 3	Total
Debt instruments measured at Amortised Cost (Loans)	(25.38)	-	(6,028.19)	(6,053.58)
Debt instruments measured at Amortised Cost (Investment)	-	-	-	-
Debt instruments measured at Amortised Cost (Fixed Deposit including Bank Balances)	(11.38)	-	-	(11.38)
Total impairment loss	(36.77)	-	(6,028.19)	(6,064.96)

27 Net Loss on de-recognition of financial instruments under amortized cost category

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Net Loss on de-recognition of financial instruments under amortized cost category	-	5,132.86
Total	-	5,132.86

During the Financial year 22-23 an amount of ₹ 51,32,85,700.00 of Reliance Commercial Finance Ltd has been written off in the books.

28 Employee Benefits Expenses

(₹ in lakh)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Salaries and wages	95.80	97.24
Deputation Cost	660.09	865.51
Total	755.90	962.76

29 Depreciation, amortization and impairment

(₹ in lakh)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Depreciation of property, plant and equipment (Refer Note No. 11)	7.79	7.74
Amortization of intangible assets (Refer Note No. 12)	51.81	33.91
Total	59.60	41.65

Notes to Financial Statements for the Year Ended March 31, 2024

30 Others expenses

(₹ in lakh)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Rent, rates and taxes	97.00	83.57
Telephone Expenses	0.04	0.02
Travelling and conveyance	9.73	-
Advertisement and publicity	198.66	13.50
Director's sitting fees	12.65	11.80
Auditor's fees and expenses (Refer Note 30.1)	8.23	7.29
Legal and Professional charges	39.21	40.87
Administrative Expenses	49.36	113.72
Website and Webportal expenses	31.60	9.74
Computer Consumables	2.76	0.01
Processing and monitoring expenses	25.42	25.41
Salary / Wages Paid to Contract Employees	72.30	59.33
Software Maintainace & Hosting Charges	152.64	126.19
Corporate Social Responsibility Expenses (Refer Note 30.2)	964.50	673.50
Subscription of market terminal	2.02	3.83
Annual Day Celebration Expenses	0.12	0.76
Loss on Sale of Fixed Asset	0.26	
Repair and maintenance	0.10	
Staff welfare expenses	12.62	0.02
Total	1,679.20	1,169.55

30.1 Payment to Auditors

(₹ in lakh)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
(i) Statutory audit of Company	4.40	4.35
(ii) Tax Audit Fess & GST Audit	1.15	0.60
(iii) For Limited Review	2.33	2.04
(iv) Certification Fees	0.35	0.30
Total	8.23	7.29



Notes to Financial Statements for the Year Ended March 31, 2024

30.2 Details of corporate social responsibility expenditure:

(₹ in lakh)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Contribution to :		
Prime Minister National Relief Fund	940.00	673.50
Bisnoulis Sarvodaya Gramodyog Sewa Sanstha	24.50	
Accrual towards unspent obligations in relation to:		
Ongoing project		
Other than ongoing project		
Total	964.50	673.50
a) Amount required to be spent during the year	964.50	673.50
b) Amount spent during the year ending on :		
i) Construction/acquisition of any asset	-	-
ii) On purposes other than (i) above	964.50	673.50

30.3 Details of ongoing CSR projects under Section 135(6) of the Act

(₹ in lakh)

Particulars	Amount
Balance as at April 01, 2023 with Company	-
Balance as at April 01, 2023 in separate CSR Unspent account	-
Amount required to be spent during the year	-
Amount spent during the year From the Company's Bank account	-
Amount spent during the year From Separate CSR Unspent account	-
Balance as at 31 March 2024 With Company	-
Balance as at 31 March 2024 In Separate CSR Unspent account	-

30.4 Details of CSR expenditure under Section 135(5) of the Act in respect of other than ongoing projects

(₹ in lakh)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Balance unspent as at 1st April	-	-
Amount deposited in Specified Fund of Schedule VII of the Act within 6 months	-	-
Amount required to be spent during the year	964.50	673.50
Amount spent during the year	964.50	673.50
Shortfall at the end of the year	-	-
Total of previous year shortfall	-	-
Balance unspent as at 31st March	-	-

Notes to Financial Statements for the Year Ended March 31, 2024

31 Income tax expense

(₹ in lakh)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Current tax		
Current tax on profits for the period	32,310.62	18,233.92
Adjustment In respect of prior years	-	1.81
Total Current Tax	32,310.62	18,235.73
Deferred tax expense		
Origination and reversal of temporary differences (Refer Note 10)	(4,612.58)	1,414.62
Total deferred tax expense	(4,612.58)	1,414.62
Total tax expense	27,698.05	19,650.34

31.1 The Income Tax expense comprises of Current Tax and Deferred Tax. Current tax is measured at the amount expected to be paid in respect of taxable income for the year in accordance with Income Tax Act, 1961. The new Section 115BAA has been inserted in the Income Tax Act, 1961 to give the benefit of a reduced corporate tax rate for the domestic companies. Section 115BAA states that domestic companies have the option to pay tax at a rate of 22% from the FY 2019-20 (AY 2020-21) onwards if such domestic companies adhere to certain conditions specified. The Company has availed the benefit of the same from FY 19-20 onwards and Tax Provision has been made accordingly in the books of accounts.

31.2 Reconciliation of effective tax rate:

(₹ in lakh)

Particulars	For the year ended March 31, 2024	%	For the year ended March 31, 2023	%
Profit/(Loss) before tax as per Statement of profit and loss	1,09,089.78		77,395.32	
Enacted income tax rate in India applicable to the Company 25.168%	27,455.72	25.17%	19,478.85	25.17%
Tax effect of:				
Difference due to differential Tax rates	-	0.00%	-	0.00%
Prior Period Items	-	0.00%	1.81	0.00%
Others (including provisions)	243.15	0.22%	169.69	0.22%
Total tax expense	27,698.86		19,650.35	
Effective tax rate	25.39%	25.39%	25.39%	25.39%

31.3 Amounts recognised directly in equity

No aggregate amounts of current and deferred tax have arisen in the reporting period which have been recognised in equity.



Notes to Financial Statements for the Year Ended March 31, 2024

32 Earnings per share

(₹ in lakh)

Particulars	For the year ended March 31, 2024	For the year ended March 31, 2023
Profit attributable to the equity holders of the company (A) (₹ in lakh)	81,391.74	57,744.98
Weighted Average number of shares issued for Basic EPS (B)	1,67,59,25,926	1,67,59,25,926
Adjustment for calculation of Diluted EPS (C)	-	-
Weighted Average number of shares issued for Diluted EPS (D= B+C)	1,67,59,25,926	1,67,59,25,926
Basic EPS in ₹ (A/B)	4.86	3.45
Diluted EPS in ₹ (A/D)	4.86	3.45

33 Segment Reporting

The Company is engaged in financing activities. It operates in a single business and geographical segment.

34 Contingent liabilities & commitments

- The company does not have any Contingent liability as on March 31, 2024 and March 31, 2023
- The company has a no capital commitment towards development of intangible capital as on March 31, 2024 and as on March 31, 2023.
- The company has off-balance sheet exposure of Undisbursed-Sanctioned loans amounting to ₹ 68.76 crore as on March 31, 2024 and ₹ 230.00 crore as on March 31, 2023.

35 Employee Benefits

- For the employees who are on deputation from Small Industrial Development Bank of India (SIDBI), Gratuity, Leave Encashment and Arrears of Salary are taken care by the employer, who have deputed the employees to this company. Further, MUDRA has provided an amount of ₹ 28.97 lakh (March 2023: ₹ 30.32 lakh) to P&L A/c during the current FY. The same would be paid to SIDBI, when such costs are demanded by SIDBI. With respect to contract employees there is no post employment benefits which are applicable.
- Therefore, no disclosures are required under 'Revised AS 15- Employees Benefit' issued under Companies Accounting Standard Rules, 2006'

36 Maturity analysis of assets and liabilities

The table below shows an analysis of assets and liabilities analysed according to when they are expected to be recovered or settled. With regard to loans and advances to customers, the company uses the same basis of expected repayment behaviour as used for estimating the Effective Interest Rate (EIR).

Notes to Financial Statements for the Year Ended March 31, 2024

(₹ in lakh)

Assets	March 31, 2024			March 31, 2023		
	Upto 1 Year	More than 1 Year	Total	Upto 1 Year	More than 1 Year	Total
Financials Assets						
Cash and cash equivalents	1,67,798.47	-	1,67,798.47	47,658.73	-	47,658.73
Bank balances other than cash and cash equivalents	8,94,718.20	-	8,94,718.20	11,44,268.27	4,96,395.00	16,40,663.27
Loans	9,64,838.00	19,06,735.42	28,71,573.42	10,52,531.29	11,02,134.77	21,54,666.06
Investments	-	-	-	-	-	-
Other Financials Assets	-	-	-	4.98	-	4.98
Non Financials Assets						
Tax Assets (Net)	3,059.41	-	3,059.41	842.73	-	842.73
Deferred Tax Assets (Net)	-	5,948.24	5,948.24	-	1,335.66	1,335.66
Property, Plant and Equipment	-	9.00	9.00	-	17.20	17.20
Intangible assets under development	-	-	-	-	-	-
Other Intangible assets	-	41.79	41.79	-	92.26	92.26
Other non-financials assets	43.98	-	43.98	22.54	-	22.54
Total Assets	20,30,458.06	19,12,734.44	39,43,192.50	22,45,328.54	15,99,974.90	38,45,303.44

(₹ in lakh)

Liabilities	March 31, 2024			March 31, 2023		
	Upto 1 Year	More than 1 Year	Total	Upto 1 Year	More than 1 Year	Total
Financial Liabilities						
Payables						
I) Trade payables	-	-	-	-	-	-
II) Other payables	51.89	-	51.89	292.33	-	292.33
Deposits	15,17,780.86	20,15,829.00	35,33,609.86	10,17,975.66	24,95,680.00	35,13,655.66
Other financial liabilities	7.75	-	7.75	7.93	-	7.93
Non-Financial Liabilities						
Provisions	79.89	-	79.89	47.61	-	47.61
Other non-financial liabilities	149.76	-	149.76	46.15	-	46.15
Total Liabilities	15,18,070.15	20,15,829.00	35,33,899.15	10,18,369.68	24,95,680.00	35,14,049.68
Net	5,12,387.91	(1,03,094.56)	4,09,293.35	12,26,958.86	(8,95,705.10)	3,31,253.77



Notes to Financial Statements for the Year Ended March 31, 2024

37 Capital Management

The primary objective of the Company's capital management is to ensure that it maintains an efficient capital structure and maximize shareholder value. The Company manages its capital structure and makes adjustments in light of changes in economic conditions, annual operating plans and long term and other strategic investment plans. In order to maintain or adjust the capital structure, the Company may adjust the amount of dividends paid to shareholders or issue new shares. The Company is not subject to any externally imposed capital requirements. No changes were made in the objectives, policies or processes for managing capital during the year ended March 31, 2024 and March 31, 2023. The Company monitors capital using a ratio of 'adjusted net debt' to 'equity'. For this purpose, adjusted net debt is defined as total liabilities, comprising interest-bearing loans and borrowings less cash and cash equivalents. Equity comprises all components of equity including share premium and all other equity reserves attributable to the equity share holders.

The Company's adjusted net debt to equity ratio is as follows.

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Deposits	35,33,609.86	35,13,655.66
Less: Cash and cash equivalents including Bank Balances	(10,62,516.67)	(16,88,321.60)
Adjusted net debt	24,71,093.20	18,25,334.06
Total Equity	4,09,293.35	3,31,253.47
Adjusted net debt to adjusted equity ratio	6.04	5.51

37.1 Regulatory capital

As per RBI, NBFCs are required to maintain a minimum capital to risk weighted assets ratio ("CRAR") consisting of Tier I and Tier II capital of 15% of its aggregate risk weighted assets. Further, the total of Tier II capital cannot exceed 100% of Tier I capital at any point of time. The capital management process of the Company ensures to maintain the minimum CRAR at all the times.

The primary objectives of the Company's capital management policy are to ensure that the Company complies with capital requirements required by regulator, maintains strong credit ratings and healthy capital ratios in order to support its business and to maximise shareholder value. The Company manages its capital structure and makes adjustments to it according to changes in economic conditions and the risk characteristics of its activities.

Particulars	Numerator	Denominator	As at March 31, 2024	As at March 31, 2023	% Variance
Tier 1 capital			3,95,290.21	3,21,824.28	
Tier 2 capital			6,159.52	820.68	
Total Capital funds			4,01,449.73	3,22,644.96	
Risk weighted assets			4,92,761.54	4,50,563.66	
Tier 1 Capital ratio (%)	3,95,290.21	4,92,761.54	80.22	71.43	12.31
Tier 2 Capital ratio (%)	6,159.52	4,92,761.54	1.25	0.18	586.26
Total capital ratio (%)			81.47	71.61	13.77

RBI vide its letter No. DNBR(PD)No. 0026/03.10.001/2015-16 dated July 03, 2015, has approved assigning zero risk weight to all refinance provided to Scheduled Commercial Banks including RRBs. The above ratios are based on the same.

Undisbursed sanction amount as at March 31, 2024 is ₹ 68.76 crore. (March 31, 2023 ₹ 230 crore) included while calculating CRAR

Notes to Financial Statements for the Year Ended March 31, 2024

38 Events after reporting date

There have been no events after the reporting date that require disclosure in these financial statements.

39 Net Profit or Loss for the period, prior period items and changes in accounting policies

Since the format of the profit and loss account of applicable NBFCs does not specifically provide for disclosure of the impact of prior period items on the current year's profit and loss, such disclosures, wherever warranted, shall be made in the Note to Accounts (NTA).

40 Change in liabilities arising from financing activities

(₹ in lakh)

Particulars	April 1,2023	Cash Flows	Changes in fair values	Exchange difference	Other	March 31,2024
Deposits	35,13,655.66	19,954.21	-	-	-	35,33,609.86
Total liabilities from financing activities	35,13,655.66	19,954.21	-	-	-	35,33,609.86

(₹ in lakh)

Particulars	April 1, 2021	Cash Flows	Changes in fair values	Exchange difference	Other	March 31,2023
Deposits	29,97,274.68	5,16,380.98	-	-	-	35,13,655.66
Total liabilities from financing activities	29,97,274.68	5,16,380.98	-	-	-	35,13,655.66

41 Related Party Disclosures

A. Names of related parties and nature of relationship:

Description of relationship	Name of the related party
Holding Company	Small Industries Development Bank of India (SIDBI) Shri Vinay Hedaoo ,MD & CEO (Since August 2021) Shri Amitabh Misra, CFO (Till May 2022) Shri Rishi Dwivedi, CFO (Since May 2022 till October 2022)
Key Management Personnel (KMP)	Shri Rajesh D. Kale, CFO (Since November 2022) Shri Vishnu Kumar Sah (Since March 2023) Pooja Kukreti, Company Secretary (Till November 03, 2022) Umesh Patil (Company Secretary, Since May 2023)
Related Party	Shri Vasantha Rao Satya Venkatarao, Deputy Managing Director of Holding Company (Since June 2020) Shri Arvind kumar Jain, Non-Executive Director (Till February 2023) Smt Smita Affinwala, Non-Executive Director (Since June 2020) Shri Sudatta Mandal, Deputy Managing Director of Holding Company (Since May 2021) Shri Mukesh Kumar Bansal (Since November 2022) Shri Sadhu V.Sastry (Since February 2023) Shri Sivasubramanian Ramann, Chairman SIDBI, (Since April 2021) Smt Mala Sinha (Since June, 2023) Shri Bhushan Kumar Sinha (Till November 2022)



Notes to Financial Statements for the Year Ended March 31, 2024

B. Details of related party transactions:

(₹ in lakh)

Name of the related party	Nature of Transaction	For the year ended March 31, 2024	For the year ended March 31, 2023
Holding Company	Reimbursement made for Salary	603.83	782.64
	Rent paid for Office - Expense	97.00	91.09
	Dividend Paid	3,351.85	2,513.89
	Reimbursement of Other Expenses	56.26	83.85
	Total	4,108.94	3,471.47
Key Management Personnel (KMP)	Salary / Remineration paid to		
	Vinay Hedao, MD & CEO (Since August 2021)	85.52	103.67
	Rajesh D Kale, CFO (Since November 2022)	71.66	36.41
	Rishi Dwiwedi, CFO (Since May 2022 Till October 2022)	-	28.23
	Amitabh Misra, CFO (August 2021 Till May 2022)	-	10.00
	Pooja Kukreti, Company Secretary (Till November 03, 2022)	-	11.36
	Umesh Patil (Company Secretary, Since May 2023)	10.47	-
Related Party Transactions	Sitting Fees paid to		
	Arvind Kumar Jain, Non-Executive Director	-	5.55
	Sadhu V.Sastry, Non-Executive Director	7.05	1.25
	Smt Mala Sinha, Non-Executive Director	4.00	
	Smita Affinwala, Non-Executive Director	1.60	5.00

C. Details of balances outstanding for related party transactions:

(₹ in lakh)

Name of the related party	Nature of Transaction	As at March 31, 2024	As at March 31, 2023
Holding Company	Expense Payable	36.20	222.98

- D. The transactions with related parties are made on terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the year-end are unsecured and settlement occurs in cash. This assessment is undertaken each financial year through examining the financial position of the related party and the market in which the related party operates.

42 FINANCIAL INSTRUMENTS – FAIR VALUES AND RISK MANAGEMENT

A. Classification of financial assets and financial liabilities:

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

Notes to Financial Statements for the Year Ended March 31, 2024

(₹ in lakh)

Financial Assets and Liabilities as at March 31, 2024	Carrying Amount			Fair Value				
	Fair value through profit and loss account	Fair value through other comprehensive Income	Amortised Cost	Total	Level 1	Level 2	Level 3	Total
Financial Assets								-
Cash and cash equivalents	-	-	1,67,798.47	1,67,798.47	1,67,798.47	-	-	1,67,798.47
Bank balances other than cash and cash equivalents	-	-	8,94,718.20	8,94,718.20	8,94,718.20	-	-	8,94,718.20
Loans	-	-	28,71,573.42	28,71,573.42	-	-	28,71,573.42	28,71,573.42
Investments	-	-	-	-	-	-	-	-
Other Financials Assets	-	-	-	-	-	-	-	-
	-	-	39,34,090.09	39,34,090.09	10,62,516.67	-	28,71,573.42	39,34,090.09
Financial Liabilities								
Payables	-	-	-	-	-	-	-	-
Trade payables	-	-	-	-	-	-	-	-
Other payables	-	-	51.89	51.89	-	-	51.89	51.89
Deposits	-	-	35,33,609.86	35,33,609.86	-	-	35,33,609.86	35,33,609.86
Other financial liabilities	-	-	7.75	7.75	-	-	7.75	7.75
	-	-	35,33,669.50	35,33,669.50	-	-	35,33,669.50	35,33,669.50

During the reporting period ending March 31, 2024, there were no transfers between Level 1 and Level 2 fair value measurements.

Notes to Financial Statements for the Year Ended March 31, 2024



(₹ in lakh)

Financial Assets and Liabilities as at March 31, 2023	Carrying Amount			Fair Value				
	Fair value through profit and loss account	Fair value through other comprehensive Income	Amortised Cost	Total	Level 1	Level 2	Level 3	Total
Financial Assets								-
Cash and cash equivalents	-	-	47,658.73	47,658.73	47,658.73	-	-	47,658.73
Bank balances other than cash and cash equivalents	-	-	16,40,662.87	16,40,662.87	16,40,662.87	-	-	16,40,662.87
Loans	-	-	21,54,666.16	21,54,666.16	-	-	21,54,666.16	21,54,666.16
Investments	-	-	-	-	-	-	-	-
Other Financials Assets	-	-	4.98	4.98	-	-	4.98	4.98
	-	-	38,42,992.74	38,42,992.74	16,88,321.60	-	21,54,671.14	38,42,992.74
Financial Liabilities								
Payables								
Trade payables	-	-	-	-	-	-	-	-
Other payables	-	-	292.33	292.33	-	-	292.33	292.33
Deposits	-	-	35,13,655.66	35,13,655.66	-	-	35,13,655.66	35,13,655.66
Other financial liabilities	-	-	7.93	7.93	-	-	7.93	7.93
	-	-	35,13,955.92	35,13,955.92	-	-	35,13,955.92	35,13,955.92

During the reporting period ending March 31, 2024, there were no transfers between Level 1 and Level 2 fair value measurements.

Notes to Financial Statements for the Year Ended March 31, 2024

B. Measurement of fair value

The following methods and assumptions were used to estimate the fair values:

- The carrying amounts of cash equivalent including other current bank balances, other receivables and other financial liabilities including trade and other payables, etc. are considered to be the same as their fair values, due to current and short term nature of such balances.
- Financial instruments with fixed interest rates are evaluated by the company based on parameters such as interest rates and individual credit worthiness of the counterparty. Based on this evaluation, allowances if required, are taken to account for expected losses of these instruments. Thus, Amortised cost shown in A, above, is after adjusting ECL amount.
- These are classified as Level 3 fair value hierarchy due to inclusion of unobservable inputs including counterparty credit risk.

C. Fair Value Hierarchy

The fair value of financial instruments as referred to above have been classified into three categories depending on the inputs used in the valuation technique. The hierarchy gives the highest priority to quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and lowest priority to unobservable inputs (Level 3 measurements).

Level 1 : Level 1 hierarchy includes financial instruments measured using unadjusted quoted prices in active markets that the Company has the ability to access for the identical assets or liabilities. A financial instrument is classified as a Level 1 measurement if it is listed on an exchange. This includes listed equity instruments, traded bonds and mutual funds that have quoted price. The fair value of all equity instruments (including bonds) which are traded in the stock exchanges is valued using the closing price as at the reporting period. The mutual funds are valued at the closing NAV. Level 1: Level 1 hierarchy includes financial instruments measured using quoted prices. This includes listed equity instruments and mutual funds that have quoted price. The fair value of all equity instruments which are traded in the stock exchanges is valued using the closing price as at the reporting period.

Level 2: The fair value of financial instruments that are not traded in active markets is determined using valuation techniques which maximize the use of observable market data either directly or indirectly, such as quoted prices for similar assets and liabilities in active markets, for substantially the full term of the financial instrument but do not qualify as Level 1 inputs. If all significant inputs required to fair value an instrument are observable the instrument is included in level 2.

Level 3: If one or more of the significant inputs is not based in observable market data, the instruments is included in level 3. That is, Level 3 inputs incorporate market participants' assumptions about risk and the risk premium required by market participants in order to bear that risk. The Company develops Level 3 inputs based on the best information available in the circumstances.

43 Financial Risk Management

The company has in place comprehensive risk management policy in order to identify measure, monitor and mitigate various risks pertaining to its business. Along with the risk management policy, an adequate internal control system, commensurate to the size and complexity of its business, is maintained to align with the philosophy of the company. Together they help in achieving the business goals and objectives consistent with the company's strategies to prevent inconsistencies and gaps between its policies and practices. The Board of Directors/committees reviews the adequacy and effectiveness of the risk management policy and internal control system. The company's financial risk management is an integral part of how to plan and execute its business strategies.



Notes to Financial Statements for the Year Ended March 31, 2024

The Company, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations. The audit committee is assisted in its oversight role by internal audit. Internal audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the audit committee.

The Company's activities expose it to a variety of risks namely:

- Credit risk
- Liquidity risk and
- Market risk

(A) Credit Risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's loan, investment and other financial assets. The carrying amounts of financial assets represent the maximum credit risk exposure.

i. Loans and financial assets measured at amortized cost

An impairment analysis is performed at each reporting date.

Impairment loss has been calculated based on Exposure at Default (EAD)* Probability of Default (PDs)* Loss given Default (LGDs).

Internal rating model incorporates both qualitative and quantitative information and, in addition to information specific to the borrower, utilise supplemental external information that could affect the borrower's behaviour.

Probability of Default (PDs): As there is no past trend available with the company for its own portfolio for calculation of probability of default, the Company has taken rating based PD's from its holding company's risk assessment model for Stage 1 and Stage 2 based on ratings. In cases where ratings are not available, PDs are taken same as parent company/sponsoring company. PDs are then adjusted for Ind AS 109 ECL calculations to incorporate forward looking information and the Ind AS 109 Stage classification of the exposure. For the purpose of Stage 3, PDs are taken as 100%.

Loss given Default (LGDs): For the purpose of LGD calculation, the Company does not have its own default and recovery history. Hence, in case of Secured loan portfolio, LGD has been considered based on Minimum LGD prescribed in risk assessment model of holding Company based on security type of loan portfolio. Currently, all loan portfolio are secured by receivables and LGD has been taken as 50% for the same. While considering LGD 50%, collateral security held by MUDRA (lien Marked in favour of MUDRA on the FDR) is factored for. For the purpose of Stage 3, LGD is considered at 100%. In case of unsecured investments, LGD is considered at 100%, since there is no past history of recovery available and forward looking information of no circumstances of recovery in future based on current position of such investee companies.

Loans (including undrawn committed line of credit)

The ageing analysis of loans (gross of provision) has been considered from the date the contractual payment falls due -

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
0-30 Days Past Due	28,96,829.84	21,78,486.85
30-90 Days Past due	-	-
More than 90 Days Past Due	2,168.29	2,176.29
Total	28,98,998.13	21,80,663.14

Notes to Financial Statements for the Year Ended March 31, 2024

The following table summarizes the changes in loss allowances measured using expected credit loss model -

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Opening Provision	2,996.97	9,050.55
Provision/(Reversal) during the year	17,551.79	(6,053.58)
Total	20,548.76	2,996.97

Investment measured at amortised Cost

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
No significant increase in credit risk	-	-
Significant increase in credit risk	-	-
Defaulted Portfolio	-	-
Total	-	-

The following table summarizes the changes in loss allowances measured using life time expected credit loss model -

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Opening Provision	-	-
Provision during the year	-	-
Reversal of provision	-	-
Total	-	-

ii. Cash and bank balances

The Company held cash and cash equivalent and other bank balance of ₹ 10,62,646.79 lakhs at March 31, 2024 (March 31, 2023: ₹ 16,88,752.11 lakhs). The same are held with bank and financial institution counterparties with good credit rating.

Fixed Deposits measured at amortised Cost

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
No significant increase in credit risk	10,62,646.79	16,88,752.11
Significant increase in credit risk	-	-
Defaulted Portfolio	-	-
Total	10,62,646.79	16,88,752.11



Notes to Financial Statements for the Year Ended March 31, 2024

The following table summarizes the changes in loss allowances measured using life time expected credit loss model -

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
	430.85	442.23
Provision during the year	-	-
Reversal of provision	(300.28)	(11.38)
Total	130.57	430.85

iii. Others

Apart from loans and fixed deposits measured at amortised cost the company has no other financial assets which carries any significant credit risk.

(B) Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Company's approach to managing liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation. Asset Liability Management Committee (ALCO) of the Company defines its liquidity risk management strategy and sets the overall policy and risk tolerances.

(i) Maturities of financial liabilities

The following are the remaining contractual maturities of financial liabilities at the reporting date. The amounts are gross and undiscounted, and include contractual interest payments.

(₹ in lakh)

Contractual maturities of financial liabilities March 31, 2024	1 year or less	1-3 years	More than 3 years	Total
Deposits	15,17,780.86	20,15,829.00	-	35,33,609.86
Other Payables	51.89	-	-	51.89
Other financial liabilities	7.75	-	-	7.75
Total	15,17,840.50	20,15,829.00	-	35,33,669.50

(₹ in lakh)

Contractual maturities of financial liabilities March 31, 2023	1 year or less	1-3 years	More than 3 years	Total
Deposits	10,17,975.66	24,95,680.00	-	35,13,655.66
Other Payables	292.33	-	-	292.33
Other financial liabilities	7.93	-	-	7.93
Total	10,18,275.92	24,95,680.00	-	35,13,955.92

Notes to Financial Statements for the Year Ended March 31, 2024

(C) Market Risk

Market risk is the risk that changes in market prices – such as foreign exchange rates, interest rates and equity prices – will affect the company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return. The company's exposure to, and management of, these risks is explained below.

(i) Foreign currency risk

The Company caters mainly to the Indian Market. Most of the transactions are denominated in the company's functional currency i.e. Rupees. Hence the Company is not exposed to Foreign Currency Risk.

(ii) Interest rate risk

Interest rate risk is the risk that the fair value or future cashflows of a financial instrument will fluctuate because of changes in market interest rates. The Company's exposure to the risk of changes in market interest rates relates primarily to the Company's long term debt obligation at floating interest rates. The company's fixed rate borrowings are carried at amortised cost. They are therefore not subject to interest rate risk as defined in Ind AS 107, since neither the carrying amount nor the future cash flows will fluctuate because of a change in market interest rates.

Exposure to Interest rate risk

The interest rate profile of the Company's interest bearing financial instruments as reported to the management of the Company is as follows:

(₹ in lakh)

Particulars	As at March 31, 2024	As at March 31, 2023
Fixed-rate instruments		
Financial Liabilities		
Borrowings	35,33,609.86	35,13,655.66
Financial Assets		
Fixed Deposits	10,62,516.23	16,88,321.26
Total net	(24,71,093.64)	(18,25,334.40)

Fair value sensitivity analysis for fixed-rate instruments

The Company's fixed rate instruments are carried at amortised cost and are not measured for interest rate risk, as neither the carrying amount nor the future cash flows will fluctuate because of changes in market interest rates.

(iii) Price Risk

The company's exposure to mutual fund price risk arises from investments held by the company and classified in the balance sheet at fair value through profit or loss. Since the mutual fund are highly liquid debt oriented funds company does not have a material price risk exposure.

43.1 Previous Year Regrouping

Figures for the previous year have been regrouped/reclassified/rearranged wherever necessary to make them comparable to those for the current year.



Notes to Financial Statements for the Year Ended March 31, 2024

43.2 Ratios

Ratio	Numerator	Denominator	Current Period	Previous Period	Variance	Remarks
Current Ratio	20,27,356.78	15,17,840.50	1.34	2.20	-39.40%	Decreased as current liabilities increased due to 6 tranches of PSS fund to be repaid in FY 2025.
Debt-Equity Ratio	35,33,609.86	4,09,293.35	8.63	10.61	-18.61%	Decreased due to increase in equity as profit increases though debt remains broadly at same level.
Return on Equity Ratio	81,391.74	4,09,293.35	19.89%	17.43%	14.08%	Increased as the profit increases during FY 2024.
Net Capital Turnover Ratio	2,30,025.02	4,09,293.35	0.56	0.46	21.43%	Increased due to increase in operational income during FY 2024.
Net Profit Ratio	81,391.74	2,30,025.02	35.38%	37.66%	-6.06%	Slightly reduced due to increase in tax and interest exp.
Return on Capital Employed	1,09,089.78	24,25,352.00	4.50%	2.74%	64.30%	Increase in income during current FY.
Return on Investment	81,391.74	3,44,294.88	23.64%	20.44%	15.67%	Increase in PAT during current FY.

Explanation:

- 1 Net Income is Profit for the year after tax
- 2 Equity includes (a) Equity Share Capital and (b) Other Equity
- 3 Debt Service Coverage Ratio, Inventory turnover ratio, Trade Receivables turnover ratio, Trade payables turnover ratio, are not applicable to the Company.

Additional disclosures required by the Reserve Bank of India

Notes to Financial Statements for the Year Ended March 31, 2024

44: Capital to Risk-Assets Ratio (CRAR)

Particulars	March 31, 2024	March 31, 2023
CRAR (%)*	81.47	71.61
CRAR - Tier I capital (%)	80.22	71.43
CRAR - Tier II capital (%)	1.25	0.18
Amount of subordinate debt raised as Tier II Capital (₹)	-	-
Amount received on issue of Perpetual Debt Instrument (₹)	-	-

RBI vide its letter No. DNBR(PD)No. 0026/03.10.001/2015-16 dated July 03, 2015, has approved assigning zero risk weight to all refinance provided to Scheduled Commercial Banks including RRBs. The above ratios are based on the same.

*Undisbursed sanction amount as at March 31, 2024 is ₹ 68.76 crore. (March 31, 2023 ₹ 230 crore) included while calculating CRAR

Note 44.1 Details of calculation for Capital to Risk-Assets Ratio (CRAR)

Ratio	Numerator	Denominator	Current Period	Previous Period	% Variance	Reason for Variance (if above 25%)
Capital to risk-weighted assets ratio (CRAR)	4,014.50	4,927.62	81.47	71.61	13.77	NA
Tier I CRAR	3,952.90	4,927.62	80.22	71.43	12.31	NA
Tier II CRAR	61.60	4,927.62	1.25	0.18	586.26	Provision on standard assest increased due to Accelarated Provison.
Liquidity Coverage Ratio	NA	NA	NA	NA	NA	NA

45: Exposure to Real Estate Sector and Capital Market

- (a) The company has no exposure to Real Estate Sector for the current year and previous year
(b) The company has no exposure to the Capital Market for the current year and previous year

Notes to Financial Statements for the Year Ended March 31, 2024



46: Asset Liability Management

Particulars As at March 31, 2023	1 to 7 days	8 to 14 days	15 days to 30 days	Over 1 month upto 2 months	Over 2 month upto 3 months	Over 3 month upto 6 month	Over 6 month to 1 year	Over 1 yr upto 3 years	Over 3 years upto 5 years	Over 5 years	Total
Deposits*	406.39	-	3,432.10	522.92	1,015.18	5,248.57	-	-	-	-	10,625.17
Advances#	-	-	0.41	67.05	-	2,087.24	7,493.68	18,940.46	126.89	-	28,715.73
Investments	-	-	-	-	-	-	-	-	-	-	-
Borrowings **	304.59	-	2,476.33	-	-	4,956.47	7,440.43	20,158.29	-	-	35,336.10
Foreign Currency Assets	-	-	-	-	-	-	-	-	-	-	-
Foreign Currency Liabilities	-	-	-	-	-	-	-	-	-	-	-

* Deposits include Fixed deposits placed with Banks

Advances shown here is netted off of those assets, which 100% provision has been made

** Borrowings include amount received from banks under Priority Sector Shortfalls Fund as allocated by Reserve Bank of India

(₹ in crore)

Notes to Financial Statements for the Year Ended March 31, 2024

47: Details of Registration with Financial Regulators

Regulator	Registration No.
Ministry of Company Affairs	CIN U65100MH2015PLC274695
Reserve Bank of India	N-13.02124

Note: There are no penalties imposed by RBI or any other regulators during the current and previous year

48: Investments

(₹ in crore)

S. No.	Particulars	March 31, 2024	March 31, 2023
1	Value of Investments		
	Gross Value of Investments		
	In India	-	-
	Outside India	-	-
		-	-
	Provision for depreciation		
	In India	-	-
	Outside India	-	-
		-	-
	Net Value of Investments		
	In India	-	-
	Outside India	-	-
2	Movement of provision held towards depreciation on investments		
	Opening Balance	-	-
	Add: Provision made during the year	-	-
	Less: Write off / write back of excess provision during the year	-	-
	Closing Balance	-	-

49: Provisions & Contingencies made during the year

(₹ in crore)

S. No.	Particulars	March 31, 2024	March 31, 2023
	Break up of 'Provisions and Contingencies' shown under the head Expenditure in Profit and Loss Account:		
1	Impairment loss on Investments and Deposits	(3.00)	(0.11)
2	Impairment loss on loans and other receivables	175.52	(60.54)
3	Provision towards Current Income tax	323.11	182.36
4	Other Provision and Contingencies (with details)	-	-
5	Provision towards Deferred Tax Assets	(46.13)	14.15

50: Derivatives

The company has no transaction / exposure in Forward Rate Agreement / Interest Rate Swap and Exchange Traded Interest Rate (IR) Derivatives during the current and previous year.

The company has no unhedged foreign currency exposure during the current and previous year.

The company has no repo transactions during the current and previous year.



Notes to Financial Statements for the Year Ended March 31, 2024

51: Disclosures relating to securitisation

- There are no SPVs sponsored by the NBFC for securitisation transactions for the current and previous year; and Hence,
 - there is no amount of securitised assets as per books of the SPVs sponsored.
 - there is no amount of exposure retained by the NBFC to comply with MRR as on the date of balance sheet
- The company has no exposure to securitization transactions other than MRR in the current year and previous year
- The company has not sold any Financial Assets to Securitization / Reconstruction Company for Asset Reconstruction during the current and previous year.
- The company has not undertaken any assignment transaction during the current and previous year.
- The company has not purchased/sold any non-performing financial assets during the current and previous year.

52: Details of financial assets sold to securitisation / reconstruction company for asset reconstruction

The Company has not sold financial assets to securitisation / reconstruction company for asset reconstruction in the current and previous year.

53: Details of non performing financial assets purchased / sold

The Company has not purchased / sold non performing financial assets in the current and previous year.

54: Details of financing of parent Company products

The Company has not financed any products of its Parent Company in the current and previous year.

55: Unsecured Advances

The Company does not have any unsecured advances in the current and previous year.

56: Details of Single Borrower Limit (SGL) / Group Borrower Limit (GBL)

RBI vide its letter No. DNBR(PD).CO.No. 244/03.10.001/2015-16 dated August 03, 2015, has exempted MUDRA from the applicability of credit concentration norm (single borrower) in respect of its exposure to Scheduled Commercial Banks including Regional Rural Banks(RRB). However, in respect of other exposures, MUDRA complies with single / group Borrower exposure norms as prescribed by RBI and during the year, the company did not exceed Prudential Exposure Limits - Single Borrower Limit (SGL) / Group Borrower Limit (GBL).

57: Draw down from Reserves

There has been no draw down from reserves during the current and previous year.

58: Information on Net Interest Margin

Particulars	March 31, 2024	March 31, 2023
Average interest (a)	6.11%	4.69%
Average effective cost of borrowing (b)	3.51%	2.71%
Net Interest Margin (a-b)	2.60%	1.99%

Notes to Financial Statements for the Year Ended March 31, 2024

59: Customer Complaints

The Company has not received any complaint from its direct customers and it doesn't include general enquiries/ complaints from Individuals on Prime Minister MUDRA Yojana (PMMY) or complaints by Individuals against Banks.

60: Sector wise NPAs & Movement of NPAs

A) Sector wise NPAs

(₹ in crore)

Particulars	Year Ended 31 March 2024	Year Ended 31 March 2023
	% of NPA to Total advance in that sector.	% of NPA to Total advance in that sector.
Agriculture & allied activities	-	-
MSME	-	-
Corporate Borrowers *	0.07%	0.10%
Services	-	-
Unsecured Personal Loans	-	-
Auto Loans	-	-
Other Personal Loans	-	-
* Corporate borrower includes advances to Banks, NBFCs, MFIs.		

B) Movement of NPAs

Particulars	Year Ended 31 March 2024	Year Ended 31 March 2023
i) Net NPAs to Net Advances (%)	0.00%	0.00%
ii) Movement of NPAs (Gross)*		
a) Opening balance	21.76	82.04
b) Additions during the year	-	-
c) Reductions during the year	0.08	60.28
d) Closing balance	21.68	21.76
iii) Movement of NPAs (Net)*		
a) Opening balance	-	-
b) Additions during the year	-	-
c) Reductions during the year	-	-
d) Closing balance	-	-
iv) Movement of provisions for NPAs (excludings provisions on standard assets)*		
a) Opening balance	21.76	82.04
b) Provisions made during the year	-	-
c) Write off/ write back of excess provisions	0.08	60.28
d) Closing balance	21.68	21.76

* includes non performing (Stage 3) investments



Notes to Financial Statements for the Year Ended March 31, 2024

61: Ratings assigned by Credit Rating Agencies

The Company has been assigned the rating of "IND AAA/Stable" by India Ratings and Research Pvt Ltd during April 2023 for Long Term Loan of ₹ 2000 crore. The fresh rating undertaken during May 2024 by India Rating and Research Pvt. Ltd. and rating is assigned as "IND AAA/Stable".

62: Concentration of Advances, Exposures and NPA's

(₹ in crore)

S. No.	Particulars	March 31, 2024	March 31, 2023
1	Total Advances of twenty largest borrowers *	24,374.29	18,174.81
2	Total Advances of top four NPA accounts (Gross)	21.68	21.76
3	Percentage of Advances of twenty largest borrowers to all Advances of banks and MFIs.	92.74%	96.17%

*The amount of borrowers do not include Undisbursed Sanction loan amount.

S. No.	Particulars	March 31, 2024	March 31, 2023
1	Total Advances and Exposures of twenty largest borrowers *	33,674.13	34,276.63
2	Total Exposure of top four NPA accounts	21.68	21.76
3	Percentage of Advances and Exposures of twenty largest borrowers to all Advances of banks and MFIs.	86.08%	90.13%

*The amount of borrowers includes Undisbursed Sanction loan amount.

63: Remuneration of Directors

All pecuniary relationship or transactions of the non-executive directors vis-à-vis the company shall be disclosed in the Annual Report.

64: Overseas Assets (for those with Joint Ventures and Subsidiaries abroad)

The Company does not have Overseas assets during the current year and previous year.

Notes to Financial Statements for the Year Ended March 31, 2024

65. Disclosure related to Schedule to the balance sheet of company, as required by Annex IV of the Master Direction- Non-Banking Finance Company - Systemically Important Non-Deposit taking Company and Deposit taking Company (Reserve Bank) Directions, 2016 issued by the Reserve Bank of India ("RBI") vide their Notification No. RBI/DNBR/2016-17/45 Master Direction DNBR. PD. 008/03.10.119/2016-17 updated on February 17, 2020 (the "Notification")

	Particulars	Amount Outstanding (₹ in crore)		Amount Overdue (₹ in crore)	
		March 31, 2024	March 31, 2023	March 31, 2024	March 31, 2023
	Liabilities Side :				
65.1	Loans and advances availed by the non-banking financial company inclusive of interest accrued thereon but not paid:				
a)	Debtentures :				
i)	Secured	-	-	-	-
ii)	Unsecured (other than falling within the meaning of public deposits)	-	-	-	-
b)	Deferred Credits	-	-	-	-
c)	Term Loans (Priority Sector Shortfall Fund deposited by Banks)	35,336.10	35,136.56	-	-
d)	Inter-corporate loans and borrowing	-	-	-	-
e)	Commercial Paper	-	-	-	-
f)	Public Deposits	-	-	-	-
g)	Other Loan	-	-	-	-
65.2	Break-up of 1(f) above (Outstanding public deposits inclusive of interest accrued thereon but not paid):				
a)	In the form of Unsecured debtentures	-	-	-	-
b)	In the form of partly secured debtentures i.e. debtentures where there is no shortfall in the value of security	-	-	-	-
c)	Other public deposits	-	-	-	-
	Assets Side :				
65.3	Break-up of Loans and Advances including bills receivables [other than those included in (4) below]:				
a)	Secured	28,921.22	21,576.63	-	-
b)	Unsecured	-	-	-	-



Notes to Financial Statements for the Year Ended March 31, 2024

	Particulars	Amount Outstanding (₹ in crore)		Amount Overdue (₹ in crore)	
		March 31, 2024	March 31, 2023	March 31, 2024	March 31, 2023
65.4	Break up of Leased Assets and stock on hire and other assets counting towards AFC activities				
a)	Lease assets including lease rentals under sundry debtors				
i)	Financial lease	-	-	-	-
ii)	Operating lease	-	-	-	-
b)	Stock on hire including hire charges under sundry debtors				
i)	Assets on hire	-	-	-	-
ii)	Repossessed Assets	-	-	-	-
c)	Other loans counting towards AFC activities	-	-	-	-
i)	Loans where assets have been repossessed	-	-	-	-
ii)	Loans other than (i) above	-	-	-	-
65.5	Break-up of Investments :				
a)	Quoted :				
i)	Shares : A. Equity	-	-	-	-
	B. Preference	-	-	-	-
ii)	Debentures and Bonds	-	-	-	-
iii)	Units of mutual funds	-	-	-	-
iv)	Government Securities	-	-	-	-
v)	Others (Please Specify)	-	-	-	-
b)	Unquoted :				
i)	Shares : A. Equity	-	-	-	-
	B. Preference	-	-	-	-
ii)	Debentures and Bonds	-	-	-	-
iii)	Units of mutual funds	-	-	-	-
iv)	Government Securities	-	-	-	-
v)	Others- Certificate of deposit & Corporate Deposits	-	-	-	-
a)	Long Term investments :				
a)	Quoted :				
i)	Shares : A. Equity	-	-	-	-
	B. Preference	-	-	-	-
ii)	Debentures and Bonds	-	-	-	-
iii)	Units of mutual funds	-	-	-	-
iv)	Government Securities	-	-	-	-
v)	Others-(Please specify)	-	-	-	-

Notes to Financial Statements for the Year Ended March 31, 2024

	Particulars	Amount Outstanding (₹ in crore)		Amount Overdue (₹ in crore)	
		March 31, 2024	March 31, 2023	March 31, 2024	March 31, 2023
b)	Unquoted :				
i)	Shares : A. Equity	-	-	-	-
	B. Preference	-	-	-	-
ii)	Debentures and Bonds	-	-	-	-
iii)	Units of mutual funds	-	-	-	-
iv)	Government Securities	-	-	-	-
v)	Others	-	-	-	-

65.6 Borrower group-wise classification of assets financed as in (65.3) and (65.4) above :

(Amount ₹ in crores)

Category (Amount net of provisions)	Secured		Unsecured		Total	
	March 31, 2024	March 31, 2023	March 31, 2024	March 31, 2023	March 31, 2024	March 31, 2023
a) Related Parties	-	-	-	-	-	-
i) Subsidiaries	-	-	-	-	-	-
ii) Companies in the same group	-	-	-	-	-	-
iii) Other related parties	-	-	-	-	-	-
b) Other than related parties	28,715.73	21,546.66	-	-	28,715.73	21,546.66
Total	28,715.73	21,546.66	-	-	28,715.73	21,546.66

65.7 Investor group-wise classification of all investments (current and long term) in shares and securities (both quoted and unquoted):

(₹ in crore)

Category	Market Value / Break up or fair value or NAV	Book Value	
		(Net of Provisions)	
		March 31, 2024	March 31, 2023
a) Related Parties			
i) Subsidiaries	-	-	-
ii) Companies in the same group	-	-	-
iii) Other related parties	-	-	-
b) Other than related parties	-	-	-
Total	-	-	-

65.8 Other information

(₹ in crore)

Particulars	Amount	Amount
	March 31, 2024	March 31, 2023
a) Gross Non-Performing Assets		
i) Related parties	-	-
ii) Other than related parties	21.68	21.76
b) Net Non-Performing Assets		
i) Related parties	-	-
ii) Other than related parties	-	-
c) Assets acquired in satisfaction of debt	-	-



Notes to Financial Statements for the Year Ended March 31, 2024

66. Disclosure related to Schedule to the balance sheet of company, as required by Annex of the Notification No. RBI/2019-20/170 DOR (NBFC).CC.PD.No.109/22.10.106/2019-20 issued by the Reserve Bank of India ("RBI") dated March 13, 2020

(₹ in crore)

Asset Classification as per RBI Norms	Asset classification as per Ind AS 109	Gross Carrying Amount as per Ind AS	Loss Allowances (Provisions) as required under Ind AS 109	Net Carrying Amount	Provisions required as per IRACP norms	Difference between Ind AS 109 provisions and IRACP norms
(1)	(2)	(3)	(4)	(5) = (3)-(4)	(6)	(7) = (4) - (6)
Performing Assets						
Standard	Stage 1	28,928.84	183.80	28,745.03	115.72	68.09
	Stage 2	-	-	-	-	-
Subtotal		28,928.84	183.80	28,745.03	115.72	68.09
Non-Performing Assets						
Substandard	Stage 3	-	-	-	-	-
Doubtful - up to 1 year	Stage 3	-	-	-	-	-
1 to 3 years	Stage 3	1.27	1.27	-	1.27	-
More than 3 years	Stage 3	4.08	4.08	-	4.08	-
Subtotal for doubtful		5.35	5.35	-	5.35	-
Loss	Stage 3	16.33	16.33	-	16.33	-
Subtotal for NPA		21.69	21.69	-	21.69	-
Other items such as guarantees, loan commitments, etc. which are in the scope of Ind AS 109 but not covered under current Income Recognition, Asset Classification and Provisioning (IRACP) norms						
	Stage 1	-	-	-	-	-
	Stage 2	-	-	-	-	-
	Stage 3	-	-	-	-	-
Total	Stage 1	28,928.84	183.80	28,745.03	115.72	68.09
	Stage 2	-	-	-	-	-
	Stage 3	21.69	21.69	-	21.69	-
	Total	28,950.52	205.49	28,745.03	137.40	68.09

Note: Performing Assets and Non-performing Assets include Investments and advances.

Notes to Financial Statements for the Year Ended March 31, 2024

67 COVID-19 Regulatory Package - Disclosure in terms of RBI circular dated April 17, 2020:

(₹ in crore)

Particulars	As at March 31, 2024	As at March 31, 2023
(i) Respective amounts in SMA/overdue categories, where the moratorium/deferment was extended	NIL	NIL
(ii) Respective amount where asset classification benefits is extended	NIL	NIL
(iii) Provisions made during the year	NIL	NIL
(iv) Provisions adjusted during the respective accounting periods against slippages and the residual provisions	NIL	NIL

68 Related Party Disclosures

All material transactions with related parties are reflected in Note No.40

69 Information in terms of Chapter II paragraph 5 of Monitoring of Frauds in NBFCs (RBI's Directions), 2016 :

(₹ in crore)

Particulars	As at March 31, 2024	As at March 31, 2023
(i) No. of cases of fraud which occurred during the year (nos)	-	1.00
(ii) Amount involved	-	4.36
(iii) Amount Recovered	-	-
(iv) Amount Provided/ Loss	-	4.36

70 Disclosure of Restructured Accounts as required under RBI Guidelines under reference DNBS. CO.PD.No.367/03.10.01/2013-14: NIL

71 Public disclosure on liquidity risk as on March 31, 2024 in accordance with RBI circular no. RBI/2019-20/88 DOR. NBFC (PD) CC. No.102/03.10.001/2019- 20 dated November 04, 2019 on Liquidity Risk Management Framework for Non-Banking Financial Companies and Core Investment Companies

A: Liquidity Coverage Ratio (LCR) Disclosure

RBI vide its letter No.DoR (NBFC).PD.CO. No. 29 /03.10.111/2020-21 dated August 26, 2020, has exempted MUDRA from applicability of Liquidity Coverage Ratio (LCR) vide RBI circular No. DoR. NBFC (PD) CC. No. 102/03.10.001/2019-20 dated November 04, 2019.

B: Public Disclosure on Liquidity Risk

(i) Funding Concentration based on significant counterparty (both Deposits and Borrowings)

Number of Significant Counterparties	Amount (₹ Crore)	% of Total deposits	% of Total Liabilities
14	33836.91	Not Applicable	95.75%



Notes to Financial Statements for the Year Ended March 31, 2024

(ii) Top 20 large deposits (amount in ₹ crore and % of total deposits)

Not Applicable. The Company being a Systematically Important Non-Deposit taking Non-Banking Financial Company registered with Reserve Bank of India does not accept any public deposits.

(iii) Top 10 Borrowings (amount in ₹ crore and % of total borrowings)

Amount (₹ Crore)	% of Total Borrowings
32112.37	90.88%

(iv) Funding Concentration based on significant instrument/product

Sr No.	Name of the instrument/ product	Amount (₹ Crore)	% of Total Liabilities
1	Borrowings (Refinance corpus allocated by RBI)	35,336.10	99.99%

(v) Stock Ratios

Sr No.	Particulars	Ratio
1	a) Commercial Papers to Public Funds	Not Applicable
	b) Commercial Papers to Total Liabilities	Not Applicable
	c) Commercial Papers to Total Assets	Not Applicable
2	a) Non-convertible debentures (original maturity of less than one year) to Total Public Funds	Not Applicable
	b) Non-convertible debentures (original maturity of less than one year) to Total Liabilities	Not Applicable
	c) Non-convertible debentures (original maturity of less than one year) to Total Assets	Not Applicable
3	a) Other short-term liabilities to Total Public Funds	Not Applicable
	b) Other short-term liabilities to Total Liabilities	0.44%
	c) Other short-term liabilities to Total Assets	0.39%

Notes:

- 1) Total Liabilities refer to Total outside liabilities i.e. Balance sheet total excluding Equity Share Capital and Reserves
- 2) Other Short-term liabilities include Financial Liabilities and non-financial liabilities payable within a year
- 3) Other Short-term liabilities are other than Commercial Paper and Non-Convertible Debentures

vi) Institutional set-up for liquidity risk management

The Company has an Asset Liability Management Committee (ALCO). The ALCO meetings are held at periodic intervals. At the Apex level, the Risk Management Committee (RiMC), a sub-committee of the Board of Directors of the Company, oversees the liquidity risk management. The RiMC subsequently updates the Board of Directors on the same.

Notes to Financial Statements for the Year Ended March 31, 2024

Note 72 Disclosure related to Schedule to the balance sheet of company, as required by the Reserve Bank of India ("RBI") vide their Circular No. RBI/2022-23/26/DOR.ACC.REC.No. 20/21.04.018/2022-23 on April 19, 2022

Composition of Board (as on March 31, 2024)

(₹ in Crore)

Sl.No	Name Of Director	Director since	Capacity (i.e. Executive/ Non-Executive/ Chairman/ Promoter nominee/ Independent)	DIN	Number of Board Meetings		No of other directorships	Remunerations			No. of shares held in and convertible instruments held in the NBFC
					Held	Attended		Salary and other compensation	Sitting Fee**	Commission	
1	Shri Sivasubramanian Ramann		28-Apr-21	SIDBI Nominee Director(Chairman)	07685657	5	5	-	-	-	-
2	Shri Parshant Kumar Goyal		04-Dec-23	Govt Nominee Director	08652921	5	1	-	-	-	-
3	Shri Sudatta Mandal		28-May-21	SIDBI Nominee Director	00942070	5	4	-	-	-	-
4	Shri Prakash Kumar		23-Nov-23	SIDBI Nominee Director	06758416	5	1	-	-	-	-
5	Shri Sadhu Venkataramana Sastry		15-Feb-23	Independent Director	07972562	5	3	-	0.07	-	-
6	Smt Mala Sinha		05-Jun-23	Independent Director	07979556	5	4	-	0.04	-	-
7	Shri Vinay Hedaoo		02-Aug-21	Director(MD & CEO)	07916221	5	5	0.86	-	-	1



Notes to Financial Statements for the Year Ended March 31, 2024

Details of change in composition of the Board during Financial Year 2023-24

Sl. No.	Name of Director	Capacity (i.e., Executive/ Non-Executive/ Chairman/ Promoter nominee/ Independent)	Nature of change (resignation, appointment)	Effective date
1	Shri Vasantha Rao Satya Venkatrao	SIDBI Nominee Director	Withdrawal -Completion of Tenure	02-Jun-23
2	Smt Smita Affinwala	Independent Director	Completion of Tenure	04-Jun-23
3	Smt Mala Sinha	Independent Director	Appointment	05-Jun-23
4	Shri Prakash Kumar	SIDBI Nominee Director	Appointment	23-Nov-23
5	Shri Mukesh Kumar Bansal	Govt. Nominee Director	withdrawal of Nomination	04-Dec-23
6	*Shri Parshant Kumar Goyal	Govt. Nominee Director	Appointment	04-Jun-23

*Shri Parshant Kumar Goyal withdrawal of Nomination on April 5, 2024, Shri Sushil Kumar Singh appointed as Govt. Nominee director thereafter.

Details of change in composition of the Board during Financial Year 2022-23

Sl. No.	Name of Director	Capacity (i.e., Executive/ Non-Executive/ Chairman/ Promoter nominee/ Independent)	Nature of change (resignation, appointment)	Effective date
1	Shri Mukesh Kumar Bansal	Government Nominee Director	Appointment	21-Nov-22
2	Shri Bhushan Kumar Sinha	Government Nominee Director	withdrawal of Nomination from Govt of India	21-Nov-22
3	Shri S V Sastry	Independent Director	Appointment	15-Feb-23
4	Shri Arvind Kumar Jain	Independent Director	Completion of Tenure	07-Feb-23

1) Committees of the Board and their composition

Executive Committee (EC)

Sl. No.	Name of Director	Member of Committee since	Capacity (i.e., Executive/ Non-Executive/ Chairman/ Promoter nominee/ Independent)	Number of Meetings of the Committee held	Attended	No. of shares held in the NBFC
1	Shri Sadhu Venkataramana Sastry	16-02-2023	Chairman -Independent Director	4	4	
2	Shri Vinay Hedaoo	02-08-2021	MD & CEO, Member	4	4	1
3	Shri Prakash Kumar#	19-12-2023	SIDBI Nominee Director, Member	4	3	
4	Smt Mala Sinha#	24-06-2023	Independent Director, Member	4	4	

#Smt Smita Affinwalla ceased to be Independent Director and Member of EC w.e.f. June 04, 2023 and Smt Mala Sinha was designated as Member of EC w.e.f. June 24, 2023. Shri Prakash Kumar appointed as SIDBI nominee Director w.e.f November 11, 2023 and also appointed as Member in EC in place of Shri Sudatta Mandal w.e.f December 19, 2023.

Notes to Financial Statements for the Year Ended March 31, 2024

Corporate Social Responsibility Committee

Sl. No.	Name of Director	Member of Committee since	Capacity (i.e., Executive/ Non-Executive/ Chairman/ Promoter nominee/ Independent)	Number of Meetings of the Committee held	Attended	No. of shares held in the NBFC
1	Shri Vinay Hedao	02-08-2021	Chairman - MD & CEO	3	3	1
2	Smt Mala Sinha	24-06-2023	Independent Director, Member	3	3	-
3	Shri Prakash Kumar	19-12-2023	SIDBI Nominee Director, Member	3	1	-

#Smt Smita Affinwalla ceased to be Independent Director and Member of CSR w.e.f. June 04, 2023 and Smt Mala Sinha was designated as Member of CSR w.e.f. June 24, 2023. Further, Shri Prakash Kumar appointed as SIDBI nominee Director w.e.f. November 11, 2023 and appointed as Member of CSR committee in place of Shri Sudatta Mandal w.e.f. December 19, 2023.

IT Strategy Committee

Sl. No.	Name of Director	Member of Committee since	Capacity (i.e., Executive/ Non-Executive/ Chairman/ Promoter nominee/ Independent)	Number of Meetings of the Committee held	Attended	No. of shares held in the NBFC
1	Shri Sadhu Venkataramana Sastry	16-02-2023	Chairman	4	4	
2	Shri Vinay Hedao	02-08-2021	Member	4	4	1
3	Shri Rajesh D. Kale	16-02-2023	Member	4	4	
4	Shri Manoj Sharma	24-03-2020	Member	4	4	

* New members in ITSC has been added viz., Shri Prakash Kumar & Smt Mala Sinha in place of Shri Rajesh D kale and Shri Manoj Sharma w.e.f. March 02, 2024

Audit Committee

Sl. No.	Name of Director	Member of Committee since	Capacity (i.e., Executive/ Non-Executive/ Chairman/ Promoter nominee/ Independent)	Number of Meetings of the Committee held	Attended	No. of shares held in the NBFC
1	Smt Mala Sinha*	24-06-2023	Chairman - Independent Director	6	4	
2	Shri Sadhu Venkataramana Sastry*	16-02-2023	Member -Independent Director	6	6	
3	Shri Sudatta Mandal	28-05-2021	Member - SIDBI Nominee Director	6	6	

*Smt Smita Affinwalla ceased to be Independent Director and member of ACB w.e.f. June 04, 2023 and Smt Mala Sinha was designated as Chairperson of ACB and Shri Sadhu Venkataramana Sastry was designated as Member (earlier chair person) of ACB w.e.f. June 24, 2023.



Notes to Financial Statements for the Year Ended March 31, 2024

The summarized terms of reference is given in Annexure

Nomination & Remuneration Committee

Sl. No.	Name of Director	Member of Committee since	Capacity (i.e., Executive/ Non-Executive/ Chairman/ Promoter nominee/ Independent)	Number of Meetings of the Committee held	Attended	No. of shares held in the NBFC
1	Shri Sudatta Mandal #	24-06-2023	Chairman	2	1	
2	Shri Sadhu Venkataramana Sastry	16-02-2023	Member	2	2	
3	Smt Mala Sinha #	24-06-2023	Member	2	1	

#Smt Smita Affinwalla ceased to be Independent Director and Member of NRC w.e.f. June 04,2023 and Smt Mala Sinha was designated as Member of NRC w.e.f. June 24, 2023. Also, Shri Vasantha Rao Satya Venkat Rao ceased to be Nominee Director and Chairman of NRC w.e.f. June 02,2023 and Shri Sudatta Mandal was designated as a Chairman of NRC w.e.f. June 24,2023

Risk Management Committee

Sl. No.	Name of Director	Member of Committee since	Capacity (i.e., Executive/ Non-Executive/ Chairman/ Promoter nominee/ Independent)	Number of Meetings of the Committee held	Attended	No. of shares held in the NBFC
1	Shri Sudatta Mandal	28-05-2021	Chairman	5	5	
2	Shri Prakash Kumar*	23-11-2023	Member - SIDBI Nominee Director	5	1	
3	Shri Vinay Hedaoo	02-08-2021	Member- MD & CEO	5	5	1
4	Shri Sadhu Venkataramana Sastry	16-02-2023	Member -Independent Director	5	5	

*Shri Prakash Kumar Appointed as SIDBI nominee Director w.e.f November 11, 2023 and appointed as Member in CSR in Place of Shri Sudatta Mandal w.e.f December 19,2023.

The summarized terms of reference is given in Annexure

1) General Body Meetings

Give details of the date, place and special resolutions passed at the General Body Meetings

Sl.No	Type of Meeting (Annual/ Extra- Ordinary)	Date and Place	Special resolutions passed
1	Annual General Meeting	27-09-2023	-

Notes to Financial Statements for the Year Ended March 31, 2024

72.1 Details of non-compliances with requirements of Companies Act, 2013 - Nil

72.2 Breach of covenant

During the FY no instances of breach of covenant of loan availed or debt securities issued occurred.

72.3 Divergence in Asset Classification and Provisioning

During the FY no diversion in assets observed.

Note 73 Sectoral exposure

(₹ in Crore)

Sectors	Current Year			Previous Year		
	Total Exposure (includes on balance sheet and off-balance sheet exposure) (₹ crore)	Gross NPAs (₹ crore)	Percentage of Gross NPAs to total exposure in that sector	Total Exposure (includes on balance sheet and off- balance sheet exposure) (₹ crore)	Gross NPAs (₹ crore)	Percentage of Gross NPAs to total exposure in that sector
1. Agriculture and Allied Activities	-	-	-	-	-	-
2. Industry						
Others	-	-	-	-	-	-
Total of Industry (i+ii+...+Others)	-	-	-	-	-	-
3. Services						
i. Bank (including SFB and RRB)	24040.77	-	-	17279.45	-	-
ii. MFI and NBFC	4254.05	21.68	0.51	3953.57	21.76	0.55
Others	626.40	-	-	343.61	-	-
Total of Services (i+ii+Others)	28921.22	21.68	0.07	21576.63	21.76	0.10
4. Personal Loans						
Others	-	-	-	-	-	-
Total of Personal Loans (i+ii+...+Others)	-	-	-	-	-	-
5. Others, if any (please specify)	-	-	-	-	-	-

Note:

- The disclosures as above shall be based on the sector-wise and industry-wise bank credit (SIBC) return submitted by scheduled commercial banks to the Reserve Bank and published by Reserve Bank as 'Sectoral Deployment of Bank Credit'.
- In the disclosures as above, if within a sector, exposure to a specific sub-sector/industry is more than 10 per cent of Tier I Capital of a NBFC, the same shall be disclosed separately within that sector. Further, within a sector, if exposure to specific sub-sector/industry is less than 10 per cent of Tier I Capital, such exposures shall be clubbed and disclosed as "Others" within that sector.



Notes to Financial Statements for the Year Ended March 31, 2024

Note 73.1 Intra-Group Exposure

- (a) The company has no intra group exposure during current year and previous year
- ii) Total amount of top 20 intra group exposure - NA
- iii) Percentage of intra-group exposures to total exposure of the NBFC on borrowers/customers - NA

Note 74 - Disclosures relating to Resolutions Plans implemented during the year in terms of RBI Circular DBR.No.BP.BC.45/21.04.048/2018-19 dated June 7,2019

RP's Successfully implemented during the year ended MARCH 31,2024

No. of Cases	Balance Outstanding
	Amount (₹ in crore)
	0

*The account was technically written off as on date of restructuring and was closed thereafter during the year

Note 75 : Additional regulatory information required by Schedule III

i) Details of benami property held

No proceedings have been initiated on or are pending against the Company for holding benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and Rules made thereunder.

(ii) Borrowing secured against current assets

The Company has not borrowed from banks and financial institutions on the basis of security of current assets.

(iii) Wilful defaulter

The Company have not been declared wilful defaulter by any bank or financial institution or government or any government authority.

(iv) Relationship with struck off companies

The Company has no transactions with the companies struck off under Companies Act, 2013 or Companies Act, 1956.

(v) Compliance with number of layers of companies

The Company has complied with the number of layers prescribed under the Companies Act, 2013.

(vi) Compliance with approved scheme(s) of arrangements

The Company has not entered into any scheme of arrangement which has an accounting impact on current or previous financial year.

(vii) Utilisation of borrowed funds and share premium

The Company has not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:

Notes to Financial Statements for the Year Ended March 31, 2024

- a. directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries) or
- b. provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries

The Company has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:

- a. directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
- b. provide any guarantee, security or the like on behalf of the ultimate beneficiaries

(viii) Undisclosed income

There is no income surrendered or disclosed as income during the current or previous year in the tax assessments under the Income Tax Act, 1961, that has not been recorded in the books of account.

(ix) Details of crypto currency or virtual currency

The Company has not traded or invested in crypto currency or virtual currency during the current or previous year.

(x) Valuation of PP&E, intangible asset and investment property

The Company has not revalued its property, plant and equipment (including right-of-use assets) or intangible assets or both during the current or previous year.

Other regulatory information

- (i) Title deeds of immovable properties not held in name of the company
The Company does not have immovable property, hence this clause is not applicable.
- (ii) Registration of charges or satisfaction with Registrar of Companies
There are no charges or satisfaction which are to be registered with the Registrar of Companies.
- (iii) Utilisation of borrowings availed from banks and financial institutions

The Company has not borrowed from banks and financial institutions, hence this clause is not applicable. However the company received funds from various Banks under Priority Sector Shortfall allocated by RBI.

In terms of our report attached of even date

For **D.Kothary & Co.**
Chartered Accountants
Firm No.:105335W

Sd/-
Mehul N.Patel
Partner
Membership No.:132650

Place : Mumbai
Date: May 27, 2024

For and on behalf of the Board of Directors

Sd/-
Vinay Hedaoo
MD & CEO
DIN : 07916221

Sd/-
Rajesh D.Kale
Chief Financial Officer

Sd/-
Sudatta Mandal
Director
DIN :00942070

Sd/-
Umesh Patil
Company Secretary



भारतीय लेखापरीक्षा और लेखा विभाग
कार्यालय महानिदेशक लेखापरीक्षा
(नौवहन), मुंबई



INDIAN AUDIT AND ACCOUNTS DEPARTMENT
OFFICE OF THE DIRECTOR GENERAL OF AUDIT
(SHIPPING), MUMBAI.



गोपनीय/शीघ्रडाक

संख्या: जीए/सीए-1/लेखा/MUDRA/2023-24/81

सेवा में,

02 AUG 2024

The Managing Director & CEO,
Micro Units Development & Refinance Agency Limited (MUDRA),
Swavalamban Bhavan, C-11, G-Block,
Bandra-Kurla Complex, Bandra (E),
Mumbai – 400 051.

05/08/2024

मप्र

विषय: 31 मार्च 2024 को समाप्त वर्ष हेतु Micro Units Development & Refinance Agency Limited (MUDRA) के वित्तीय विवरणों पर कंपनी अधिनियम 2013 की धारा 143(6)(बी) के अंतर्गत भारत के नियंत्रक एवं महालेखापरीक्षक की टिप्पणियां महोदय,

31 मार्च 2024 को समाप्त वर्ष हेतु Micro Units Development & Refinance Agency Limited (MUDRA) के वित्तीय विवरणों पर कंपनी अधिनियम 2013 की धारा 143(6)(बी) के अंतर्गत भारत के नियंत्रक एवं महालेखापरीक्षक के द्वारा दी गई टिप्पणियां इस पत्र के साथ संलग्न हैं। टिप्पणियों को मुद्रित वार्षिक प्रतिवेदन के विषयसूची में उचित संकेत सहित सांविधिक लेखापरीक्षक के प्रतिवेदन के आगे रखा जाये।

वार्षिक सामान्य बैठक के समापन के पश्चात्, वित्तीय विवरणों, सांविधिक लेखापरीक्षक का प्रतिवेदन तथा भारत के नियंत्रक एवं महालेखापरीक्षक की टिप्पणियों को अपनाते हुए सामान्य वार्षिक बैठक की कार्यवाही की एक प्रतिलिपि इस कार्यालय को अविलम्ब अग्रेषित की जाये। मुद्रित वार्षिक रिपोर्ट की दस प्रतियां भी इस कार्यालय को भेजी जाएं।

कृपया इस पत्र एवं संलग्नकों की प्राप्ति की सूचना दें।

भवदीय,

(गुलजारी लाल)

महानिदेशक लेखापरीक्षा (नौवहन) मुंबई

संलग्न: यथोपरि।

**COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA
UNDER SECTION 143(6)(b) OF THE COMPANIES ACT, 2013 ON THE
FINANCIAL STATEMENTS OF MICRO UNITS DEVELOPMENT & REFINANCE
AGENCY LIMITED (MUDRA) FOR THE YEAR ENDED 31 MARCH 2024**

The preparation of financial statements of Micro Units Development & Refinance Agency Limited (MUDRA) for the year ended 31 March 2024 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 (Act) is the responsibility of the management of the company. The statutory auditor appointed by the Comptroller and Auditor General of India under section 139(5) of the Act is responsible for expressing opinion on the financial statements under section 143 of the Act based on independent audit in accordance with the standards on auditing prescribed under section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 27 May 2024.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit of the financial statements of Micro Units Development & Refinance Agency Limited (MUDRA) for the year ended 31 March 2024 under section 143(6)(a) of the Act. This supplementary audit has been carried out independently without access to the working papers of the statutory auditors and is limited primarily to inquiries of the statutory auditors and company personnel and a selective examination of some of the accounting records.

On the basis of my supplementary audit nothing significant has come to my knowledge which would give rise to any comment upon or supplement to the statutory auditors' report under section 143(6)(b) of the Act.

For and on behalf of the
Comptroller & Auditor General of India



(Guljari Lal)

Director General of Audit (Shipping), Mumbai

Notice to Members

Notice is hereby given that 9th Annual General Meeting of **Micro Units Development & Refinance Agency Limited ("MUDRA")** will be held **on Thursday, September 26, 2024 at 4:30 PM** at short notice at **8th Floor, SIDBI office, Swavalamban Bhavan, C-11, G Block, Bandra Kurla Complex, Bandra (E), Mumbai- 400051** to transact the following business:

Ordinary Businesses:

*To consider and if thought fit, to pass with or without modification(s), if any, the following **Ordinary** resolutions:*

- 1) To consider and adopt the Audited Financial Statements of MUDRA for the 9th financial year ended on March 31, 2024, the Directors Report, Independent Auditor's Report and Comments and Certificate of the Comptroller & Auditor General of India, in terms of section 143(6) of the Companies Act, 2013.**

"RESOLVED THAT the Audited Financial Statement of the Company for the financial year ended on March 31, 2024, together with the Directors' Report, Independent Auditor's Report, along with Notes which forms an integral part of the Audited Annual Accounts for the period and Comments of the Comptroller & Auditor General of India, as already circulated amongst the Members of the Company, be and are hereby received, considered, approved and adopted."

- 2) To declare final dividend of INR 0.20 per equity share, aggregating to ₹ 33,51,85,185/-, on the equity shares, as on March 31, 2024.**

"RESOLVED THAT, a dividend of INR 0.20 per equity share, for the period from April 01, 2023 to March 31, 2024, on the Company's Share Capital of ₹ 1675.93 crore, as at March 31, 2024, aggregating to ₹ 33,51,85,185/-, be, and is hereby, declared for payment to those holders of equity shares, on pro rata basis, whose name appears on the Register of Members of the company, as on March 31, 2024."

- 3) To appoint Shri Sudatta Mandal (DIN 00942070) who retires by rotation at this meeting and being eligible to be re-appointed as Nominee Director, liable for retirement by rotation.**

"RESOLVED THAT Shri Sudatta Mandal (DIN 00942070) Nominee Director (SIDBI) of the Company, who retires by rotation at this meeting and being eligible to be re-appointed as Nominee

Director be, and is hereby, re-appointed as a Nominee Director and shall be liable to retirement by rotation."

- 4) To appoint Shri Vinay Hedao (DIN 07916221) who retires by rotation at this meeting and being eligible to be re-appointed as Managing Director, liable for retirement by rotation.**

"RESOLVED THAT Shri Vinay Hedao (DIN 07916221), Managing Director of the Company, who retires by rotation at this meeting and being eligible to be re-appointed as Managing Director be, and is hereby, re-appointed as a Managing Director and shall be liable to retirement by rotation."

- 5) To appoint Statutory Auditors of MUDRA for FY 2024-25 and approve their remuneration.**

"RESOLVED THAT pursuant to the provisions of section 139(5), 142(1) and other applicable provisions of The Companies Act, 2013, and the Companies (Audit and Auditors) Rules, 2014 (including any statutory modification(s) or re-enactment(s) thereof for the time being in force), M/s. D. Kothary & Co., Chartered Accountants (ICAI Firm Registration No.105335W) appointed by Comptroller and Auditor General of India (CAG) to conduct the statutory audit of MUDRA, be, and are hereby, appointed as the Statutory Auditors of MUDRA for the FY 2024-25 at an aggregate remuneration of ₹ 4,75,000 (Four lakh seventy five thousand only), plus applicable taxes, and out of pocket expenses payable, if any, up to ₹ 0.50 lakh."

RESOLVED FURTHER THAT MD & CEO / CFO/ CS of MUDRA, be and is hereby, authorized severally to do all such acts, matters, deeds and things as may be necessary and incidental to give effect to this resolution including filing of relevant e-Form(s) with the Registrar of Companies, Mumbai under the Ministry of Corporate Affairs."

Special Business:

*To consider and if thought fit, to pass with or without modifications, the following resolutions as **Ordinary Resolutions**:*

- 6) To appoint Shri Yalangi Venugopal Rao (DIN 06376002) as a Director of the Company.**

"RESOLVED THAT pursuant to the provisions of Section 152 and other applicable provisions, if any, of the Companies Act, 2013 ('the Act') and the

Companies (Appointment and Qualifications of Directors) Rules, 2014, as amended from time to time, Shri Yalangi Venugopal Rao (DIN 06376002), who was appointed as an additional director on the Board of MUDRA, with effect from September 26, 2024, in terms of section 161 of The Companies Act, 2013 (including any statutory modification or re-enactment thereof for the time being in force) read with Articles of Association of MUDRA and who holds office up to the date of this annual general meeting, be, and is hereby, appointed as a Director of MUDRA, liable to retire by rotation."

7) To appoint Shri Yalangi Venugopal Rao (DIN 06376002) as a Managing Director of the company, liable to retire by rotation.

"RESOLVED THAT pursuant to the provisions of Sections 196, 197, 203 and any other applicable provisions of the Companies Act, 2013 and the rules made thereunder (including any statutory modification(s) or re-enactment thereof for the time being in force), read with Schedule V to The

Companies Act, 2013, the approval of the members of the Company, be, and is hereby, accorded for the appointment of Shri Yalangi Venugopal Rao (DIN 06376002) as a Managing Director of the Company w.e.f September 26, 2024 till further order, as per the terms and condition of his deputation letter, including remuneration, and who shall be liable to retire by rotation.

RESOLVED FURTHER THAT Chairman, MUDRA, be, and is hereby, authorized to alter and vary such terms of appointment and remuneration so as to not exceed the limits specified in Schedule V to The Companies Act, 2013, as may be agreed to by the Board of Directors and Shri Yalangi Venugopal Rao.

RESOLVED FURTHER THAT Chairman, MUDRA, be, and is hereby, authorized to do all such acts, deeds and things and execute all such documents, instruments and writings as may be required and to delegate all or any of its powers herein conferred to any Committee of Directors or Director(s) to give effect to the aforesaid resolution."

By order of the Board of Directors
For Micro Units Development & Refinance Agency Limited

Sd/-

Vinay Hedao

MD & CEO

DIN 07916221

Address: SWAVALAMBAN BHAVAN,
C-11, G-Block, Bandra Kurla Complex,
Bandra East, Mumbai-400051.

Date: September 26, 2024

Place: Mumbai

1. A Member entitled to attend and vote at the Annual general meeting (AGM) is entitled to appoint a proxy to attend and vote instead of himself and the proxy need not be a Member of the Company. The instrument appointing the proxy, in order to be effective, must be deposited at the Company's Registered Office, duly completed and signed, not less than FORTY-EIGHT HOURS before the meeting. Proxies submitted on behalf of limited companies, societies, etc., must be supported by appropriate resolutions/authority, as applicable. A person can act as proxy on behalf of Members not exceeding fifty (50) and holding in the aggregate not more than 10% of the total share capital of the Company. In case a proxy is proposed to be appointed by a Member holding more than 10% of the total share capital of the Company carrying voting rights, then such proxy shall not act as a proxy for any other person or shareholder.
2. For the convenience of members, an attendance slip, proxy form and the route map of the venue of the Meeting are annexed hereto. Members are requested to affix their signature at the space provided and hand over the attendance slips at the place of meeting. The proxy of a member should be marked on the attendance slip as 'proxy'.
3. Members attending the AGM through VC / OAVM shall be counted for the purpose of reckoning the quorum under Section 103 of the Act.
4. Corporate Members intending to send their authorized representatives to attend the Meeting are requested to send to the Company a certified copy of its Board or governing body Resolution/ Authorization etc., authorizing their representative to attend the AGM through in person/ VC / OAVM and vote on their behalf at the Meeting.
5. Pursuant to Section 139 of the Companies Act, 2013, the Auditors of the Company is to be appointed or re-appointed by the Comptroller and Auditor General of India (C & AG) and in terms of sub-section (1) of Section 142 of the Companies Act, 2013, their remuneration has to be fixed by the Company in the Annual general meeting or in such manner as the Company in General Meeting may determine.
6. The Register of Directors and Key Managerial Personnel and their shareholding, maintained under Section 170 of the Companies Act, 2013, will be available for inspection by members.
7. Notice of the AGM along with the Annual Report 2023-24 is being sent through electronic /physical / any other mode to all the Members. Members are requested to promptly notify any changes in their email ID to the Company at umeshp@mudra.org.in.
8. Members may note that the Notice and Annual Report 2023-24 will also be made available on the Company's website www.mudra.org.in.
9. Members are requested to send their queries, if any, on Annual Report, to the Company Secretary, not less than 2 days before the date of Meeting, so that the requisite information/ explanations can be provided in time.
10. The Register of Contracts or Arrangements, in which Directors are interested, maintained under section 189 of Companies Act, 2013, will be available for inspection by the members at the AGM.
11. All documents referred to in the accompanying notice are open for inspection at the AGM and such documents will also be available for inspection in physical or in electronic form at the registered office of the Company during normal business hours.
12. Explanatory Statement pursuant to Section 102 of the Companies Act, 2013 for all Items annexed to this Notice, if any.

XXXX

Explanatory Statement (pursuant to Section 102 of the Companies Act, 2013)

Item No. 6

Shri Yalangi Venugopal Rao (DIN 06376002) aged 54 years, was appointed by the Board of Directors as Additional Director of MUDRA w.e.f. September 26, 2024. In terms of section 161, other applicable provisions of The Companies Act, 2013 and the Articles of Association of MUDRA, he joined MUDRA September 26, 2024.

According to section 161(1) of The Companies Act, 2013, an additional director holds office till the ensuing annual general meeting. The Nomination and Remuneration Committee (NRC) has recommended his appointment as Director on the Board of MUDRA. Shri Yalangi Venugopal Rao, if appointed, will be liable to retire by rotation under Section 152 of the Companies Act, 2013, subject to the amendment of the Articles of Association of the Company.

Except Shri Yalangi Venugopal Rao, none of the directors and key managerial personnel of the company or their relatives are in any way concerned or interested, financially or otherwise, in the said resolution.

Your directors recommend said resolution for approval by the shareholders as an ordinary resolution.

Item No. 7

Shri Yalangi Venugopal Rao (DIN 06376002) aged 54 years, was appointed by the Board of Directors as Managing Director (subject to approval of members) & Chief Executive Officer of MUDRA w.e.f. September 26, 2024 till further order as per the terms and condition of his deputation letter, including remuneration.

The Board of Directors of MUDRA at the recommendation of NRC of MUDRA has appointed Shri Yalangi Venugopal Rao (DIN 06376002), as a Managing Director of MUDRA (subject to approval of members), W.e.f. September 26, 2024, as per the terms and conditions of his deputation letter, including remuneration, subject to the same not exceeding the limits specified under Section 197, read

with Schedule V of the Companies Act, 2013, as he is in whole time service of MUDRA, and shall be liable to retire by rotation.

Further, such appointment is subject to the approval of the Shareholders, in terms of section 196 of the Companies Act, 2013 and the rules thereof.

Except Shri Yalangi Venugopal Rao, none of the directors and key managerial personnel of the company or their relatives are in any way concerned or interested, financially or otherwise, in the said resolution.

Your directors recommend said resolution for approval by the shareholders as an ordinary resolution.

By order of the Board of Directors
For Micro Units Development & Refinance Agency Limited

Sd/-

Vinay Hedaoo

MD & CEO

DIN 07916221

Address: SWAVALAMBAN BHAVAN,
C-11, G-Block, Bandra Kurla Complex,
Bandra East, Mumbai-400051.

Date: September 26, 2024

Place: Mumbai

Detailed profile of Director seeking re-appointment/appointment in the Annual General Meeting pursuant to clause 1.2.5 of the Secretarial Standards on General Meetings (SS-2):

Name of the Director	Shri Sudatta Mandal DIN: 00942070	Shri Vinay Hedaoo DIN: 07916221	Shri Yalangi Venugopal Rao DIN: 06376002
Designation	Nominee Director, liable to retire by rotation	Managing Director, liable to retire by rotation	Managing Director, liable to retire by rotation
Date of Birth & Age	20/04/1968	09/09/1964	24/07/1970
Date of Appointment	28/05/2021	02/08/2021	26/09/2024
Educational Qualification	B-Tech. in Electrical Engineering from IIT, Kanpur, and holds a Post Graduate Diploma in Management with specialisation in Finance from IIM, Calcutta.	Bachelor in Textile Technology from VJTI, Mumbai and holds a Diploma in Textile Engineering from Indian Institute of Technology, New Delhi. He is also a Certified Associate of the Indian Institute of Bankers.	B. Tech (Electronics & Communications), CAIIB Part I (JAIIB), Certificate Exam for Corporate Agents
Experience and expertise in specific functional areas	He has experience of more than 26 years across different verticals (Assets, Liabilities, Risk Management, Compliance and Strategy) in Exim Bank including more than 20 years of operational experience in International Trade and Investment Finance, Project Finance, SME lending including Cluster Finance, Trade Finance, and cross-border Development Finance.	He has experience of more than 33 years in IDBI and SIDBI across different verticals covering areas of Development banking, Branch Management, Credit, Recovery, Audit, Risk Management, Premises, Board, etc	Has three decades of experience in Credit, Venture Capital Operations, Institutional Development Financing, Infrastructure Finance, Micro Credit, Vigilance and Human Resources Development at various levels. Headed 3 Branches of SIDBI in the past. Headed the Verticals / Cells in SIDBI viz. Economic Research & Data Analysis; Corporate Communication & Corporate Image Enhancement; Compliance Cell as Chief Compliance Officer, and Board Division as Board Secretary. Served as CEO of Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) in the past.

Name of the Director	Shri Sudatta Mandal DIN: 00942070	Shri Vinay Hedao DIN: 07916221	Shri Yalangi Venugopal Rao DIN: 06376002
Directorship in other Companies(excluding Foreignand Section 8 Companies) as on 31 st March, 2024	1) RXIL GLOBAL IFSC LIMITED 2) RECEIVABLESEXCHANGE OF INDIA LIMITED 3) RXIL FINANCIAL TECHNOLOGIES SERVICES LIMITED	NIL	NIL
Other Companies in which Committee membership/ Chairmanship held	Member of Nomination & Remuneration Committee of RXIL	NIL	NIL
Number of Equity Shares held as on 31 st March 2024	NIL	1 (Authorise representative)	NIL
Inter-se relationship withother Directors / Manager / KMP	Not related to any Director/ KMP	Not related to any Director/ KMP	Not related to any Director/ KMP
For other details such as number of Meetings of the Board attended during the year and remuneration of appointed Directors, please refer to the Directors Report.			

9th Annual General Meeting

Micro Units Development & Refinance Agency Limited ("MUDRA")

[CIN: U65100MH2015PLC274695]

Registered office: SWAVALAMBAN BHAVAN, C-11, G-Block, Bandra Kurla Complex, Bandra (E), Mumbai - 400051

Tele Phone: 022-67221465 Fax No.: N.A | Website: www.mudra.org.in email: ceo@mudra.org.in

Date	Venue	Time
September 26, 2024	8 th Floor, SIDBI office, Swavalamban Bhavan, C-11, G Block, Bandra Kurla Complex, Bandra E, Mumbai- 400051	4.30 pm

PLEASE FILL ATTENDANCE SLIP AND HAND IT OVER AT THE ENTRANCE OF THE MEETING VENUE.

Folio No. _____ *DP ID No. _____ *Client ID No. _____

Name of the Member Shri /Smt./Ms. _____

Signature _____

Name of the Proxyholder Mr./Mrs. _____ Signature _____

* Applicable for investors holding shares in electronic form.

I certify that I am the registered shareholder/proxy for the registered shareholder of the Company.

I hereby record my presence at 9th Annual General Meeting of the Company held on Thursday, September 26, 2024 at 4.30 pm at 8th Floor, SIDBI office, Swavalamban Bhavan, C-11, G Block, Bandra Kurla Complex, Bandra E, Mumbai- 400051.

Signature of the Member/ Proxy

Note: Electronic copy of the Notice of the 9th Annual General Meeting with the Attendance slip and Proxy form is being sent to all the members whose email id is registered with the Company/ Depository Participant unless any meeting has been requested for a hard copy of the same. Shareholders receiving electronic copy and attending the 9th Annual General Meeting can print copy of this Attendance Slip.

Physical copy of the Notice of the 9th Annual General Meeting along with the Attendance Slip and Proxy Form is sent in the permitted mode(s) to all members whose email id is not registered or has requested for hard copy.

9th Annual General Meeting

Micro Units Development & Refinance Agency Limited ("MUDRA")

[CIN: U65100MH2015PLC274695]

Registered office: SWAVALAMBAN BHAVAN, C-11, G-Block, Bandra Kurla Complex, Bandra (E),
Mumbai - 400051

Tele Phone: 022-67221465 | Website: www.mudra.org.in | email: ceo@mudra.org.in

Form No. MGT-11

FORM OF PROXY

[Pursuant to Section 105(6) of the Companies Act, 2013 and Rule 19(3) of the Companies
(Management and Administration) Rules, 2014]

Name of Member(s)	:	Email Id	:
Registered Address	:	Folio No.	:
	:	*DP Id.	:
No. of Shares held	:	*Client Id.	:

* Applicable for investors holding shares in electronic form.

I/We, being a member(s) of _____ shares of MUDRA hereby appoint:

1. Mr./Mrs. _____ Email Id: _____

Address: _____

Signature: _____

2. Mr./Mrs. _____ Email Id: _____

Address: _____

Signature: _____

3. Mr./Mrs. _____ Email Id: _____

Address: _____

Signature: _____

as my/our proxy to attend and vote (on a poll) for me/us and on my/our behalf at the 9th Annual General Meeting of the Company to be held on Thursday, September 26, 2024 at 4.30 pm at 8th Floor, SIDBI office, Swavalamban Bhavan, C-11, G Block, Bandra Kurla Complex, Bandra E, Mumbai- 400051, and at any adjournment thereof in respect of such resolutions as are indicated below:

** I wish my above Proxy to vote in the manner as indicated in the box below:

Sl. No.	Resolutions	Number of Shares held	For	Against
ORDINARY BUSINESS				
1.	To consider and adopt the Audited Financial Statements of MUDRA for the 9 th financial year ended on March 31, 2024, the Directors Report, Independent Auditor's Report and Comments and Certificate of the Comptroller & Auditor General of India, in terms of section 143(6) of the Companies Act, 2013.			
2.	To declare final dividend of INR 0.20 per equity share, aggregating to ₹ 33,51,85,185/- on the equity shares, as on March 31, 2024.			
3.	To appoint Shri Sudatta Mandal (DIN 00942070) who retires by rotation at this meeting and being eligible to be re-appointed as Nominee Director, liable for retirement by rotation.			
4.	To appoint Shri Vinay Hedao (DIN 07916221) who retires by rotation at this meeting and being eligible to be re-appointed as Managing Director, liable for retirement by rotation.			
5.	To take note of the appointment of Statutory Auditors of MUDRA for FY 2024-25 and approve their remuneration.			
Special Business:				
6.	To appoint Shri Yalangi Venugopal Rao (DIN 06376002) as a Director of the Company.			
9.	To appoint Shri Yalangi Venugopal Rao (DIN 06376002) as a Managing Director of the company, liable to retire by rotation.			

** This is optional. Please put a tick mark (✓) in the appropriate column against the resolutions indicated in the box. If a member leaves the "For" or "Against" column blank against any or all the Resolutions, the proxy will be entitled to vote in the manner he/ she thinks appropriate. If a member wishes to abstain from voting on resolution, he/she should write "Abstain" across the boxes against the Resolution.

Signature(s) of the Member(s)

1. _____
 2. _____
 3. _____

Affix One
Rupee
Revenue
Stamp

Signed this _____ day of _____ 2024

Notes:

- The Proxy to be effective should be deposited at the registered office of the company before commencement of the meeting.
- A proxy need not be a member of the company.
- In the case of the Joint holders, the vote of the senior who tenders vote, whether in person or by Proxy, shall be accepted to the exclusion of the vote of the other joint holders. Seniority shall be determined by the order in which the names stand in the Register of the Members.
- The form of proxy confers authority to demand or join in demanding a poll.
- The submission by a member of this form of proxy will not preclude such member from attending in person and voting at the meeting.
- In case a member wishes his/her votes to be used differently, he/she should indicate the number of shares under the columns "For" or "Against" as appropriate.

ACTIVITIES

MUDRA Foundation Day

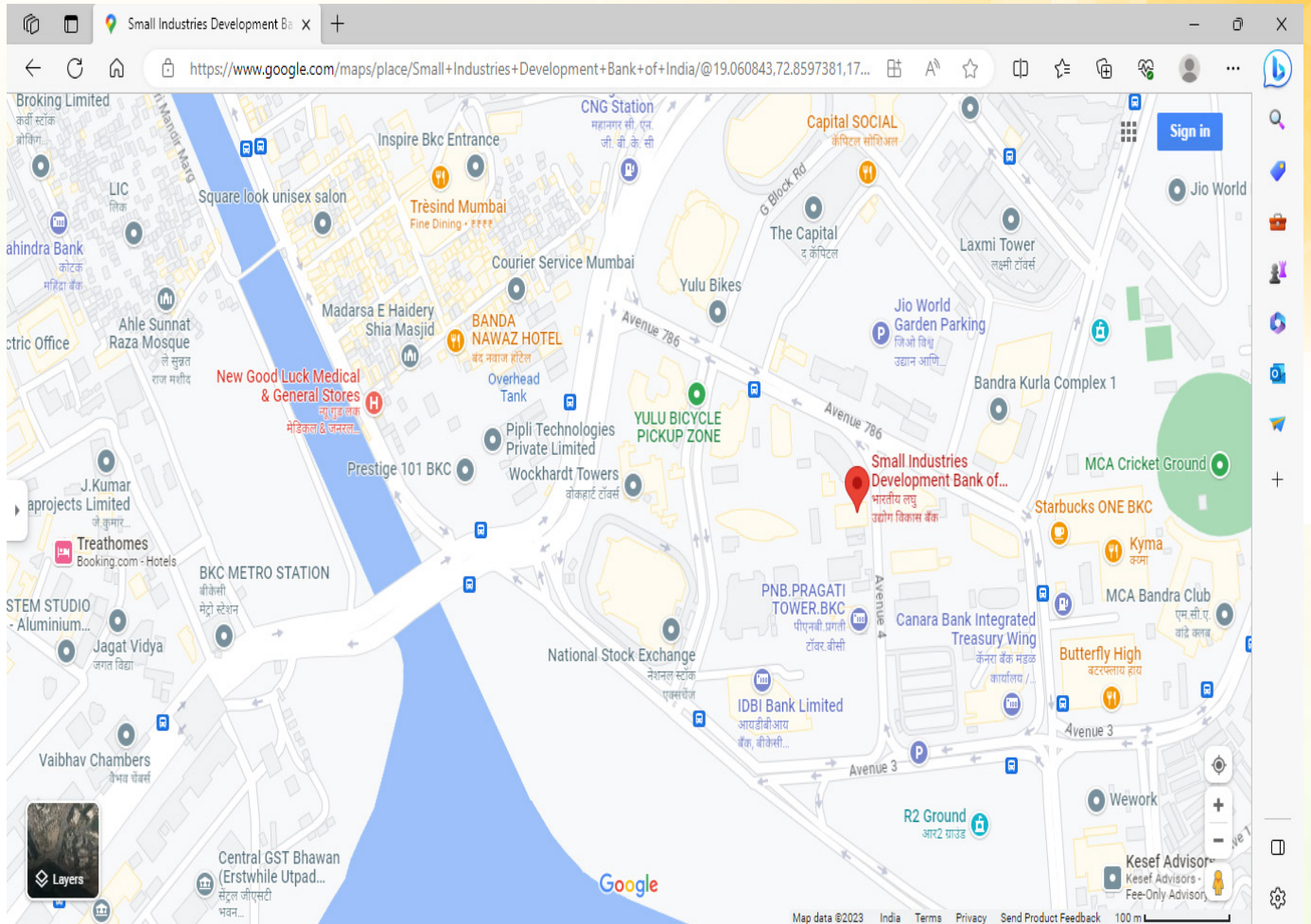


Swachhata Pakhwada



Route MAP

Link: <https://goo.gl/maps/gBmYfUXSHtQNUZoh9>





Corporate & Registered Office:

Swavalamban Bhavan, C-11, G-Block, Bandra-Kurla Complex,
Bandra (E), Mumbai-400 051.

www.mudra.org.in | Email: ceo@mudra.org.in